

Secret Formula

The inside story of
how *Coca-Cola* became the
best-known brand in the world

**FREDERICK
ALLEN**



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Secret Formula

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*How Brilliant Marketing and Relentless
Salesmanship Made Coca-Cola the Best-Known
Product in the World*

FREDERICK ALLEN

O P E N  R O A D

INTEGRATED MEDIA
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This book is dedicated to my mother,

Martha Cherrington Allen,

who gave me a love of words and ideas and storytelling

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Secret Formula

Introduction

RED SCARE

Prince Alexander Makinsky, the Coca-Cola Company's legendary man in Paris, was losing ground quickly.

In the winter of 1950, the French government threatened in all seriousness to outlaw the sale of America's leading soft drink. Makinsky, a Russian aristocrat with a reputation for limitless charm and guile, took charge of the company's defenses. Born in Persia in 1900, raised in Baku on the Caspian Sea by a British nanny who taught him flawless English, educated in Moscow and Paris, Alex Makinsky was a formidable character. He'd spent the years before World War II working for the Rockefeller Foundation as a political operative in France, Portugal, and the United States, making no secret of his close ties with American intelligence. During the war, he helped scientists escape German occupation and flee to the West by an underground route through Lisbon.

At a dinner party in 1946, Makinsky asked the guests in his Paris apartment if he should accept an offer to become Coca-Cola's top overseas lobbyist. "I was the only one who voted no," he joked breezily afterward, "so I took the job."

Makinsky began traveling for the Coca-Cola Company to hot spots in Europe, the Middle East, and South America. With his tidy moustache and tailored suits, wearing the sort of heavy-rimmed glasses that his good friend and neighbor Coco Chanel made famous, he was the very picture of worldliness, as familiar with diplomacy and protocol as a foreign minister. Makinsky prided himself on knowing monarchs and heads of state on a first-name basis. He counted many of them, from Franco to Farouk, as personal friends. Holding court in the elegant back bar of the Ritz Hotel, across the Rue Cambon from Coca-Cola's Paris office, Makinsky loved to smoke slender, elegant cigars, sip champagne, and weave intrigue.

Ordinarily, a showdown with a government was the sort of challenge he welcomed, but this one was different. An unlikely coalition of Communists, winemakers, and intellectual conservatives were united in a desperate struggle to keep Coca-Cola off the French market, and the ferocity of their attack had left Makinsky shaken. The problem was not the product itself. At the moment, the company was selling only a few hundred cases a year in all of France. The average Frenchman in his corner cafe, accustomed to the

familiar smells of anisette, strong coffee, and Gitanes cigarettes, had never so much as tasted a “cola.”

It was more the *idea* of Coca-Cola that triggered the trouble. Thanks to its familiar red logo and all-American image, Coke had become the lightning rod for a surge of resentment against the United States all across Europe and particularly in France. Makinsky worried that Coke frightened “not only our competitors, but also the great majority of French citizens who do not want to be ‘Americanized,’ and who consider our advertising as representative of what an ‘Americanized Europe’ is likely to offer.”

By early February 1950, five separate ministries of the French government were conducting investigations of Coca-Cola. Turning up the heat, customs authorities suspended the company’s import license, and the police brought criminal fraud charges against Coca-Cola’s bottlers in Paris and Algiers. Most ominous of all, the secret police began shadowing Makinsky and his top deputies. Investigators in the French Interior Ministry opened dossiers on them, and there was evidence that someone was tapping Coca-Cola’s office telephones and intercepting the mail. One of the company’s Parisian lawyers, Pierre Gide, grew so frightened he started using an alias when he called the office.

In an especially chilling incident, Makinsky’s number-two man, Alfredo Schvab, got a phone call at the office one afternoon from his wife. A man claiming to be Schvab had called the headmistress of the school where they sent their ten-year-old daughter, Isabelle, and made arrangements to pick her up after classes and take her to the cinema. Suspicious, the headmistress had Isabelle peek out the window from behind a curtain when the man drove up. “No!” the girl said. “That’s not my father.” As the headmistress and a teacher hid Isabelle inside, Schvab raced to the school just in time to see a sedan pulling away. He got the license number, and a contact in the police department told him it was a counterfeit plate used by a roughneck element in the Communist Party.

Unsettled by the events, the usually buoyant Makinsky warned Coca-Cola’s top management that the company was in “imminent peril” of losing the battle of France.

In Atlanta on the afternoon of Friday, February 10, 1950, Pope Brock considered the latest bad news from abroad.

As Coca-Cola’s general counsel, the gray-haired, sixty-one-year-old Brock had the unhappy duty of deciding what to do next. A defeat in France, he knew, had the potential of derailing the company’s ambition to become a worldwide business. In the years after World War II, Coke had expanded its presence to seventy-six countries, but in most of them it had only a fragile toehold. Its operations in many places were laughably rudimentary. The field man in Colombia, for instance, put \$28 on his expense account after he had to buy sneakers for his barefoot sales force.

In the past year, Brock calculated, less than a quarter of the company's \$230 million in sales had come from outside the United States. Foreign profits were a meager \$3 million. Coke faced intense resistance almost everywhere from the producers of beer, wine, aperitifs, fruit juices, mineral water, and other soft drinks. Every region seemed to have a domestic beverage whose owners were rich and politically well connected, and who made mischief for Coke in the courts and regulatory agencies. If the special interests in France succeeded in banishing Coca-Cola, the dominoes would begin to fall. Europe might be lost for a generation.

The looming disaster in France rattled the top men in Coca-Cola Export, the company's overseas arm headquartered in New York. Much to Brock's disgust, they were issuing memos expressing "alarm" and warning that it might be "a grave mistake" to press ahead.

Like many of the Georgia-born executives at Coca-Cola's boxy, Spartan home office on Plum Street in Atlanta, Brock viewed Export as a maverick operation whose officers got to Manhattan, developed airs, and began to fancy themselves just a little better acquainted with the ways of the world than their country cousins. After growing up dirt poor in the little hamlet of Avalon, Georgia, and working his way through college and law school, Brock carried an ample chip on his shoulder, and his contempt for his counterparts at Export was thorough. He had a particularly dim view of the president of Export, Jim Curtis. A fellow Georgian, Curtis had "gone native" in Manhattan, and his principal hobby was symbolized by the Stork Club ashtray he kept on his desk. Brock understood the dire prospects in France, but this was not the time for panic or self-protection. It was time to show some gumption.

Brock's rumpled appearance, spectacles, and gentle drawl concealed a belligerent temperament that now rose bristling to the surface. The moment had come, he decided, to get off the defensive, raise the stakes, and bring the French affair to an end, win or lose.

All that Friday afternoon and again on Saturday morning, Brock was on the phone, rallying Coke officials in New York and Paris. Brock confided in a memo how he harangued Curtis and Roy Jones, the two top officers of Export: "[I] urged upon both of them the tremendous importance of doing everything humanly possible to win the war that is now going on in France." In war, Brock reminded them, "the only rational thing is to throw all of your strength and all of your resources into it."

There was more to Brock's new strategy than tough talk. He ordered Stephen Ladas, a Greek-born, Harvard-educated lawyer who worked with Export in New York, to fly to Paris with reinforcements. Makinsky's Old World approach wasn't working. Perhaps it was time for something simple and direct. Brock gave Ladas explicit, written instructions to spend whatever amount of money it took to enlist as many "soldiers" as he needed to turn the tide. Ladas had one week to plan the trip and select his targets.

"It may be that we should hire a half-dozen or more influential scientists," Brock wrote Ladas. "It may be that [our lawyer] should associate one—or three—more lawyers. It is possible that one—or a half-dozen—political leaders could be engaged to do legitimate work for us." On the phone with Ladas, Brock suggested other avenues of approach too sensitive to commit to paper, and made it clear there was no upper limit on the blank check.

"This is no penny ante game," Brock warned. "It is the decisive struggle in Europe."

At first glance, Steve Ladas was an odd choice for the French assignment. Shy and bookish, his specialty was international trademark law, not cloak and dagger work. He struck some of his colleagues as a bit naive. Coca-Cola men who worked in South America chuckled over his habit of introducing himself formally by his full name—Stephen P. Ladas—which made it sound as if his family name were *Peladas*, slang in Spanish for "naked."

Brock told Ladas he'd picked him because he was smart enough to improvise in the field, but a better guess was that Ladas was the only one at Export Brock trusted with the company's money.*

Ladas landed in Paris on the morning of Monday, February 20, 1950. In the era of the Lockheed Constellation, an overnight flight from New York took sixteen or seventeen hours, including the refueling stop at Gander, Newfoundland. With the noisy droning of the engines and ceaseless vibration of the propellers, passengers generally arrived exhausted. But Ladas—"full of fighting mood," in his own words—pressed ahead with a busy schedule. With Makinsky off in Algiers finagling a delay in the trial of the Coca-Cola bottler there, Ladas was on his own.

His first order of business was to see the leaders of the various beverage industries. Experience in the United States and elsewhere had demonstrated that Coke did not undercut the sales of other drinks, certainly not liquor. It was simply absurd to think that an American soft drink, selling at eight cents for 6½ ounces, was about to wean the French away from their beloved red table wine, which they could buy for fifteen cents per liter. Yet no amount of persuasion had made the slightest impression. So Coca-Cola wanted to strike a deal.

Ladas described one of his calls: He arrived at the offices of the Radical Socialist Party, where he was greeted by a Mr. Rolland. In spite of its name, the party was actually slightly right of center, and it represented some of the country's wine interests. Ladas repeated the familiar reassurances, which fell as usual upon deaf ears, and then asked if there was anything the Coca-Cola Company could do to appease the vintners. Rolland

* It may be a mark of Ladas's guilelessness that he failed to destroy his copies of the confidential letters, memos, and cables detailing the company's highly sensitive maneuvers during the French affair. The Ladas files were discovered in the records of Coca-Cola Export in the late 1980s and later were made available to the author.

paused. Perhaps there was, he replied. The U.S. tariff on French wines was too high. It would be good to cut it in half. And the red tape at the U.S. Food and Drug Administration was impossible. French winemakers would appreciate having direct access to American markets.

Very well, Ladas said. The Coca-Cola Company was prepared to spend \$50,000 to engage a lobbying firm in the United States to pursue those very goals, if the wine interests would call off the attack. There might be more help down the road. Rolland shook his head no. He was polite but firm. A generous gesture by Coca-Cola would be welcome, naturally, but he would have to insist on seeing some results before making any commitments. Meanwhile the wine industry had no choice but to remain an adversary.

Ladas found his other stops equally frustrating. The head of the fruit juice syndicate, he notified Atlanta, was a “vicious enemy.” The leader of one of France’s two soft drink organizations was antagonistic, while the other, claiming to be sympathetic to Coca-Cola, was “secretly aiding our enemies.” The General Confederation of Agriculture was implacably hostile. Ladas crisscrossed Paris keeping appointments with lawyers, scientists, bureaucrats, and politicians, asking the same question over and over. Wasn’t there something Coca-Cola could do? *Anything?* Everywhere the answer was the same: a Gallic shrug.

As the days passed, Ladas found his spirits flagging and a sense of desperation welling up. He was supposed to be spreading around Coca-Cola’s money, he wrote Brock, “but there is really nothing or almost nothing to spend any money on.”

Bribery wasn’t working.

The company could pinpoint the exact time and place its political troubles were born: October 30, 1949, in the Piazza San Giovanni in Rome. Eight thousand Italian Communists were winding up an event they modestly called the Congress of the Partisans of Peace. The keynote speaker, sent by Cominform, the Bucharest-based propaganda arm of the Party, was a Soviet writer and polemicist named Alexander Fadeyev. Since he spoke in Russian, few in the crowd could understand his remarks, but they did recognize one of the names he spat out—“Coca-Cola”—and many of them booed.

Prodded by the Kremlin, Europe’s Communist parties were quick to seize on Coke as a target. “DRINKS COCA-COLA AND DIES,” declared a headline in *L’Unità*, the official Italian Communist newspaper, over a story describing how Coke could “turn a child’s hair white overnight.” A Hungarian magazine ran a picture of teenagers drinking Coke with the caption, “This Is the Way They Debauch American Youth.” In France, the Communists warned against “Coca-Colonization” that would turn Frenchmen into “*cocacoliques*.”

It might all have been good for a laugh except that the campaign trig-

gered resentments and jealousies far beyond Communist circles, sparking several incidents of violence. Coca-Cola's manager in Vienna was dragged from his car, beaten, and had his tires slashed. The European countryside was still strewn with the physical and psychological wreckage of World War II, and the Marshall Plan was seen in many quarters not just as a way of rebuilding the marketplace, but as a sharp tool meant to pry it open for American goods. The French seethed at the sight of International Harvester tractors in their fields, Chiclet gum wrappers in their gutters, and Frigidaires in their kitchens. It was more than a question of economics. After five years of occupation by the Germans (and more collaboration than they cared to admit), the French were fiercely protective of their culture, and many of them were appalled at the invasion of comic books, the *Reader's Digest*, Hollywood movies, and other American innovations.

In war-weary Europe, with its sapped vitality, the presence of Coca-Cola even carried the undercurrent of a sexual threat. During a visit to the United States, a Swiss newspaper editor explained: "Take your GIs. They made a great impression upon Switzerland. Especially upon the youth of Switzerland. Your GIs came to us after the war, on trips your army organized. They had great success with our girls. Our young men saw that and they didn't like it too much, but it left them with a desire to be as American as possible so the girls would like them better. . . . Now they all drink Coca-Cola."

Company officials did little to discourage the belief that they planned to splash the name of their product on every surface of the Continent in bright red paint. Motorized barges were plying the waters of the Grand Canal in Venice with giant Coca-Cola signs on the side, and anything seemed possible.

Contemplating an onslaught of neon signs, painted walls, billboards, singing commercials, and fleets of red delivery trucks, the ordinarily level-headed editors of the newspaper *Le Monde* warned that the arrival of Coca-Cola represented a menace to "the whole panorama and morale of French civilization."

The contrast with Coca-Cola's position at home in the United States could not have been sharper.

For decades, the men who ran the company had worked feverishly to create a special place for their product in America's social psyche. Coca-Cola was part of the American landscape. In the 1890s and early twentieth century, Asa Candler gave away millions of clocks, paper napkins, thermometers, lighters, watches, watch fobs, pocket knives, pocket books, bottle openers, sterling-silver perfume dispensers, serving trays, change trays, bookmarks, marble paperweights, and Japanese fans—all inscribed prominently with the trademark "Coca-Cola." In time they became *objets*, precious to collectors from coast to coast. Coke's calendars gave American men a pretty girl to look at every month.

Millions of children received school kits with No. 2 pencils, notebooks, blotters, rulers, and spelling primers, all embossed with the trademark. In soda fountains and drugstores, Coca-Cola provided porcelain serving urns, back-bar festoons, window valences, transom bulletins, oilcloth signs, cut-out posters, and Tiffany-style stained-glass lampshades. All across America, luncheonettes, candy stores, tobacco shops, and mom-and-pop groceries did business under awnings that carried two names: the proprietor's and Coca-Cola's.

Robert W. Woodruff, the gruff, autocratic Georgian whose family and associates took control of Coke's ownership and management in 1919, drove himself and those around him toward a single goal—to make Coke, as one of his lieutenants put it, “the most American thing in America.”

Using the popular artists Norman Rockwell, Haddon Sundblom, and N. C. Wyeth, Woodruff directed an advertising campaign in the 1920s and 1930s that made Coke a familiar, inescapable element of everyday American life. The company's ads even shaped the way Americans imagined Santa Claus: There was no popular vision of Santa as a round, ruddy fellow in a red suit with fleecy white piping until Sundblom invented it in a series of Christmas ads for Coke.

In billboards and magazine ads, posters and jingles, Coca-Cola helped pioneer the art of the soft sell, turning the “pause that refreshes” into an integral part of the national culture. When people thought about Coke, they not only thought about drinking a soft drink, they thought of the activities they undertook *while* they drank it, from small moments like a break at work to serious events like a first date. The company published hospitality booklets that helped housewives entertain at home, donated scoreboards for high school football fields, put coolers in service stations, and filled the vending machines in factories and offices. The amiable side of every new social phenomenon, from the country's love affair with the car, to its discovery of leisure, to the barbecue tongs and cookout lifestyle of its suburbs, was deliberately associated with Coca-Cola. The soda fountain, one ad proclaimed, was “the world's friendliest club—admission 5 cents.” Ads never showed what was in Coca-Cola, but instead what Coca-Cola was in: pleasant, poignant scenes of everyday life.

Over time, Coke became part of the ritual of American life. There were “Coke dates” and “Coke clubs” and “Coke parties.” When bashful teenagers played spin the bottle, more often than not it was a Coke bottle they spun. For years, no group of little boys could put their empty Coke bottles back in the rack before turning them over to see whose was minted in the farthest city.

During World War II, Woodruff decreed that Coke would be available for a nickel to members of the armed forces wherever they served. Coke went to war with the American GI, and the familiar hoopskirt bottle found its place in the dogface cartoons of Bill Mauldin and the frontline dispatches of Ernie Pyle. The company built bottling plants—sixty-three in

all—in every theater of the war, and its Technical Observers delivered cases of Coke everywhere Americans fought, sometimes right into the foxholes. The TOs often faced the same dangers as their military counterparts; three of them were killed in action. The U.S. Navy's last requisition, never filled, was for twenty thousand cases of Coke to be marked "Tokyo."

By forging an association with the nation's sacrifices as well as its pleasures, Coke earned the loyalty of eleven million veterans and their families, and countless other Americans as well. In *God Is My Co-Pilot*, one of the war's best-sellers, Colonel Robert L. Scott wrote, "I don't know exactly what democracy is, or the real, common-sense meaning of a republic. But as we used to talk things over in China, we all used to agree that we were fighting for The American Girl. She to us was America, Democracy, Coca-Colas, Hamburgers, Clean Places to Sleep, or The American Way of Life."

Thanks to the war, Coca-Cola was considered one of the things that defined America. By the late 1940s, according to a document tucked away in Woodruff's private papers, company officials identified their product so closely with the national interest that they were considering a new slogan: "The United Taste of America—Coca-Cola."

But abroad, none of it counted for a thing. At least not yet.

On Thursday morning, February 23, 1950, Ladas visited the American Embassy in the Place de la Concorde.

Shown into the office of U.S. Ambassador David K. E. Bruce, Ladas pulled out a letter accusing the French of acting in "a spirit of persecution, discrimination, and bad faith," and called on the State Department for help. Ladas reminded Bruce that the embassy had interceded on Coca-Cola's behalf many times before.

Just two months earlier, in fact, Bruce had stopped a piece of anti-Coke legislation dead in its tracks in the National Assembly. In December 1949, a deputy named Paul Boulet from Montpellier, in the heart of the wine-producing Hérault region, had introduced a bill giving the minister of health sweeping powers to bar the sales of any beverage he considered harmful. Quickly turning the diplomatic equivalent of a triple play, Makinsky had notified Coca-Cola's Washington lobbyist, Fred Morrison, who alerted his top contact, Under Secretary of State James E. Webb, who in turn dispatched Bruce to see French Premier Georges Bidault. The bill was halted.

Now Ladas was calling again at the embassy, but this time things were not as simple. Along with its political and economic headaches, Coca-Cola was in trouble with the law.

Ever since its birth in 1886 in the hurly-burly of the patent medicine era, Coke had been vulnerable to sporadic outbursts of intense controversy over some of its ingredients, from the trace of cocaine that was finally leached out at the turn of the century, to the caffeine that provoked the first head of the U.S. Food and Drug Administration into fighting Coca-Cola

all the way to the U.S. Supreme Court. In postwar Europe, there were scientists—reputable scientists—who sincerely believed that Coca-Cola was toxic and addictive, even that it might contain an aphrodisiac. When none of their suspicions could be proven, they turned the dispute to a technical question about phosphoric acid.

Known as “Merchandise No. 4” in Coca-Cola’s celebrated secret formula, phosphoric acid was a clear, colorless liquid used in small amounts for preservation and flavoring. In layman’s terms, it put the familiar bite into the taste of Coke. Unfortunately for the company, health laws in most European countries severely restricted or flatly prohibited the addition of mineral acids to beverages. There was no evidence that minor amounts of phosphoric acid in a soft drink were harmful in any way, and the laws were not aimed specifically at Coke—they dated back to the early 1900s—but they nonetheless handed Coca-Cola’s enemies a convenient and powerful weapon.

The company had different strategies for dealing with the phosphoric acid problem, depending on the country. In Belgium, Coke hired the services of several prominent scientists, enlisted the full backing of U.S. Ambassador Robert D. Murphy, and slipped through a change in the law. In Switzerland, where the authorities were sympathetic to Coca-Cola and willing to look the other way, Coke’s chemists devised a so-called “Swiss formula” that masked the presence of the phosphoric acid. But neither approach was suitable for France. Because of the political climate, there was no way to change the law. And the Swiss formula was out, the company decided, because it was a “thin smoke screen” that might be discovered if the French made a sophisticated analysis.

Up to now in France, the Coca-Cola Company had relied on the simple expedient of stonewalling. French law made phosphoric acid illegal only as an added ingredient, not as a natural by-product of other ingredients, and it was hard to tell the difference in laboratory tests. Company officials, who knew better, assured the French authorities they had no idea about the origins of the phosphoric acid present in Coke. Makinsky, with a jaded flair worthy of Claude Rains in the movie *Casablanca*, advocated maintaining the ruse of ignorance. If he or his people were caught, he said, “we can adopt the attitude . . . that we are greatly shocked and indignant”

But the game was growing more dangerous. The company’s bottlers in Paris and Algiers faced charges of criminal fraud, and there was a good chance they would be caught in a lie and convicted.

Ladas wanted the embassy to step in and block the prosecutions. The cases were purely political, Ladas assured Bruce, initiated by the law enforcement arm of the Ministry of Agriculture to protect special interests. The trials “could be stopped entirely,” Ladas argued, “if the Prime Minister would merely telephone the Minister of Agriculture and the Minister of Justice, asking them to drop the case.” Ladas tried to get Bruce to pressure the prime minister into making the calls.

But Bruce refused to go along. The embassy was happy to help with

instances of overt discrimination against American businesses. Bruce would write a letter to the Bidault government warning them again against political harassment of Coca-Cola. But interfering in a criminal prosecution was another matter. If Coca-Cola had violated French law, it would have to face the consequences. The embassy was involved in tense, difficult negotiations with the Bidault government over NATO, the Marshall Plan, a pending trade treaty, and the future of the French military effort in what was then called Indo-China. Bruce made it clear that cleaning up a mess for the Coca-Cola Company was not a high priority with him.

"Bruce is too much of a diplomat," Ladas complained to Brock, "and not aggressive at all." The company was on its own.

Returning from Algiers at the end of the week, Makinsky found Ladas near despair. Everything was "so loose and slippery," Ladas said, "that you do not know where to start from and what to fight."

Makinsky soon discovered that things were even worse than Ladas realized. While Ladas was rushing around Paris trying to make deals, the anti-Coke forces had quietly slipped the Boulet bill back on the agenda in the National Assembly. Ladas had been gulled. The very people he was talking to were busy behind his back plotting another attempt to outlaw Coca-Cola.

Over the weekend, Ladas and Makinsky joined forces and made "frantic" efforts to get the bill postponed, but they failed. It remained Item 9 on the agenda for Tuesday, February 28. Makinsky learned from his spies inside the Cabinet Council that Premier Bidault, free from U.S. Embassy pressure, had no intention of intervening to save Coca-Cola a second time. Bidault and his party, the centrist Popular Republican Movement, had made a great many concessions to the United States to keep aid flowing under the Marshall Plan—the total reached 400 billion francs by the end of 1949—and they chafed under the resulting barrage of criticism from the Communists and Socialists that they were too "pro-American." Here at last was a chance for Bidault to show his independence.

At four o'clock on the afternoon of the twenty-eighth, the Boulet bill came up for debate in the red-carpeted Assembly chambers on the left bank of the Seine. The government's spokesman in the Assembly, Minister of Health Pierre Schneider, arose and gave an odd talk. His preference, he said, would be to allow Frenchmen to make up their own minds about what they wanted to drink. Smiling and bantering, Schneider joked about the consequences of a law giving his ministry the responsibility to ban or approve beverages. Perhaps soon, he said, the cafes would have signs saying various drinks were endorsed by the minister of health. "He who will drink too much will say, 'I did it with the authorization of the Minister of Public Health!'" The deputies laughed. Still, Schneider went on, turning serious, the government understood the politics of the situation. The deputies were free to vote as they wished.

Ninety minutes later, on a vigorous show of hands, they voted overwhelmingly against Coca-Cola.

What happened next caught the company completely by surprise. Like the cavalry in a B-movie Western, the American people came riding to the rescue.

Until the passage of the Boulet bill, few Americans had any idea of Coca-Cola's difficulties overseas. On the theory that it was smarter to work quietly behind the scenes, company officials had done everything in their power to stifle publicity about the resistance Coke was fighting in France and elsewhere. The company was paying a \$25,000 annual retainer to the best-known press agent of the era, Steve Hannagan, to keep the hubbub in the European press *out* of the papers in the United States. Business reporters in New York complained that their phone calls to Export were rarely returned.

In fact, for all its past glories, the Coca-Cola Company of 1950 was in a state of near paralysis. Woodruff's single-minded dedication to a set of fixed standards, once the backbone of the company's success, was beginning to prove more hindrance than help. Business was stagnant, thanks in large part to his stubborn refusal to offer consumers anything larger or more convenient than the traditional 6½-ounce bottles. The company's bottlers, feeling the squeeze of postwar inflation, were up in arms over Woodruff's inflexible allegiance to the 5-cent retail price. Coke's fabled advertising man, Archie Lee, was ill, exhausted, and out of ideas. Woodruff himself was just emerging from a long period of depression, heavy drinking, and sporadic illness brought on by the suicide of a younger brother. It was hardly surprising that the company shunned attention.

But there was no suppressing a declaration of war on Coca-Cola by the French parliament. The news from Paris raced westward across the Atlantic by cable and appeared the next morning above the fold on the front page of the *New York Times*. The Associated Press filed an account that appeared in hundreds of other American newspapers. Radio stations filled the airwaves with word of the strange doings in France. By midday on Wednesday, March 1, 1950, Coca-Cola was the hottest story in the United States.

Most newspapers greeted the bulletin with a mix of puzzled amusement and genuine indignation. The *New York Herald Tribune* proclaimed a "Coca-Colamity," while the *Washington News* complained about "the arrogantly superior French habit of snooting at our beverages, soft and hard, as so much dishwater." The *New York Daily News* raised the threat of cutting off aid under the Marshall Plan.

Commentators could not resist the story. On WCBS radio, Eric Sevareid reminded his listeners that Coca-Cola had gone to war with the American armed forces and helped liberate France. Across town, in a booth at WNBC, humorist Henry Morgan proposed retaliating with a ban on "French champagne, Schiaparelli, the Eiffel Tower, Napoleon, French

poodles, Chanel No. 5, eclairs, Victor Hugo, Simone Simon, and Charlemagne.”

At the offices of Coca-Cola Export, up on the eighteenth floor at 515 Madison Avenue, Curtis and his people scrambled to join the fray. Hannagan was brought in to craft a statement for Export’s chairman, Jim Farley. A former postmaster general, Democratic Party chairman, and the architect of Franklin Roosevelt’s first presidential campaign in 1932, Farley was one of the best-known politicians of his time. He had made one terrible miscalculation in his life—he opposed Roosevelt’s bid for a third term—and with his career in eclipse he joined Export in 1940 as a figurehead who traveled the globe constantly, glad-handing diplomats, businessmen, and heads of state. He maintained good relations with the media and his name still had clout.

“I assure you,” Farley said of the Boulet bill, “it is the worst bit of political shenanigan I have ever encountered—and that covers a lot of territory at home and abroad!” Farley wondered rhetorically what General Lafayette would have thought, cited the generosity of the Marshall Plan, and closed with the stinging observation, “Coca-Cola was not injurious to the health of the American soldiers who liberated France from the Nazis so that Communist deputies could be in session today.” His remarks gained wide coverage.

Thanks to Farley, the story even made it onto the infant medium of television. Sitting at a table at the Stork Club, with Walter Winchell in the next chair, Farley appeared live on CBS on a show featuring the husband-and-wife team of Peter Lind Hayes and Mary Healy. Then as now, TV hosts could be a little vague about their subject matter, and Healy asked, “Wasn’t there something in the paper recently about something that happened with the French?” Farley, conspicuously sipping a Coke, took his cue and gave his spiel.

In Atlanta, Woodruff watched with grudging approval as the controversy spread. A man who ordinarily detested publicity of any sort about his company’s business affairs, he could see the advantages of joining the Cold War on the American side. Coca-Cola’s name was better known than Stalin’s, Woodruff told an associate, and certainly more popular.

Ed Sullivan, then a syndicated gossip columnist, recognized the bonanza Coke was reaping. “[The] French Commies’ attack on Coca-Cola,” he wrote, “is one of those publicity breaks a company dreams about, but rarely gets, huh?” More than headlines, though, the real value to Coca-Cola was the leverage it gained from the growing sentiment in favor of reprisals.

Like Henry Morgan, many Americans thought of retaliating against French products. Unlike Morgan, some were perfectly serious. The Broadway showman Billy Rose announced that his nightclub, the Diamond Horseshoe, would suspend the sale of French champagne. In his syndicated column, “Pitching Horseshoes,” Rose (or more likely his ghostwriter) explained the decision in the breathless newspaperese of the day:

From where I cogitate, it boils down to this: John Q. Frenchman is being denied a choice between Coke and vino only because the Lefties, aided and abetted by the bird-brain Righties, don't like the country Coca-Cola comes from. Well, messieurs et mesdames, two can play at boycott as well as one. So, no French champagne will be sold in my place until the idiotic ban against our home product is lifted. And if that doesn't work, we can get really tough and stop buying your French postcards!

But it did work. Rose's column ran in 417 different newspapers, from the New York *Daily News* to the *Beaver* (Utah) *Press*, and within a matter of days, sales of French wines began to drop.

The tide turned swiftly. On March 14, just two weeks after the Boulet bill was approved, the French Embassy in Washington issued a press release complaining about the anti-French "campaign" under way in the American media. No actual prohibition of Coca-Cola was in place, the statement argued, so it was unfair to boycott French products in America.

Two days later, the French ambassador, Henri Bonnet, ushered Farley and Curtis into his office at the embassy in Washington for a meeting. The mood had changed. Now it was the French who were asking what they could do to make things right. Moving cautiously, the Export men asked for a small but vital concession. Coca-Cola's import license was still suspended, and the company was unable to supply its French bottlers with the concentrate they needed to make Coke. Unless French Customs backed off, it was a matter of days until Coke would be forced to stop sales. Lift the suspension, Farley and Curtis said, and they would see what they could do about soothing anti-French feelings in America.

Ladas, who had returned to New York in disgrace, could feel the company's fortunes (and his own) reviving. He gave Mr. Rolland, the politician with ties to the French wine industry, a taste of his own medicine. "Unfortunately," Ladas wrote, "events since my departure from Paris have taken a bad turn." The \$50,000 lobbying effort to cut the tariff on French wines and smooth their distribution, Ladas explained, would have to go on hold. American public reaction to the Boulet bill had been "simply amazing and extraordinary." Perhaps, if Rolland could help arrange a gesture of good faith—restoring Coke's import license, for instance—Ladas could take another look. In the meantime, though, it was no deal. In case Rolland missed the point, Ladas tucked a copy of Billy Rose's column into the envelope.

Not everyone in France surrendered easily. Just days after the vote on the Boulet bill, the Communists stormed the speaker's rostrum in the Assembly chambers and held it by force for seven hours. Their grievances covered a wide array of issues, not just Coca-Cola. But as one of the deputies was dragged away bodily he cried out against American imperialism

and Coca-Cola, and it made a nice metaphor. One way or the other, calmly or kicking and screaming, the French were giving up ground.

The breaks began going the company's way. The judge in the Paris bottler's case was about to be married and proposed a one-month delay in the trial while he went on his honeymoon. "Why not take two months?" Coca-Cola's lawyer asked. The judge agreed.

Ambassador Bonnet invited Farley back to Washington to apologize for a slight delay in getting Coca-Cola's import license restored. There were still enemies in the French government, Bonnet explained, and he would have to work around them. Farley, accompanied this time by Ladas, assured the ambassador that he understood. The company could wait a few days. But in the meantime, Coca-Cola wanted something else. The Bidault government must guarantee that no further criminal cases would be filed. "Yes, yes," Bonnet agreed, "that would be too much." Good, said Farley. In that event, he was prepared to put out a statement calling on the American people to stop their boycott of French goods. The prosecutions were quietly forgotten.

A final piece of business fell into place a few months later. The company remained anxious for the Ministry of Agriculture to adopt a new, modern health law permitting a small amount of phosphoric acid in soft drinks. Then and only then would Coke be fully protected. An ad hoc "Committee of 21," composed of scientists, health experts, and beverage industry lobbyists, was in charge of drafting the new law. The deputy chairman of the committee, Louis Descamps, the president of the Carbonated Bottlers Syndicate of France—the man Steve Ladas had found so utterly treacherous and hostile she months before—approached Jim Curtis with an offer. Descamps would deliver a majority vote of the committee in favor of the law allowing phosphoric acid. In return, he wished to be awarded the Coca-Cola bottling franchise for the city of Toulouse. Coca-Cola's men had met the enemy, and he was theirs.

Only the details remained to be worked out. Descamps asked for \$25,000 worth of equipment and a guaranteed ten-year operating loan. Worried about the propriety of giving him an "outright gift" (especially if it became public knowledge), Curtis countered with the modern charade of leasing Descamps the equipment at no charge and making him a consultant for five years at \$5,000 a year, payable in advance.

"It is my view," Curtis explained in a confidential memo to Woodruff, ". . . that if we can settle the problem in France for \$50,000, the price would be cheap." As indeed it was.

The lesson of the French affair stuck in Coca-Cola's corporate memory for years to come.

The company's top man in Washington, Ben Oehlert, had the newspaper clippings from the period bound up in three red leather volumes

entitled *The French Problem, Publicity*, and he often found occasion to pull them out.

In 1966, for instance, when Coca-Cola granted a bottling franchise in Israel, the thirteen member nations of the Arab League threatened an Islamic boycott. Oehlert promptly arranged an appointment with Mustafa Kamel, the United Arab Republic's ambassador to the United States, showed him the books, and warned him solemnly of the impending "outcry." The American people had a love affair going with Coca-Cola, a romance that defied rhyme or reason, and one interfered with it only at the greatest peril.

Yet corporations are capable of forgetting history, too, and they can be doomed to repeat it. On April 23, 1985, six weeks after Robert Woodruff's death, the company's top officials announced at a jammed news conference in New York that they were changing the formula of Coca-Cola. "The best," said chairman and chief executive officer Roberto Goizueta, "has been made even better." New Coke made its ill-fated debut.

What the management forgot was that Coca-Cola is more than a soft drink—more than a carbonated beverage with definable characteristics that a company lawyer, in his prosaic way, once called "mouthfeel and physical organoleptic properties." Coke has *always* been greater than the sum of its parts, from the very beginning. Back before the turn of the century, thirsty Southerners nicknamed the drink "Dope" in the belief they were getting a little kick from the coca leaf, when in fact they were really getting their lift from sugar and caffeine—four times the amount of caffeine Coke contains today.

There were more than a dozen alterations to Coca-Cola's sanctified secret formula, many of them significant, in the ninety-nine years leading up to the introduction of New Coke. Yet the company kept those changes quiet and jealously guarded the mystique and mythology of the formula. The existence of a lone copy of the original recipe, locked in a vault at the Trust Company of Georgia, unavailable to anyone for any reason except by formal vote of the company's board of directors, was part of the nation's folklore. The *idea* of Coca-Cola was something quite separate and apart from the product. In fact, that was Coke's real secret formula: the inexplicable act of alchemy that elevated a bottle of sugar and water into a national icon. Blindfolded, people were consumers who wanted a new taste. Eyes open, they were Americans who felt betrayed by New Coke.

The backlash against New Coke easily surpassed the French episode of thirty-five years before. Thinking that as many as 5 percent of its die-hard consumers might rebel against New Coke, the management added ten new WATS lines to the seven it already maintained. But the operators were soon handling more than a thousand calls a day, then five thousand, then eight thousand, almost all of them furious. The company put 158 operators to work on 83 lines and eventually answered 400,000 calls. The American public simply refused to accept the notion of a change in Coke, *even if*

the change was an improvement. “It was like saying you were going to make the flag prettier,” one Coke executive realized later. Eleven weeks after the grand unveiling, the management brought back Coke Classic, and a grateful public rewarded the company with a surge in sales that lasted well into the 1990s.

In a sense, Coca-Cola had surrendered to itself. The company pitted the fact of Coke against the fiction, and the fiction won.

It was exactly how the company got started a century before.

One

STIRRINGS

It took two men to invent Coca-Cola, and they could hardly have been more different.

With his full, flowing black beard and dark eyes, John Stith Pemberton was a familiar figure on the streets of Atlanta in the years after the Civil War. A handsome man, a Confederate veteran and war hero, “Doc” Pemberton was a pharmacist who liked to dabble with patent medicines. In the spring of 1886, stirring up the contents of a forty-gallon brass kettle with a wooden oar, he brewed the first batch of a dark, sugary syrup meant to be served with carbonated water and sold at the city’s soda fountains. The most successful soft drink of all time was born.

But it wasn’t *Coca-Cola* until it had a name, and it got that from another man. Frank Mason Robinson was a Yankee and a veteran of the Union Army. Standing barely five feet tall, with jug ears, sad eyes, and a drooping moustache, Robinson was an easy man to overlook, as most historians have. He arrived in Atlanta in December 1885, went into partnership with Pemberton, and got the inspiration of naming the new syrup after two of its ingredients, the coca leaf and the kola nut. He liked the alliteration. Robinson changed the K in kola to a C for uniformity’s sake, put in a hyphen, and then wrote out a label in longhand in the careful Spencerian script that would become the best-known trademark in the world.

Legend credits Pemberton with being the father of Coca-Cola, but Robinson was the father of the *idea* of Coca-Cola, and it was Robinson who kept the venture going through the early years when it very nearly died. He did so even though Pemberton tried to cheat him out of the business.

Doc Pemberton earned his nickname in 1850, at the age of nineteen, when he paid \$5 for a temporary physician’s license issued by the board of the Southern Botanical-Medical College in Macon, Georgia.

His studies were in a discipline known as the Thomsonian School, whose founder, Samuel Thomson of New Hampshire, believed that most human ills could be cured by inciting high fevers and forcibly cleansing the digestive system. Thompson advocated vapor baths, strong emetics, and the use of preparations made of herbs, plants, and other vegetable matter. His recommended cure for nephritis, or kidney disease, for instance, was a compound of equal portions of wild carrot seeds, spearmint, milk-weed,

juniper berries, queen of the meadow, and dwarf elder. The dose was a pint a day.

Not surprisingly, perhaps, the Thomsonians were considered quacks, even in an era when the state of Georgia still licensed doctors to perform bloodletting and prescribe such remedies as mercury, opium, and blisters. Thomson himself was once indicted for murder in the death of a patient. But for all their foolishness, the Thomsonians nonetheless were knowledgeable about botany and chemistry. Their little two-year college in Macon offered a fairly solid course of training in pharmacology, and Pemberton, providentially for all concerned, was drawn in the direction of the laboratory rather than the practice (or malpractice) of medicine.

Abandoning a career as a doctor, Pemberton settled in the bustling Georgia river town of Columbus and was married in 1853 to a fifteen-year-old girl named Ann Eliza Clifford Lewis. In 1855, he opened a wholesale and retail drug business specializing in *materia medica*. An old ad lists drugs, medicines, oils, paints, glass, dye stuffs, perfumery, fancy articles, brushes, surgical instruments, gold foil, cigars, and burning fluid among the articles for sale at Pemberton & Carter.

Pemberton demonstrated a pair of aptitudes in this early period before the war. He had a knack for mixing up potions in the back room, and he had a habit of borrowing money and not paying it back. The two went together. Pemberton dreamed of making a vast fortune with his inventions, and he was likable and convincing enough to get others to put up the stakes. He managed to cajole the then enormous sum of \$10,000 from his wife and her father, Colonel Elbert Lewis. A nephew recalled listening once as Pemberton mused about creating an artificial food that would be based exclusively on the body's needs. On that occasion, Pemberton had laughed at himself: "No chemist," he admitted ruefully, "can improve on milk, eggs, beefsteak, and cornbread." But he did not give up so easily in his other ambitions.

Pemberton's headstrong nature showed itself clearly during the Civil War. He joined the Confederate Army and was commissioned as a lieutenant colonel in the 3rd Georgia Cavalry, but he quit almost immediately because he disliked taking orders. He formed a pair of state militia units he could command himself, and he was wounded by shot and saber defending a bridge during the Battle of Columbus.

After the war, resuming his drug business in Columbus, Pemberton sold nutmeg and pepper to the government and began experimenting again with his kettles and percolators. Often he stayed up tinkering into the wee hours. This was the heyday of the patent medicine era, and Pemberton was anxious to stop selling other people's products and begin selling his own.

The postwar, sharecropper South was a region desperate for remedies of every sort. Most people suffered from inadequate diets, and the poor still subsisted on a so-called white diet of the three M's—meat, meal, and molasses—that led to widespread malnutrition. In rural areas, undrained swamps

were like giant petri dishes, crawling with disease. The long, hot Southern summers bred insects, spoiled food, and drove children outside barefoot where they caught hookworm. Many households lacked even the rudimentary sanitation of the outhouse. Confederate veterans returned home with aching, lingering wounds and maladies. On top of it all, the region's poverty and rural isolation led to a grinding, dispiriting boredom that made many Southerners susceptible to the relief found in little brown bottles that contained alcohol or laudanum and other opiates.

There was nothing the least bit funny about the forces of ignorance and impoverishment that scourged the South, but no one with a touch of larceny in his heart could contemplate the various cures and nostrums on the market without an appreciative chuckle and a touch of envy. The sheer audacity of the claims made on behalf of some of the elixirs was breathtaking. A pharmaceutical house in Philadelphia, for instance, was selling something called Stadiger's Aurantii for \$1 a bottle and promising in newspaper ads that it would cure torpidity of the liver, biliousness, nervous dyspepsia, indigestion, irregularity of the bowels, constipation, flatulence, eructations and burning of the stomach, miasma, malaria, bloody flux, chills and fever, chronic diarrhea, breakbone fever, loss of appetite, headache, foul breath, irregularities incidental to females, bearing-down pains, and backache. Whole pages of the newspaper were devoted to products and pitches worthy of P. T. Barnum (including some by Barnum himself). If people would buy "Dr. Dye's Celebrated Voltaic Belt with Electric Suspensory Appliances, for Nervous, Debilitated Young Men," surely they would buy anything.

Pemberton wanted to get in on the act. The thing he lacked was capital, and he went looking for it in Atlanta.

In 1870, Pemberton, his wife, and their teenage son Charles, joined the 21,789 souls who were hard at work trying to rebuild Atlanta.

The city was founded in 1837 as the southern railhead of the Western and Atlantic Railroad and was burned to the ground by General Sherman during his march to the sea in 1864. Six years later, it was a study in contrasts: a raw, unfinished place, but one full of towering aspirations. The streets were not yet paved—the city code provided a fine of \$100 or thirty days in jail for any merchant who swept paper, fuel, slop, or washings out the door on the dusty downtown boulevards—but the DeGive Opera House was completed in plenty of time for the celebrated actor Edwin Forrest to visit on tour and play Hamlet.

In the agrarian South, other cities moved at the seasonal pace of planting and harvest, but Atlanta was born to the clack of the rails and the fast rhythm of commerce. Atlanta's cash crop was cash. With the collapse of the South's plantation economy, country stores sprouted up in small towns and crossroads communities all across the region, and Atlanta was a natu-

ral distribution center for the goods that stocked the shelves. At times it seemed everyone in town was a carpetbagger, ex-sutler, Yankee drummer, immigrant peddler, or former farm boy trying to make himself over into a real-life Rhett Butler.

Nothing symbolized Atlanta's hunger for wealth and respectability more than the hotel that was thrown open to the public on October 17, 1870. Operating mostly on borrowed money, Hannibal I. Kimball, a financier of such aggression he was called "a steam engine in breeches," built the largest public accommodation in the South in a record time of seven months. The six-story Kimball House, topped with a mansard roof and ornamental towers, was the first building in Atlanta with passenger elevators and a central heating plant. There was no particular *need* for a new hotel so huge and grand, but as the *Atlanta Constitution* exulted in a page-one story, it was "a brilliant augury of our assured development and commercial importance." With its \$20,000 worth of Brussels carpeting and parlors filled with gold-mounted walnut furniture, the Kimball House stood as an announcement to the world that the city of Atlanta was open for business.

Fittingly, Doc Pemberton ended up in the lobby of the Kimball House. In a city bursting with commercial energy, he found the epicenter and set up shop. In the coming years, Pemberton ran a succession of retail and wholesale drug outlets and formed more than a dozen partnerships and corporations with investors who pumped thousands of dollars into his new sideline of proprietary medicines. Pemberton's fanciful inventions included Indian Queen Hair Dye, Gingerine, Triplex liver Pills, and a blood fortifier called Compound Extract of Stillingia or Queen's Delight. His first modest financial success was with a croup cure known as Globe Flower Cough Syrup.

During the 1870s, Pemberton gained prominence. His laboratories were used by the state of Georgia to test agricultural chemicals, and one of his employees became the first state chemist. When the state created an examining and licensing board for pharmacists, Pemberton served as a charter member. By all accounts, Pemberton was a popular and respected figure in the community. A newspaper reporter described his "pleasant, benign face. . . patriarchal beard and kindly eyes."

Yet there was a growing sentiment among a small group of his former partners that Pemberton could not be trusted. A man named A. F. Merrill filed suit in 1876, claiming that Pemberton sold him the rights to Globe Flower Cough Syrup and Compound Extract of Stillingia for \$6,000—\$4,000 in cash and two notes of \$1,000 each—but refused to transfer the formulas and ingredients and later resold the same rights to other people. Other lawsuits leveled similar accusations.

Still, Pemberton was doing well enough in 1879 that he began withdrawing from the drug business to give his full attention to manufacturing proprietary medicines. His next product was his most successful. It involved a new drug with remarkable properties that Pemberton thought gave "a

sense of increased intelligence and a feeling as though the body was possessed of a new power formerly unknown to the individual. . . ." Cocaine.

At lunch one day in the summer of 1884, Ulysses S. Grant bit into a peach and felt a stinging pain so sharp he thought he might have swallowed a bee.

It was not until autumn that the former president saw his doctor and learned he had cancer of the throat. By then it was too late.

Grant's slow, lingering death became a subject of morbid fascination all across the country. Despite the scandals that tarnished his second term in the White House, Grant was still the most beloved public figure in the United States. He was even admired in the South, whose people he had defeated in war. The newspapers in New York City, where Grant lived, set up a spirited competition to disclose as many lurid details about the old general's suffering as they could. One enterprising reporter bragged about seducing a servant girl in an apartment across 66th Street so he could gain access to a window and spy into Grant's bedroom.

As the months passed, Grant decided to cooperate in the death watch. In the spring he was moved to a cottage at Mount McGregor in the Adirondacks, and on mornings when he felt up to it he would dress in a suit, top hat, and slippers and sit on the porch in a wicker chair while tourists filed by to pay their final respects. Grant gave his doctors wide latitude to disclose the particulars of his worsening condition and even agreed to let selected reporters enter his sickroom and observe him. One account described how Grant, unable to swallow because of the agony, dribbled soup down his chin.

One of the things the American people learned about Grant's illness was that he gained relief from his dreadful, wracking pain by using a new miracle drug called cocaine. Some newspapers were so unfamiliar with the substance they called it "cocoacine," but they explained that it was applied both locally as an anesthetic and internally to provide comfort.

The man who provided the cocaine for Grant, and who made sure through promotions and advertising that as many people as possible knew that he did, was a Corsican-born, Paris-based chemist and entrepreneur named Angelo Mariani. Well before Sigmund Freud wrote his treatise *Über Coca*, well before Arthur Conan Doyle created Sherlock Holmes and his "seven percent solution," Angelo Mariani was hard at work selling the world on the wondrous properties of the coca leaf.

Peruvians had been chewing coca leaves for stimulation for centuries, of course, but it was only in the mid-1800s that European doctors succeeded in isolating the active alkaloid, cocaine, and found that it made an excellent local anesthetic useful in eye, nose, and throat surgery. One of the pioneers, a Parisian doctor named Charles Fauvel, introduced the drug to his pharmacist, Mariani, who in turn began thinking of ways to get this miracle drug on the market. Mariani tried mixing cocaine with a variety of other ingredients (including tea and pâté) but found his greatest success

with a wine-and-cocaine cordial he named Vin Mariani. By the early 1880s, from his sprawling brick factory on the Rue de Chartres in suburban Paris, Mariani was directing a global enterprise.

Mariani's favorite promotion was the use of endorsements by celebrities, and over the years he assembled quite a remarkable roster. President Grant's physicians, Drs. Fordyce Barker, John H. Douglas, and George Shradly, furnished statements praising Vin Mariani. So did Sarah Bernhardt, William McKinley, Thomas Edison, Pope Pius X, Emile Zola, Lillian Russell, Henry Irving, and ex-Emperor Don Pedro of Brazil. Some of the testimonials Mariani collected may have been forged or sent in by underlings, but in all he eventually published fourteen leather-bound volumes containing statements of tribute from hundreds of composers, artists, singers, actors, writers, and other luminaries. Almost all of them sounded genuinely enthusiastic.*

Exactly what Vin Mariani *did* for its devotees is a matter of some guesswork. Mariani's formula called for one-tenth of a grain of cocaine per ounce, and the recommended dosage was a "claret-glass" three times a day, after meals. Assuming a wine glass held five ounces, a consumer would ingest a grain and a half a day, or by modern measure about one hundred milligrams—roughly equivalent to the familiar "line" of cocaine that users were snorting in the form of white powder a century later. There is no scientific measure for determining what constitutes a "buzz," but it seems safe to assume that Vin Mariani provided one, especially at 22 proof.

The popularity of Vin Mariani inspired imitations on both sides of the Atlantic. In the United States, for example, Parke Davis & Company trotted out a Coca Cordial, and in Atlanta, Doc Pemberton created Pemberton's French Wine of Coca.

Pemberton made no pretense of originality. The recipe for wine coca was available from the French Pharmaceutical Codex and other sources, and he admitted later to a reporter that he "followed very closely the most approved French formula." Pemberton did make one slight adjustment, however, by adding in a pinch of another popular new drug, extract of the African kola nut.

Pemberton set up his new operation at 59 South Broad Street in downtown Atlanta, hired a small work force of laborers, and began manufacturing French Wine of Coca in tall, English-style flint bottles for sale at \$1 apiece. Sales of French Wine of Coca took off toward the end of 1884, and Pemberton claimed that on one memorable Saturday in the summer of 1885 he sold 888 bottles. At the age of fifty-four, after years of striving, Doc Pemberton had a success on his hands.

* By far the most arresting endorsement came from the French sculptor Frédéric-Auguste Bartholdi, creator of the Statue of Liberty, who wrote that if he had discovered Vin Mariani and started using it earlier, "it is very probable that [the statue] would have attained the height of several hundred metres."

To make the most of it, he needed fresh capital and new partners. He started by finding a new landlord. Ed Holland, the son of one of Atlanta's pioneer bankers, was renting out his family's old house at 107 Marietta Street. The two-story redbrick structure, three blocks from the center of downtown on the main east-west thoroughfare, had been overtaken by commercial development and the top floor was run as a boarding house. One observer, describing the impoverished residents in their dark frocks and coats, likened the place to an "old rookery," as if its second story were a perch for blackbirds.

In the closing days of 1885, Pemberton moved into the Holland house. He set up his office and a storage and sales room on the ground floor facing the street and assembled his manufacturing laboratories in the back room and basement. He rigged up a funnel between the floors and filled it with fine, white Chattahoochee River bottom sand to filter the French Wine of Coca as it trickled down into a metal trough and settling tank below. The basement contained the forty-gallon brass kettle he used for heating and mixing his other medicines. There was a Matthews bottling machine (which looked like a small Victorian monument set into the middle of a workbench) under a coal shed out in the backyard.

It was a distinctive operation, hard to miss, and Pemberton found that he had no need to go searching for his new partners. They came looking for him.

Frank Robinson and David Doe were strangers in town. They arrived in Atlanta in December 1885 lugging a color printing press, hoping to start an advertising business.

The two men were old friends, natives of Maine who ran a general store together in the years after the Civil War and later headed west. After an up-and-down string of modest successes and bankruptcies in small towns in Iowa, they turned their sights south.

A newspaperman sent Robinson and Doe around to see Pemberton, where they quickly struck an agreement. Pemberton would make his patent medicines, and Robinson and Doe would print the ads and handle the promotional end. The deal made so much sense that Holland joined in as a principal, too, turning over title to his premises in exchange for a share of the business. The Pemberton Chemical Company was incorporated in January 1886.

Robinson gambled everything he had on the venture. Like Doe, he put up his half of the printing press, and he also got his brother Charles to invest \$6,500. Their father, J. L., put in another \$500, and two friends contributed \$6,000.

Trained as an accountant, with a bookkeeper's patient, methodical habits, Robinson made an unlikely entrepreneur. Certainly he did not look or act the part. He was short and solid, and his manner was quiet and polite to the point of timidity. His eyes held a fixed expression that could only be characterized as baleful. An acquaintance once described him as "a little

dried-up fellow.” Yet his life was dotted with episodes of risk-taking. Born in East Corinth, Maine, in 1845, Robinson was underage when he ran away from home to join the Union Army, where he gained enlistment after rocking upward on the stiff soles of his boots to add a couple of inches to his height. He served until a bout of typhoid fever led to his discharge. Later, going west after the war, he built the first house in Sibley, Iowa, and was elected county auditor.

Robinson threw himself into his new business in Atlanta. Not content with minding the books upstairs, he joined Pemberton in the basement as a sort of sorcerer’s apprentice, learning his way around the laboratory and helping to brew the line of medicines.

Most significant, he encouraged Pemberton to experiment with a new product.

There is a common misconception that Coca-Cola evolved from French Wine of Coca. The voters of Atlanta narrowly approved a referendum on November 25, 1885, calling for local prohibition, and it was scheduled to go into effect July 1, 1886. Some historians have speculated that Pemberton, checkmated at his moment of triumph by a law banning alcohol, retreated to the lab, removed the wine from French Wine of Coca, and emerged with a non-alcoholic substitute, Coca-Cola. It makes a tidy theory, but it isn’t true. The local law closed the saloons—P.J. Kenny, whose name survived to grace the main alley of the entertainment and retail complex Underground Atlanta a century later, shut his doors and took up selling boots—but other liquor sales were unaffected.

Actually, the impetus behind the development of Coca-Cola was a bit more mercenary. By 1886, Atlanta had five soda fountains operating during the summer months, and the principals of Pemberton Chemical wanted a beverage they could sell by the glass. At 75 cents or \$1 a bottle, even the most popular patent medicines had a limited market and tended to appeal to those who were sick or thought they were. But almost everyone could afford a nickel for a soft drink, and the potential clientele included anyone who got thirsty during the frying-pan heat of Atlanta’s summer season.

The trick was finding the right formula. Carbonated, fruit-flavored soft drinks had been around since the early 1800s—the *U.S. Pharmacopoeia* of 1820 gave directions for making a sarsaparilla syrup—and by Pemberton’s time several proprietary brands were coming on the market, including Hires root beer, Clicquot Club sparkling cider, White Rock ginger ale, and a Boston-based novelty called Moxie.

But there was no such thing as a “cola” soft drink. In fact, there was no such thing as *cola*. Kola was the generally accepted spelling and shorthand name for a species of tree, *Kola acuminata*, found in West Africa. At around the same time European doctors were discovering the remarkable properties of the coca leaf, they also stumbled on the seeds of the kola fruit, and some thought (or at least hoped) they had found another miracle drug.

Commercially, kola burst upon the scene in 1881, thanks to a prominent London druggist named Thomas Christy, who mailed samples to drug houses across Europe and in the United States trying to drum up business. Proponents of the kola “nut” (as the seed was popularly misidentified) began making claims on behalf of their discovery that were even more elaborate than those put forward for cocaine.

The problem, however, was that the kola nut’s active ingredient turned out to be caffeine. Unlike cocaine, which proved to be quite a potent drug indeed, kola had no greater curative powers than a cup of tea. In spite of the ardent promotions and exaggerations of die-hard believers, kola failed to catch on with the public as a remedy. But Pemberton had an inspiration. His idea, as he heated and stirred the contents of his brass kettle in the spring of 1886, was to create a soft drink with extract of kola as its base—a soft drink that could, in theory, compete with tea and coffee. In the hot South, a cool, carbonated substitute for the traditionally hot caffeine beverages just might make a fortune.

The stumbling block, Pemberton found, was that liquid extract of kola was extremely bitter and astringent, noticeable and disagreeable even in tiny amounts. He conducted extensive trial-and-error experiments, but one associate who visited regularly during that period recalled that the results he sampled were “an awful mixture.” There simply was no way to put in enough kola extract to have an effective amount of caffeine without making a syrup that curled people’s lips. People might accept and even appreciate foul taste in a medicine, but not in a beverage.

Eventually, as the weeks passed, Pemberton gave up on kola extract and began working on a different approach. His breakthrough came when he tried cutting the amount of kola extract in the syrup to a tiny drop and substituting synthetic caffeine in its place. “Pure” caffeine, in the form of a dry, white powder, came from several natural sources—tea, coffee, kola, and cocoa, for example—and in Pemberton’s case, he turned to the German pharmaceutical house Merck for caffeine obtained by removing the starch, gum, resins, and other constituent elements from kola.

The synthetic caffeine was bitter, too, but not nearly so overpowering as the kola extract. Pemberton discovered that he could mask the taste of the caffeine with sugar and other ingredients, and he began refining a recipe that would please—or at least not assault—the nostrils. At last he stood on the verge of inventing Coca-Cola. Down in the basement of the Holland house, Pemberton filled his forty-gallon kettle with plain water, which he then heated to a boil over an open fire. Using a wooden paddle to stir the solution, he melted in sugar and caffeine. Next, he added caramel for coloring, giving the syrup its dark, distinctive, port-wine color. * To balance the

* Caramel in the form of burnt sugar (not to be confused with the tan-colored, chewy candy that has the same name) was widely used as a coloring agent in patent

sweetness of the sugar and give the syrup its “tang,” he added lime juice, citric acid, and phosphoric acid.

Then, as the basic blend cooled, Pemberton turned to the question of flavor. Into the mix went vanilla extract, elixir of orange, and several pungent oils refined from various fruits, herbs, and trees: lemon, nutmeg, spicebush, coriander, and neroli, the last an ingredient in perfumes distilled from the flower of the orange tree. The most exotic component was oil of cassia, also known as Chinese cinnamon, made from the bark of a tree found in the tropical regions of Asia.

And, of course, Pemberton added to this brew the fluid extract of coca leaves. Exactly how much cocaine went into the inaugural batch of Doc Pemberton’s new soft drink syrup is impossible to calculate more than a century later, but even a touch of the drug, in combination with the sugar and caffeine—four times the amount in today’s Coke, or about the same as a strong cup of coffee—made Pemberton’s concoction quite a stimulating beverage.

In April and early May of 1886, Pemberton dispatched runners from his basement to Willis Venable’s soda fountain three blocks away with small samples of his concoction for taste tests by the customers. Venable, the self-styled “Soda Water King of the South,” operated a popular business (with a twenty-five-foot-long marble counter) on the ground floor of Jacobs’ Pharmacy at 2 Peachtree Street, in the exact center of downtown Atlanta known as Five Points. Legend has it that Venable “accidentally” served the new syrup with carbonated water, but actually the plan from the very outset was to squirt it into a glass and sprite it with cold, carbonated water from the fountain. Years later, Frank Robinson recalled that as Pemberton made his adjustments in the formula for the new syrup, “it was taken to Mr. Venable’s soda fountain for the purpose of trying it and ascertaining whether it was something the people would like or not.” After various modifications, Robinson reported in his dry, undramatic way, “It seemed to be satisfactory.”

What it lacked was a name. Each of the four partners in Pemberton Chemical submitted a suggestion, and Robinson carried the day. Not everyone appreciated his cleverness: Venable found the name Coca-Cola so hard to remember, he admitted later, that he had to write it down. Nonetheless, on Saturday, May 29, 1886, the *Atlanta Journal* carried a small block of type on the patent medicine page:

Coca-Cola. Delicious! Refreshing! Exhilarating! Invigorating!
The New and Popular Soda Fountain Drink, containing the
properties of the wonderful Coca plant and the famous Cola
nuts. For sale by Willis Venable and Nunnally & Rawson.

It was the first Coca-Cola ad.

medicines. Among other things, it helped conceal any foreign matter that might fall, crawl, or fly into the vat during preparation.

And it was almost the last.

Pemberton fell ill soon after perfecting Coca-Cola and the whole business foundered. A painful inflammation of the stomach and intestines that had tortured him for years flared up anew, and Pemberton took to his sick bed in the small house—more like a cottage, located a few miles east of town—that he shared with his wife.*

Pemberton Chemical fell quiet. After a promising couple of weeks at Venable's, Nunnally & Rawson's, and the other soda fountains in town, sales of Coca-Cola fell off and its ads abruptly disappeared. During the whole summer, only twenty-five gallons were sold, bringing in less than \$50. David Doe gave up. He pulled out of the business and left town, taking the printing press he and Robinson owned with him.

But Robinson stayed. He believed Coca-Cola was a good product. It had an appealing taste (although some said you had to try it a second time to appreciate it fully). It had stimulating properties likely to improve the mood and boost the energy of almost any customer, and a customer could be almost anyone. It was priced right, and it could be sold not just once in a while, but over and over again, several times a day. Its only shortcoming was that few people knew what it was or even that it existed. There was no demand for Coca-Cola, Robinson figured, because nothing quite like it had ever been offered before. It simply had to be advertised.

Robinson set out to give Coca-Cola another chance. He spent months working on the design of the trademark, carefully drawing the flowing script of the letters. He went to a local engraver, Frank Ridge, for a smooth, finished version. In the fall of 1886, he had a woodcut made by the James P. Harrison Company so that the trademark could be printed on cards and distributed. In the spring of 1887, Robinson helped bring Coca-Cola back to life by passing out "sampling" tickets around Atlanta. The trick was to get people to try Coca-Cola, and a ticket was good for two free glasses. Using the city directory, Robinson mailed tickets to the homes of prominent citizens. He arranged for a promotional endorsement of Coca-Cola, on Pemberton's stationery, from Willis Venable: "'Tis growing rapidly in favor; gives pleasure to my customers and profit to myself." Robinson also

* One intriguing possibility is that along with gastroenteritis, Pemberton may also have developed a drug habit. Cocaine, swallowed in the form of the liquid extract available from the shelves of his lab, would have provided relief from the intense discomfort of his condition, and he would hardly have been the first pharmacist of his time to sample the wares. In a court case years later, two disgruntled former associates testified that he was, in the phrasing of the time, a "dope fiend." They might have been exaggerating or lying, but there is no question that Pemberton's son was an addict. After ten days of "intense suffering," Charley Pemberton died in 1894 of an overdose of opium.

oversaw the manufacture of an inventory of retail advertising materials, including 500 street car signs, 1,600 posters, 45 tin signs, and oilcloth hangers for the soda fountains, all ready for deployment around Atlanta. Starting April 1, 1887, Pemberton Chemical even signed up a salesman, Woolfolk Walker, who traveled by train to various Southern cities taking orders for the company's line of products.

By early summer, Robinson had logged orders for nearly a thousand gallons of Coca-Cola syrup from druggists and soda fountain operators in Atlanta, Columbus, Birmingham, Memphis, and several small cities in Georgia. It seemed the new soft drink just might be a success after all.

On June 6, 1887, in the midst of this mild boom, Doc Pemberton applied to the U.S. Patent Office to register the label of "Coca-Cola Syrup & Extract." On June 28, the trademark was granted. But there was something a bit unusual about it. It wasn't in the name of the Pemberton Chemical Company. It was in Pemberton's name as an individual.

Pemberton had fallen sick again, and as always he needed money. He decided to sell Coca-Cola to Venable, the soda fountain man, but there was a catch. Venable was broke, too, having just bought a house in Atlanta's West End.

In early July 1887, Pemberton called an old friend, an investor and proprietary medicine salesman named George Lowndes, out to the cottage. Lowndes found him bedridden. "I am sick," Pemberton told him, "and I don't believe I will ever get out of this bed." Pemberton explained what he had in mind, and the two men quickly agreed on a deal. Lowndes would put up the money, Venable would be his working partner, and together they would own two-thirds of the rights to Coca-Cola. In exchange, Lowndes would give Pemberton an interest-free \$1,200 loan. On July 8, 1887, the three men signed a contract, and the two outsiders took a controlling interest in Coca-Cola.

The partners in Pemberton Chemical were completely left out. When Robinson found out what had happened, he felt he'd been stabbed in the back. Despite his meek manner, Robinson was a man with a vivid sense of right and wrong. He wanted his stake in Coca-Cola restored, and he was willing to fight to get it back.

One day shortly after Pemberton struck his deal, Robinson and Ed Holland, the other injured party, happened to be walking near the Fulton County courthouse in downtown Atlanta. It was a "Sales Day," when foreclosed property was auctioned on the courthouse steps. Naturally, quite a few lawyers were milling around. Holland recognized one of them as an old family friend, John S. Candler, and introduced him to Robinson. As the three men stood talking on the street corner in the hot sun, Robinson spilled out his story and urged Candler to take the case.

Candler, just twenty-five years old but already a prominent attorney in town, did not see much hope. He knew Doc Pemberton and was fond of

him, but he also knew Pemberton's reputation in business. Nevertheless he agreed to go see Pemberton on Robinson's behalf.

"I found him lying on a bed," Candler recounted later, "not under cover but his coat off—I remember very well, his wife met me and I went in to see him and told him what they had said."

Pemberton listened quietly while Candler laid out Robinson's and Holland's case. Yes, Pemberton admitted, he had sold the rights to Coca-Cola, but he denied that the rights ever belonged to Pemberton Chemical. Robinson and Holland, he insisted, owned no part of Coca-Cola. Then he added bleakly, "It don't make much difference, though, even if they did have any rights. I don't know how you would get anything out of me." Candler never forgot the exhausted resignation in Pemberton's voice: "That's the way he put it: 'I don't know how you would get anything out of me.'"

A day or two later, Candler showed Robinson into his office and explained that it was pointless to proceed. There would be no lawsuit because there were no assets to recover. Pemberton was penniless. "I don't much care for your case on any contingent fee [basis]," Candler told Robinson, laughingly ruefully. It was time to give up.

But Candler did perform one favor for the little man. He brought Robinson's plight to the attention of his brother, Asa.

The Candlers were one of the most remarkable families in Georgia. John was the youngest of eleven children born to Samuel Charles Candler and his wife, Martha Beall Candler. The father was a planter, miner, developer, and merchant in Villa Rica, a town thirty-six miles west of Atlanta. Their sprawling house, on what was then the fringe of the wilderness, was a place of culture, complete with a private library and grand piano.

Several of the children achieved distinction. The eldest, Milton, was a state legislator, a captain in the Confederate Army, and later a four-term congressman from Atlanta. Another son, Ezekiel, practiced law in Mississippi and sired a congressman who served for years from that state. A third son, Warren, was the leading bishop in the Southern Methodist Church. John Candler went on to serve on the Georgia Supreme Court.

Asa Griggs Candler, the eighth child, was the most exceptional of all. He was born in 1851 and showed an early interest in medicine. But the Civil War interrupted his schooling and stripped his family of their land and most of their wealth. After completing only seven years of formal education, Candler apprenticed himself to two doctors in Cartersville, Georgia, in the early 1870s, and then ventured to Atlanta to make his way as a druggist.

Wearing homemade clothes, Candler arrived in Atlanta on July 7, 1873, with exactly \$1.75 in his pockets, and spent the day walking the streets, looking for work. One of his many unsuccessful stops was at Pemberton's store in the lobby of the Kimball House. It was after nightfall when Candler finally landed a menial job with another pharmacist, George J. Howard, who put him to work on the spot until the store closed at midnight.

For a while, Candler slept on a cot in the basement of Howard's store at 47 Peachtree Street. The ceiling of the room was so low he had to stoop when he stood, though he was only five foot six. One of his duties was to answer the doorbell late at night if customers called for emergency prescriptions.

Candler did not intend to stay in the cellar for long, like Pemberton, he had the heart of an entrepreneur. As a teenager, Candler made his first dollar when he chased a wild mink through the woods, cornered it—taking a nasty bite on his right forearm in the process—and sent the skin to market. Soon he organized a mink-trapping operation with several neighbors around Villa Rica. He also made money buying straight pins from Atlanta and reselling them in the country. Unlike Pemberton, Candler had a head for business, and he quickly prospered in Atlanta. Howard soon made him the store's chief clerk, and in 1877 Candler started his own business.

Candler's boldness extended to romance as well as commerce. He is remembered for the prim, wintry rectitude of his later public life, but at twenty-six he was a young swain with wide-set expressive blue eyes and a streak of daring. He fell in love with George Howard's teenage daughter, Lucy Elizabeth, known as Lizzie, and defied all of Howard's desperate attempts to forbid the alliance. Howard bitterly opposed his daughter's marriage to a man who had been his employee, but Candler pushed ahead with their engagement anyway. Howard refused to attend their wedding and for several months would not even speak to the young couple. Eventually, though, he relented. In a formal letter to Asa, more than ten months after the ceremony, Howard offered stiffly to “bury the hatchet” and be friendly in the future,” and in 1882 the two men went back in business together, this time as partners. In 1886, Candler bought out the older man and became the sole proprietor of Asa G. Candler & Company.

By 1887, when he got to know Frank Robinson, Asa Candler was running a flourishing drug business, headquartered in a handsome, three-story brick building on Peachtree Street. He could afford to help a sad-faced, hard-luck character by giving him a little part-time work as a bookkeeper, and he did so. The job helped Robinson feed his wife and daughter.

In mid-July 1887, Lowndes and Venable concluded their deal with Pemberton by paying him \$283.29 in cash for the physical assets of Coca-Cola: inventory, ingredients, advertising materials, and equipment, including the forty-gallon brass kettle. They sent a horse-drawn dray to 107 Marietta Street and had the goods carted to the basement of Jacobs' Pharmacy, where Venable leased a 3,000-square-foot space for storage.

Under the partnership agreement, Venable was to manufacture Coca-Cola syrup in his basement and sell it at his fountain on the ground floor, while Lowndes took charge of sales to other fountain operators and druggists in Atlanta and around the South.

“Orders began to come in and I went around to see how Venable was

making out,” Lowndes recalled later. “To my surprise I found all the material and fixtures set over in the corner of the basement. No effort had been made by Venable to make any syrup.”

Venable was selling off the ten gallons of finished syrup that was part of the inventory they’d bought, but he wasn’t producing any new syrup. He told Lowndes he was too busy serving customers. They argued, and Venable promised to do better. But a few weeks later, when Lowndes checked again, he found that Venable still hadn’t made a drop of Coca-Cola. Venable continued to think the beverage had a promising future, but he discovered he had little enthusiasm for manufacturing it or trying to build a distributorship—and no capital to contribute to the venture in any case. He wanted out. Busy with his own work as a salesman, Lowndes decided to cut his losses and sell his and Venable’s two-thirds share of Coca-Cola. He approached several drug proprietors in Atlanta, but all of them turned him down flat. Finally, in desperation, he approached Woolfolk Walker, the salesman at Pemberton Chemical. Like everyone else at the old company, Walker was nearly broke. He was boarding in a room at 107 Marietta Street because he couldn’t afford other lodging. “Coca-Cola,” he repeated to Lowndes. “Why, I couldn’t buy a postage stamp. I haven’t got a dollar.”

“All right,” Lowndes said, “but if you can go out and raise a thousand dollars on the outside, I will sell it to you for one thousand dollars cash and you can pay me the balance out of profits of the company.”

Walker was tempted. It was a piece of luck that his youngest sister, Mrs. M. C. Dozier, had recently sold her house in Columbus and moved to Atlanta, planning to spend the proceeds on a new home. Walker asked her for the money. She refused, explaining that she and her husband needed the cash to put a roof over their heads. Her husband would be angry if she gave up the money. But Walker insisted. He was the oldest of seven children, she was the youngest, and he held sway over her. He took \$1,200 from her, and on December 14, 1887, he bought Lowndes’s two-thirds share of Coca-Cola.

The assets of Coca-Cola were moved back where they started, to the basement of Pemberton Chemical, and placed in storage, as if hibernating for the winter.

Frank Robinson observed the latest twist in the fortunes of Coca-Cola and saw an opportunity.

During the winter of 1888, he pitched Coca-Cola to Asa Candler over and over again. One day Robinson pointed out the window at a wagon full of empty beer kegs and told Candler that someday wagons might roll by filled with kegs of Coca-Cola. Initially, Candler was unenthusiastic. For one thing, his business didn’t have a soda fountain. There would be no place to sell a soft drink. Then, too, Candler had ambitions of moving out of wholesale and retail drug sales and into the proprietary medicine field. He had acquired the rights to a tonic called Botanic Blood Balm and a

dentifrice named De-Lec-Ta-Lave, along with a toilet water called Everlasting Cologne. He had little interest in taking on a fourth product. He told Robinson no.

Then something happened to change Candler's mind. He suffered from recurrent headaches and dyspepsia, the fruits of his long work hours and tightly wound personality. During a visit to Jacobs' Pharmacy one day, he sampled a Coca-Cola at Venable's suggestion and discovered that drinking it made him feel better. The carbonation in the soft drink alleviated his indigestion and the caffeine gave him relief from his headache. He found the results little short of a miracle.

Within days, Candler seized control of Coca-Cola. He eased Pemberton out, acquiring his one-third share by canceling an old debt of \$550. Then he paid Walker and his sister \$750 for half of their stake. That gave Candler a majority interest, and the first thing he did was to send Frank Robinson back down to 107 Marietta Street and put him in charge. After a year of struggle, Robinson was back on top.

DOC Pemberton died on August 16, 1888. The enteritis that had savaged his stomach and intestines and kept him in a sickbed claimed him at the age of fifty-seven.

His popularity remained intact among the many Atlantans who had avoided entering into business deals with him, and his fellow pharmacists closed their doors during the hour of his funeral to show respect for one of their own. They met in Asa Candler's office at 47 Peachtree Street to pay tribute to Pemberton, and Candler spoke of "his lovable nature and many virtues." Then Candler sent a one-horse wagon around to collect the physical resources of Coca-Cola and put them under his own roof for good.

Candler was now one of the most prosperous druggists in town. He could be found most days waiting on customers and preparing prescriptions on the ground floor of his business on Peachtree Street. At the age of thirty-seven, he was in his prime. His oldest child, Howard, then nine, could recall seeing his father hoist a twenty-pound, wicker-covered demi-john full of carbolic acid up onto his shoulder and hold it perfectly still while he poured off a measure into a glass graduate.

Along with his business success, Candler was cultivating a reputation for solemnity and personal probity. The rambunctious boy was gone, and in his place stood a teetotaler, an ardent non-smoker and active Sunday school teacher, a stiff man who wore starched collars. Every morning when he awoke, he made it a point to remind himself of Marcus Aurelius's motto, "Rise to a man's job." With his thin, downturned lips, Candler seemed to be greeting the world with serious moral purpose, and perhaps even a touch of parsimony in his heart. His eyes took on an icy glint. He was cursed with a high-pitched voice, yet he had a commanding aura and he made men respect him.

Candler brought Frank Robinson into the business as if he were a mem-

ber of the family. Robinson was named general superintendent of Asa G. Candler & Company, given a desk in the office, and put in charge of compounding Candler's proprietary medicines down in the basement.

The first order of business was to refine the formula for Coca-Cola. At the beginning of the last season, Robinson had been swamped with complaints from soda fountain operators that the syrup turned rancid in storage. Because it lacked an adequate preservative, Coca-Cola syrup was highly unstable. Among other things, it had a tendency to begin fermenting. In addition, Pemberton had used tin cans as well as glass jars to market it, and the tin provoked a chemical reaction with the phosphoric acid. Experimenting together, Robinson and Candler added glycerine to the mix and found that it worked effectively as a preservative and smoothing agent. They got rid of the tin cans.

Then they began tinkering with the two name ingredients, coca and cola. Each presented a problem. The first stirrings of a national debate had begun over the negative aspects of cocaine, and manufacturers were growing defensive over charges that use of their products might lead to "cocainism" or the "cocaine habit." The full-throated fury against cocaine was still a few years off, and Candler and Robinson were anxious to continue promoting the supposed health benefits of the coca leaf, but there was no reason to risk putting more than a tiny bit of coca extract in their syrup. They cut the amount to a mere trace.

With extract of kola, the difficulty was the taste. Even with the tiny quantity Pemberton used, the bitterness was still noticeable and still disagreeable. Not only that, it was expensive—the dried nuts cost \$20 per pound on the wharf in New York. So the extract of kola was cut to a minuscule amount as well. Candler and Robinson found themselves in the interesting position of preparing to market a product that contained very little of either ingredient in its trademark—an irony that would have profound legal implications (and shape an entire beverage industry) in the years to come.

In the interest of secrecy, Candler and Robinson stopped referring to the ingredients in their new formula by name and instead began calling them "merchandises." Merchandise No. 1 was sugar, No. 2 caramel, No. 3 caffeine, No. 4 phosphoric acid, No. 5 the combination of coca and kola extracts, No. 6 glycerine, and No. 7X the super-secret blend of flavoring oils.

Next, Candler tidied up his chain of title, buying out the final one-third share of the rights to Coca-Cola still held by Pemberton's old salesman Woolfolk Walker and his sister, Mrs. Dozier. Candler paid them \$1,000, and Walker bade a shabby farewell to the Pemberton era by skipping town for Hot Springs, Arkansas, without saying good-bye or paying his sister back.

On May 1, 1889, at the start of the soda fountain season, Candler ran a big ad in the *Atlanta Journal* proclaiming his company "sole proprietors" of Coca-Cola.

Everything seemed to be in place, yet the success of Coca-Cola was still far from assured, and one reason was that Candler had his doubts about the appeal of the product. He was never entirely sure whether to advertise it as a simple refreshment or a curative patent medicine, and so he tried both, often in the same ad. Coca-Cola was “Delicious!” and “Refreshing!”—and at the same time it was a “brain tonic and nerve stimulant.” Mostly, Candler retreated to the familiar, tried-and-untrue patter of patent medicines. He was very much a man of his times, and he was comfortable with the old-fashioned hyperbole of his craft. In a brochure he sent to druggists, Candler touted his top product, Botanic Blood Balm, by saying:

When your blood is impure, when aches and pains trouble you, when sores break out on your person, when you feel weak, nervous and debilitated, when your appetite fails, when you are troubled with dyspepsia, when there is a general functional derangement of the system, when you feel all broke up and life hardly seems worth living, give B.B.B. a trial, and you will at once begin to grow better and stronger.

He took a similar tack with Coca-Cola. The same brochure contained druggists’ endorsements of Coca-Cola as a cure for insomnia, neuralgia, headaches, and mental fatigue, and Candler even echoed the claims of the old French Wine of Coca by promising relief “where the voice has been inordinately excited by singing and speaking.”

What really propelled Coca-Cola, in the end, was its ability to sell itself. In addition to advertising, Candler underwrote an aggressive sampling campaign for the drink that gave people a chance to try it for themselves for free. The deal was disarmingly simple. Druggists all across the South were asked to send Candler the names of 128 of their best customers—exactly the number of ounces in a gallon. Candler then wrote the customers directly, enclosing a ticket good for a free glass of Coca-Cola at their local soda fountain. The local druggist was then given *two* gallons of syrup: The first was to be used giving away the samples, and the second was for actual sales to “those who will certainly want more.” At a nickel a drink, a druggist stood to pocket \$6.40 if he could sell the second gallon. To succeed, of course, the gambit required people to like Coca-Cola, and to ask for it again and again, so that the druggist would reorder a third and fourth gallon and more, and start paying Candler his \$2 per gallon wholesale price. It was an expensive proposition, one that went against Candler’s grain, and Robinson had to prod him to keep accepting the front-end losses. But it worked.

In the summer of 1890, Candler’s second season, sales of Coca-Cola syrup more than quadrupled to 8,855 gallons. In the soda fountains of the South, people were beginning to come in and ask for a Coke.

Early in 1891, Candler announced that he was quitting the drug business to go full-time into manufacturing his proprietary medicines.

He and Robinson moved to a makeshift factory on the second and third floors of a three-story brick building at 42½ Decatur Street, in a rough section of Atlanta a block from the railroad tracks. It was not a grand enterprise. Their downstairs neighbors were a secondhand shop, the New York Clothing House, and Bob Parrish's pool hall. Candler's labor force consisted of a nephew, Sam Willard, and a black helper named George Curtwright, who toiled from Monday through Friday mixing Candler's top product, Botanic Blood Balm. On Saturdays they cleaned out the forty-gallon brass kettle and made Coca-Cola.

Production was a mess. Willard and Curtwright broke up wooden boxes for fuel to feed a crude brick furnace, brought the water in the kettle to a boil and heaved in bags of confectioner's sugar, caffeine, and caramel. They used wooden paddles to stir the bubbling syrup and try to keep it from scorching. Sometimes they miscalculated and the kettle boiled over. When that happened, sticky, scalding syrup would leak down the walls and through the ceiling below, and Candler had to pay for ruined clothes and other damages several times. Years later, describing the plant to a gathering of Coca-Cola salesmen, Candler shook his head at the memory. "We had a large copper kettle for boiling the syrup," he said, "and one big-footed Negro to handle the paddles. Boys, it was some equipment."

In the summer months, with no air conditioning, the work was hellishly hot. Willard and Curtwright were awash in sweat, and their feet slipped and slid in the moist sugar that spilled on the wooden platform around the kettle. The thick, sweet smell of molten sugar attracted hundreds of bees and yellow jackets that swarmed through the screenless open windows. On Sundays, the cooled-off syrup was pumped by hand into barrels, where the phosphoric acid, coca and kola, flavorings and glycerine were added, and the final product was, in Willard's phrase, "vigorously shaken and sent on its way." Quality control was invested in Frank Robinson's olfactory nerves: He sniffed and tasted a sample from each batch of syrup before giving it his blessing.

Deliveries of Coca-Cola were made by Curtwright's brother Bill on a dray pulled by a horse called "Ol' Bird." When Candler bought the first brass-mounted harness for the rig, Curtwright took pride in spending his Sunday mornings keeping it polished.

For all the crudeness of Coca-Cola's operations, however, sales continued to rise. In Atlanta and other cities across the South, druggists were beginning to appreciate the benefits of selling Coke. In the summer of 1891, Candler and Robinson sold 19,831 gallons of syrup, more than double the year before. As he reviewed his prospects that autumn, Candler real-

ized that he had to have more money—a great deal more money, perhaps as much as \$50,000 in cash—to move the factory, expand the production facilities, hire a sales staff (he had only a single full-time Coca-Cola salesman, George W. Little, who had to share Ol' Bird with Bill Curtwright), and pay for the exponential increases that would be necessary in the costs of advertising, sampling, inventory, and distribution.

Candler did not have that kind of money. Nor did he have enough credit to borrow it. And so, in the fall of 1891, he decided it was time to incorporate Coca-Cola, sell shares, and raise capital. Candler's idea was to keep half the company and sell the other half to major wholesalers in cities up North who would distribute the product. The Coca-Cola Company of Georgia was formed early in 1892, with Candler as president and Robinson as secretary. The corporation issued 1,000 shares with a value of \$100 apiece, and Candler took exactly half. He gave ten shares to Frank Robinson and then offered the other 490 shares for sale through stock brokers in Baltimore, New York, Boston, and other cities.

Had all gone according to plan, Candler would have raised \$49,000 in fresh capital. But there was a problem. Coca-Cola was a Southern phenomenon, virtually unknown up North, and no one seemed to want to take the risk. Only 75 shares were sold (to F. W. Prescott, a broker in Boston), yielding a meager \$7,500 in new principal.

Asa Candler was stuck with the company. He would have to build Coca-Cola by himself.

Two

DOPE

With the failure of his stock offering in 1892, Asa Candler was forced to build the Coca-Cola Company slowly—by word of mouth.

His salesmen, several of whom were his nephews, rode the rails from town to town lugging trunks full of complimentary tickets (“Good for a 5¢ glass of Coca-Cola at the soda fountain of any druggist”), which they pressed on any bypasser who would slow down long enough to take one. From Atlanta, using a pair of stenographers, Candler wrote letters to thousands of people all across the country sending them free tickets and urging them to try his new soft drink. It was the nineteenth-century’s version of a direct-mail and street-corner sampling campaign, and it worked. Before long, the company was redeeming \$50,000 in tickets a year, good for a million free tastes.

“If you can imagine a small man with a fine voice raising particular Cain about advertising expenses, that little man was Uncle Asa when he would see the figures,” recalled one of his nephews, J. J. Willard. “I don’t think he ever believed how much this free sampling did to introduce Coca-Cola.” Actually, Candler understood perfectly well how successful the strategy was, he simply hated giving away something for nothing. But his nephews and Frank Robinson kept prodding him and he went along. People tried Coca-Cola, liked it, and told their friends.

The company prospered. Coca-Cola survived the Panic of 1893 with surprising ease, demonstrating (as the Great Depression later confirmed) that people generally could afford a nickel for a small treat even in the worst economic times. Sales rose every year during the Gay Nineties and reached 281,000 gallons by the end of the decade. The syrup factory was moved and expanded twice to meet the burgeoning demand. Gradually, steadily, an ever thickening stream of customers went to their local drug-stores on spring and summer days, stepped up to the cool marble of the soda fountain and ordered Coca-Cola.

Except they didn’t always ask for it by name. More and more often, they were starting to say, “Give me a Dope,” or “a Coke” or “a shot in the arm.” There was a dark side to Coca-Cola’s success story, a whispering campaign that went along with the word of mouth. People believed that Candler must be putting something in his drink, and they thought that something was cocaine.

In the summer of 1891, Candler drew a quart of Coca-Cola syrup from a ten-gallon keg and shipped it to Dr. H. R. Slack in LaGrange, Georgia.

Dr. Slack was president of the Georgia Pharmaceutical Association and chemical examiner for the Georgia State Board of Pharmacy. Candler asked him to test the syrup and find out if it had any cocaine.

Yes, Dr. Slack answered, it did. He added, however, “The quantity of cocaine is so small that it would be simply impossible for anyone to form the cocaine habit from drinking Coca-Cola, for it would require about thirty glasses, as usually drawn from the fount, to make an ordinary dose of the drug.”

The Slack report presented Candler with a challenge. He and Robinson figured they had removed the cocaine from Coca-Cola, or at least reduced it to an undetectable trace, when they modified the formula three years earlier. It now seemed that no matter how drastically they cut back the fluid extract of coca leaves in the syrup, a sophisticated chemical analysis would find a bit of cocaine. And not just a completely innocent bit: An “ordinary dose” of cocaine, as defined by most pharmacists at the time, was one full grain. If Coca-Cola had one-thirtieth of a grain; it meant that heavy Coca-Cola drinkers might—*might*—feel some effects after several glasses. Candler could not afford the risk of putting even a small amount of cocaine in his drink, certainly not when women and children were among its many enthusiasts.

But neither could Candler take the simple step of eliminating the fluid extract of coca leaves from the formula. Candler believed that his product’s name had to be descriptive, and that he must have at least some byproduct of the coca leaf in the syrup (along with some kola) to protect his right to the name Coca-Cola. Protecting the name was critical. Candler had no patent on the syrup itself. Anyone could make an imitation. But no one could put the label “Coca-Cola” on an imitation so long as Candler owned the name. The name was the thing of real value, and the registered trademark was its only safeguard. Coca leaves had to stay in the syrup.

Returning to the laboratory, Candler and Robinson worked anew at modifying the formula, and finally devised a tincture of coca and kola that had almost no active properties at all. The coca leaves and kola nuts were mixed together (in a 3-to-1 ratio) and ground up into powder, packed into a rectangular, watertight wooden box, marinated in grain alcohol, white wine, and lime phosphate for twenty-four hours, then drained with steaming hot water. The resultant bitter liquid had a brilliant, light brown color and was nicknamed “tea” by the factory workers. Officially, in the secret formula, it became the new “Merchandise No. 5.” Only an ounce and a half went into each gallon of syrup.

So far as Candler could tell, Coca-Cola was now entirely free of cocaine, and he might have been better off to say so. Candler wanted his beverage

to have a good reputation, to be a cut above mere “bellywash,” as other soft drinks were called. But for some reason, Candler could never bring himself to abandon the suggestive, overblown language of the earliest promotions for coca and kola as patent medicines.

In his sampling letters, Candler wrote that Coca-Cola was a “scientific combination” of coca and kola, that it cured headaches, calmed the nerves, strengthened the muscles, and provided “mental clearness.” He published a brochure saying Coca-Cola renewed “the vigor of the intellect.”

It seems that Candler, a man of such exuberant virtue that he began the company’s annual meetings by leading the singing of “Onward Christian Soldiers,” bent to temptation. He tried to have it both ways. He was quick to denounce accusations that Coca-Cola was addictive. “As you doubtless know,” he wrote a preacher, “I do not propose to vend a poison.” He told the *Atlanta Daily World* in 1892 that he would abandon the business on the spot if anyone could authenticate a single case of cocaine addiction. Yet there was no flat denial, no categorical statement that Coca-Cola was free from cocaine, and no retreat from the carnival barker’s spiel. Candler insinuated that his soft drink had curative, perhaps even intoxicating powers, when it did not.

And people believed him. After all, Coca-Cola *was* invigorating. It gave people a boost. Drinking one was like having a cup of coffee with five teaspoonfuls of sugar. Thanks to the secrecy of the formula, no one knew for certain what was providing the stimulation, but it was easy enough to imagine that it was cocaine. Customers began referring to a glassful of Coca-Cola as “a dose.” Even some of Candler’s closest friends, among them Joseph Jacobs, whose drugstore was the site of the first serving of Coca-Cola, believed that the drink contained the drug. The idea quickly became an article of faith and part of the folklore, especially in the South. Coca-Cola’s double life, myth versus reality, was established.

There were consequences.

When the federal government began its twenty-year war of attrition with the Coca-Cola Company, the immediate issue wasn’t cocaine. It was money.

To provide part of the financing for the Spanish-American War, Congress passed a stamp tax on medicines, effective July 1, 1898. The commissioner of Internal Revenue, citing the health claims of the company’s advertising, ordered the federal tax collector for Georgia to begin assessing the levy on Coca-Cola. Asa Candler vehemently disagreed. During the three-year life of the tax, he grudgingly ponied up \$29,502 and paid the government under protest. Then, even before the formal repeal of the act in 1901, he sued to get back every penny, with interest.

Suing the federal government was a risky proposition, and Candler knew it. From a strictly financial point of view, it was absurd. In December 1898, Candler had stood on the steps in front of Coca-Cola’s brand-new headquarters in Atlanta and pronounced the block-long, three-story flat-

iron building “sufficient for all our needs for all time to come.” Just three years later, the company was outgrowing the place. By 1901, Coca-Cola’s annual sales had accelerated to nearly 500,000 gallons, and the company’s gross revenues were approaching the \$1 million mark. Candler built branch factories in Dallas, Chicago, Baltimore, and Los Angeles, and opened sales offices in Philadelphia, New York, and other cities. Though sales were heaviest in the South, Coca-Cola was becoming a national product, available in every state of the union.

Looking ahead to 1902, Candler practically rubbed his hands: “If our collections are as good as last year,” he told his family, “this is going to be an excellent year financially.” He was selling syrup as fast as he could manufacture it. The company ran out of the cream-colored ceramic urns it awarded to druggists after they sold their first thirty-five gallons of syrup. Business was good. Letting the government keep a few thousand dollars would not have hurt a bit, especially since the tax was only temporary.

But Candler’s personality came into play, and one incident in particular from the period may explain how his mind worked. Candler’s eldest son, Howard, who was working for the company in New York City, discovered that one of his fellow salesmen was a drunk and reported the matter to his father. Asa Candler sent instructions to the New York office manager to investigate. “I have never allowed any person of bad morals to remain in the employ of this Company in any capacity after discovering his unworthiness,” Candler wrote. The man was to be fired, but only if there was “indubitable evidence” and independent corroboration of Howard’s accusations against him. Candler would not simply take his son’s word for it. The supervisor was ordered to make a judgment of the salesman’s fitness and report back. And there was a final instruction. The report, Candler insisted firmly, should be limited to a day wire “of not more than 10 words.” Candler, in short, was upright, fair-minded—and also incredibly tightfisted. He simply could not bear the thought of parting with money he believed was rightfully his.

Candler filed suit in federal court in Atlanta seeking repayment of the tax, and the government wasted no time in responding. The Coca-Cola Company was incorporated for the purpose of selling medicine, the Internal Revenue Office claimed, and the product was a “medicinal preparation” with at least three drugs in it, compounded under a secret formula. It was advertised as a cure for headache and exhaustion and other physical ailments. Furthermore, the government said, pointing its sharpest dagger, Coca-Cola contained “the drug and medicine cocaine.”

The last accusation was potentially the most dramatic and damaging of the government’s claims, but it also turned out to be a bit premature. In preparing for trial, the Internal Revenue Office employed a chemist, Dr. Charles A. Crampton of Washington, D.C., to analyze a sample of Coca-Cola syrup, and after several tries he was unable to establish proof that cocaine was present. The charge wasn’t going to hold up.

When Asa Candler took the stand, the government's lawyer, assistant district attorney George L. Bell, handled the cross-examination. At first he made little headway. When he asked why Coca-Cola was advertised as a headache remedy, for instance, Candler responded querulously, "Because it cures headaches." Candler testified that Coca-Cola was made mostly of water and sugar, and said the coca and cola were included because otherwise, "the United States government won't give us copyright." Finally, almost as an afterthought, Bell asked Candler, "There is cocaine in it?"

"A very small portion," Candler answered.

Bell was dumbfounded. "There is?" he repeated,

"Your chemist failed to find it," Candler snapped, a note of satisfaction in his voice, "didn't he?"

Candler's triumph was brief. Bell bored in. Was Asa Candler admitting under oath that *cocaine* was present in Coca-Cola? "It probably is," Candler said, "a very small trace of it. Yes, sir." What had happened, in a wondrous twist of fate, was that the Coca-Cola Company had prepared for trial by hiring an expert witness of its own to rebut the evidence and testimony the government was expected to present. No one at the company dreamed that the government would come up short—nor, of course, did they anticipate that their own man, Dr. George F. Payne, the secretary of the Georgia State Board of Pharmacy, would discover that there was still a trace of cocaine in the syrup. But he did.

Using sophisticated techniques that apparently were unavailable or unknown to his federal counterpart, Dr. Payne calculated that Coca-Cola syrup contained one 400th of a grain of cocaine per ounce. "It was the merest trace," he testified at the trial, ". . . not enough to have any appreciable effect. A man would explode before he could drink enough to affect him."

The expert testimony at the trial quickly shifted to speculation about the possibility of the trace of cocaine making Coca-Cola genuinely dangerous to public health. Dr. Payne thought it would take a hundred glasses of Coca-Cola before a consumer could feel any effect from the cocaine. Candler doubled the figure, saying it would take two hundred glasses. The government put up Dr. J. P. Baird, president of the Medical Association of Georgia, who testified that Coca-Cola definitely was habit-forming. "Persons who take it freely," he said, "seem to become more or less dependent on it." But the cocaine, he added, deflating his thesis, couldn't be the cause of the addiction because there was too little of it.

At last the government's lead chemist, Dr. Crampton, stepped into the witness chair. Coca-Cola syrup was mostly sugar and water, he testified, but it also had cocaine. How much? he was asked. "A small amount," he answered vaguely. When the company's lawyers confronted him during cross-examination and accused him of failing to detect any cocaine at all, Dr. Crampton's testimony quickly disintegrated into a hodgepodge of fragmentary answers. He insisted (contrary to well-established fact) that the only way to test for the presence of cocaine was by tasting it and feeling

the results on the tongue. “There is no accurate test,” he insisted, “other than the effect upon the system.” And had he conducted such a test? Yes, he said. He had boiled down a quart, or at least part of a quart of Coca-Cola syrup, added and extracted various solvents, and then tested the result on his tongue. He implied—but never explicitly stated—that his tongue was numbed by the residue of the Coca-Cola syrup. Then he abruptly left the stand, dismissed by both sides.

There is nothing in the trial record to explain Dr. Crampton’s partial and confusing testimony. One plausible theory is that he was an embarrassment to both sides, and that the lawyers decided the best legal strategy would be to hurry him out of the courtroom. In any event, it would not have mattered very much—the jury of twelve loyal Georgians found in favor of the Coca-Cola Company during scant deliberations that lasted less than fifteen minutes—except that Dr. Crampton’s testimony was revived several times in subsequent trials, and even found its way into a landmark United States Supreme Court opinion written years later by Oliver Wendell Holmes. Dr. Crampton’s testimony was misremembered as convincing evidence that Coca-Cola once contained enough cocaine to numb a man’s tongue, and the vivid notion quickly found its way into the public consciousness and later into history books.

Candler got his \$29,502 back, but the cost was high. He believed the government’s true purpose was to punish him by learning the formula of Coca-Cola and exposing it to the would-be imitators of the world, who would then flood the market with cheap substitutes. Actually, there already were plenty of imitators at work, and they did not need the revelations in the courtroom to brew up syrup that closely resembled Coca-Cola. (If anything, the trial probably confused some of the imitators. At one point, testifying about the ingredients of the syrup, Candler cited “cassia,” the Chinese cinnamon, and the court stenographer misunderstood him and transcribed the word as “calcium.” Anyone trying to perfect a knock-off of Coca-Cola syrup by adding a pinch of calcium would have found himself at a dead end, and quite a tongue-curdling one at that.) No, the real injury to Candler and Coca-Cola came outside the courtroom, where a seismic shift in public opinion about cocaine was just starting to shake the ground.

Around the turn of the century, a scare over cocaine spread through the South, and as was true of so many other things in the region, the trigger was race. Local prohibition laws were turning large parts of the South dry, and in some instances blacks—like other poor people who couldn’t afford bootleg liquor—turned to cocaine as a substitute. *The Journal of the American Medical Association* reported in June 1900 that Negroes in the South were becoming addicted to sniffing cocaine, and in no time wild and wicked stories started making the rounds. A Colonel J. W. Watson of Georgia was quoted in the *New York Tribune* urging legal action against Coca-Cola, charging that “many of the horrible crimes committed in the

Southern United States by the colored people can be traced directly to the cocaine habit.” There were reports that cocaine gave blacks—black men in particular—“superhuman” powers, and some Southern police departments abandoned their .32-caliber service revolvers in favor of .38-caliber models that supposedly had the greater power necessary to stop blacks when they were cocaine-crazed.

As if that were not enough, a backlash erupted against kola as well. The promoters of kola had yet to give up their crusade to sell the American consumer on the wonders of their product (or to admit that its active principle was caffeine). In the 1890s, fine-tuning their pitch, they aimed their advertising at amateur athletes and the growing ranks of fitness buffs, especially those who were participating in the new craze of bicycling. Playing on racial mythology, some manufacturers brazenly asserted that kola—native to Africa—was the source of the physical strength of black people. Johnson & Johnson, for instance, launched a hard-sell campaign for its brand of kola extract, Kolafrat. “Kolafrat,” said a company pamphlet published in 1897 (with a woodcut picture of a strapping, bare-chested black man on the cover), “will assuage thirst under any and all conditions. African savages march for miles under a burning tropical sun, with heavy burdens on their heads, without water or food. They stop thirst and hunger by the free use of the wonderful Kolafrat.”

Not surprisingly, the sensational imaginings that were published on behalf of kola fed the flames of racial alarm, too. One self-proclaimed medical expert warned that kola was a cardiac stimulant that blacks could tolerate but not “white-skinned peoples.”

It hardly mattered that Coca-Cola contained nothing but the merest trace of either drug named in its trademark. People were growing frightened. A doctor in Augusta, Georgia, said his city was filling up with “Coca-Cola fiends” whose cravings rivaled those of opium addicts. “Every ingredient [in Coca-Cola] is a poison,” the *Wilson* (N.C.) Daily News warned its readers, “and not long hence, each unhappy victim of this pernicious tippie, like the opium fiend of the East, may take his neighbor by the hand, and say, ‘Brother, what ailed thee, to seek so dire a cure?’”

All around the country, city councils and state legislatures began restricting or outlawing the use of cocaine in patent medicines. In Virginia, attacks on his soft drink that could safely be ignored just a few years earlier suddenly struck Asa Candler as ominous.

For some reason I can’t understand [he wrote his son, Howard, in August 1902], there seems to be an effort made in Virginia to injure Coca-Cola. We have just had a case investigated where it was charged by a country physician that a man had been driven to suicide by excessive use of Coca-Cola. We gave the case the closest investigation and found what we expected, that the fellow was a constant drinker of

liquor and tea, a user of cigarettes, generally an excessively self-indulgent man, in the habit of drinking Coca-Cola early on Sunday morning to relieve him from the effect of a Saturday and Sunday [debauch]. . . . Our greatest danger now is that our enemies will succeed in having a Law enacted prohibiting the sale of Coca-Cola.

For help, Candler turned to the biggest cocaine manufacturer in the United States. It seemed an ironic choice, but Candler figured that an expert in extracting cocaine from coca leaves might know how to extract *all* the cocaine, leaving a residue safe enough to put in Coca-Cola. In June 1903, Candler boarded a train for New York, went to the offices of the Roessler & Hasslacher Chemical Company, and put a challenge to their top supplier, Dr. Louis Schaefer: Could he produce an extract of coca from which “every vestige” of cocaine was removed? Yes, Dr. Schaefer said, he believed he could.

Schaefer, a German emigré, set up a special operation at the Schaefer Alkaloid Works, one of the four chemical production laboratories he had opened in Maywood, New Jersey, in the 1890s. In making the new Merchandise No. 5, Schaefer created a process that was, in a word, thorough. He began by powdering the coca leaves, mixing them with sawdust and soaking the compound in a bicarbonate of soda. Next he percolated the compound with toluene, a powerful solvent derived from coal tar, and then he blasted the treated leaves with live steam. Finally he added in powdered kola nuts, “exhausted” the mixture with alcohol, and finished up by pasteurizing the results. It seemed unlikely that cocaine (or anything else for that matter) could survive.

From Candler’s point of view, the removal of the last discernible trace of cocaine came just in time. The Progressive movement was beginning to sweep the country, and crusading journalists were turning a harsh light on corrupt practices in housing, industry, labor, the railroads, finance, insurance, government, and also public health. The pharmaceutical industry was the target of a series of scathing articles entitled “The Great American Fraud” that began in *Collier’s* magazine in December 1905. Samuel Hopkins Adams exposed the use of cocaine in patent medicines—including catarrh remedies and other products meant for children, such as “Mrs. Winslow’s Soothing Syrup”—and warned that putting the drug in a medicinal product was a “shameful trade that stupefies helpless babies and makes criminals of our young men and harlots of our young women.”

The culmination of the reform movement in nutrition and medicine was the passage by Congress in 1906 of the Pure Food and Drugs Act, which among other things required any manufacturer who used cocaine in a product to disclose that fact on the label. One of the leaders of the fight to gain approval of the act was the chief chemist of the United States

Department of Agriculture, Dr. Harvey Washington Wiley, and when the law took effect in 1907, he became the top federal official in charge of enforcing it.

Dr. Wiley believed that Coca-Cola contained cocaine and other harmful ingredients, and he launched a crusade to drive Asa Candler out of business.

Talking with a business associate one day in 1906, John Candler described the great success and fine profits Coca-Cola was enjoying. “But it’s like a big balloon,” he warned. “Punch a hole in it and it’s gone.”

Harvey Wiley meant to do exactly that. Wiley was the Ralph Nader of his day, a tireless and passionate consumer advocate, and a man of intense convictions about the harmfulness of a wide variety of chemicals and food-stuffs in the American diet. He had a charming side and a natural, easy knack for public relations, yet he could be a fierce, absolutely unrelenting warrior once he got it into his head that he was fighting something evil.

In the late spring of 1907, responding to complaints that Coca-Cola contained cocaine and alcohol, the War Department banned the sale of the soft drink at canteens and post exchanges on U.S. Army bases. The company’s lawyer, John Candler, protested vigorously. Citing the removal of the cocaine and arguing that the amount of alcohol in the syrup was inconsequential, he brought an appeal, and the War Department turned to Dr. Wiley to conduct tests and resolve the issue.

All through the summer months of 1907, the Candlers waited for Wiley to complete his analysis and, they hoped, give them clearance to resume military sales of Coca-Cola. They waited in vain. Finally, in mid-September, John Candler took a train to Washington to find out for himself what was taking so long. He spent two days stalking the corridors at the Department of Agriculture, he reported later, talking to every official he could buttonhole, “from Wiley down to the office boy.” He thought he had the problem figured out. The department’s tests had confirmed that Coca-Cola syrup no longer had any cocaine in it and also showed that the trace of alcohol—there to help preserve the flavoring extracts and the Merchandise No. 5—was perfectly harmless. But Wiley had raised a new alarm, complaining that the caffeine in Coca-Cola was a health hazard. The Bureau of Chemistry was conducting tests on a “poison squad” of young, male volunteers, feeding them large doses of caffeine in an effort to establish that it was injurious.

Wiley believed the company was guilty of spreading the “Coca-Cola habit,” as he privately called it, across the South. His attitude toward the region had been shaped in part by his experiences decades earlier during the Civil War. As a lowly corporal in the Union Army, Wiley served briefly in a volunteer unit from his native Indiana, spending a few weeks in 1864 guarding a supply depot in Tullahoma, Tennessee. The railroad that passed through Tullahoma was a conduit for the food, clothing, munitions, and reinforcements that were headed south to fuel General Sherman’s cam-

paign of total war. Returning trains carried wounded and captured Rebel soldiers.

Far from making him hate the South, the war filled Wiley with pity. When he was off duty, he recalled later, he would spend time at the station talking with the Confederates. "Some of them had lost an arm or had a wounded leg," he wrote later. "When I compared the good uniforms and good food and general appearance of the Union soldiers with the tattered uniforms and emaciated bodies of the Confederates, I realized under what strenuous conditions our Confederate antagonists were fighting." Wiley's experience gave him a view of the South as a benighted, unhealthy place—a view that was advanced when he contracted hookworm and spent his tour of duty wasted by severe, chronic diarrhea that eventually sent him home "more dead than alive," his robust frame shriveled down to a mere 119 pounds.

When the Coca-Cola issue arose, Wiley sent his top deputy, Dr. Lyman Frederic Kebler, on an inspection tour of the South from Richmond to Memphis, and Kebler reported back that the region was a land of Coca-Cola "fiends." In his visits to soda fountains in Atlanta, Kebler wrote, he "personally saw the beverage consumed by children of four, five, and six years of age." In many cases, he said, the soft drink was taken home in pitchers and served like beer to the whole family. Incited by Kebler's dire reports, Wiley believed that Coca-Cola was undermining the health and perhaps even the moral fiber of the South. He had no intention of backing off.

Yet there were other forces at work, and they gave some hope to the men at the Coca-Cola Company. Wiley's greatest weakness was the very thing that made him dangerous—his zeal. He was a crusader against almost all food additives, and he had a habit of badgering people until, in many cases, they decided he was unbalanced and turned against him. Wiley tried to enforce a ban on the use of sodium benzoate in catsup, for instance, and when a food manufacturer argued that the preservative was derived from a natural, God-given ingredient in cranberries, Wiley responded with theocratic certitude that "cranberries would be more wholesome had the Almighty left out benzoic acid."

In one celebrated incident, Wiley launched into a diatribe against the sweetener saccharin during a meeting with Theodore Roosevelt at the White House. It was a terrible mistake. "President Roosevelt turned upon me, purple with anger," Wiley recounted later in his autobiography, "and with clenched fists, hissing through his teeth, said: 'You say saccharin is injurious to health? Why, Dr. Rixey gives it to me every day. Anybody who says saccharin is injurious to health is an idiot!'" It happened that the president, fighting a lifelong battle with his weight, relied on saccharin on the advice of his personal physician, Dr. Presley Rixey, the surgeon general of the navy. Convinced that Wiley was a kook, Roosevelt appointed a Referee Board of Consulting Scientific Experts that oversaw (and often squelched)

Wiley's activities. Wiley's immediate boss, Agriculture Secretary James Wilson, also distrusted him, and refused to forward any of Wiley's cases to the Justice Department for prosecution unless two other officials in the Bureau of Chemistry concurred with the decision.

In October 1907, with the army ban still lingering, the Candlers decided to brave an approach to Secretary Wilson. John Candler checked into the Raleigh Hotel in Washington on the evening of October 10 and saw Wilson the next morning. The meeting went well. Wilson "seems entirely in sympathy with our contentions," Candler reported to his family, "and says that he will. . . request a report from Dr. Wiley on our goods. I feel somewhat encouraged, as he is seemingly inclined our way."

Wilson followed through, and six days later—under pressure—Wiley at last submitted his analysis. Coca-Cola, he conceded, contained no cocaine, and it had only a small, harmless amount of alcohol. The Candlers had won. Before the month was out, the army lifted its ban. Sales of Coca-Cola were resumed on the nation's military bases. But the tone of Wiley's report was menacing. He complained bitterly that he had not been allowed enough time to assemble evidence that the caffeine in Coca-Cola was hazardous, and he made it clear that he intended to continue until he had done so. He also spiced the report with his deputy Kebler's random accusations that Coca-Cola was abused by children and adults alike. A druggist in Atlanta was quoted as saying that soldiers liked to mix liquor with Coca-Cola and make a highball that "drove them crazy."

Reading Wiley's report, Asa Candler was livid. It was, he huffed, "the most unmistakable evidence to me of his unfitness [for] so important an office as he is occupying. The idea of his sending a man over the country picking up such rumors as he refers to and then using them in an official order is enough to stagger the patriotism of a better man than myself." Still, Candler contented himself that the army ban was lifted, and he figured people would forget about the controversy soon enough. The rest of the family urged him to publicize the report's findings and advertise Coca-Cola's victory, but he demurred. The less said, he explained, the more likely Wiley's bruised feelings would be soothed, and the sooner he might drop the matter.

Candler could not have been more mistaken.

In the aftermath of his skirmish with Wiley, Asa Candler began wearying of the business of making and selling Coca-Cola.

The company was regularly netting profits of \$2 million and \$3 million a year, making Candler the richest man in Atlanta. The city's historian, Franklin Garrett, could recall hearing little boys say, "Who do you think I am? Asa G. Candler?" as they spurned their friends' requests to borrow a dime or a quarter. Just as John D. Rockefeller's name was invoked as the synonym for unimaginable wealth elsewhere in the country, Candler's was

in Georgia. Yet he took little satisfaction from his fabulous financial success. The business, Candler said dismissively, was nothing more than “a mere money-getting machine.”

As befitted a devout Methodist and Sunday school teacher, Candler had a sort of Old Testament ferocity about the temptations of wealth. “Don’t indulge SELF,” he admonished his children. “He is a tyrant, never satisfied.” Others might revel in buying fashionable clothes or getting tickets to the latest show, Candler once wrote, “but I have not arrived to be stylish.” He was notoriously frugal—when mail arrived at the office, Candler would slit the envelopes, unfold them, and save them for scratch paper—and he applied that frugality as earnestly to himself as he did to others. Yet Candler was no simple miser. He did not believe it was entirely proper to save his wealth, either. “I never keep money,” he once explained to his brother, Warren, the Methodist bishop. “Money is not meant to be hoarded. Myself and all I have I try to keep righteously active.” Certainly Candler saw to it that his family enjoyed a decent life; and his children grew up in a comfortable mansion in elegant Inman Park, Atlanta’s first suburb. He was a warm, affectionate father. His daughter, Lucy—his “dear sweet fish,” as he nicknamed her—played the piano and he loved to listen and sing along. It was just that he tried to teach his children the value of thrift. When two of the boys wanted tool kits one Christmas, he bought a single set and made them share. He raised chickens in the backyard.

Money, in Candler’s view, ought to be properly earned and usefully spent, and it was plain that the profits pouring in from Coca-Cola bothered him on both counts. He was proud of his hard work over the years, but the accumulation of wealth, especially once it became virtually automatic, seemed to scratch a raw spot on his conscience. He wanted to leave a legacy of tangible accomplishment Candler took far more pleasure from his burgeoning real estate empire—he built skyscrapers in Atlanta, New York, and Baltimore, and christened each “the Candler Building”—than he did in the Coca-Cola Company.

And Candler was tired of the assaults on his product’s reputation and his family’s good name. He might not be terribly proud of selling sugar and water to people for a nickel a glass, but he bristled at the idea that he was a villain peddling poison. The years of controversy had taken their toll. Tom Watson, Georgia’s fiery populist and propagandist began denouncing Coca-Cola as “dope” and finally pushed the Southern Methodist Church—the denomination led by Candler’s own brother—into dropping the company’s ads from its newspaper. Warren Candler sheepishly returned the one share of Coca-Cola stock his brother had given him. Coca-Cola came under attack from all sides. Leaders of the Temperance movement denounced the trace of alcohol in it, while liquor manufacturers suspected Candler of favoring prohibition and plotting to make Coca-Cola the nation’s “temperance drink.” Candler fumed that some newspaper editors were not above

shaking him down for advertising and attacking his soft drink if he refused to buy space.

The idea that Coca-Cola contained cocaine—an idea Candler once subtly encouraged—now enraged him. He came to detest the suggestive nicknames people used in place of Coca-Cola. One of Candler's employees told the story of inviting the old man to join him at the soda fountain and “have a dope,” only to have Candler explode, “It is not dope! There is no dope in it! It is *Co-Ca Co-La!*”

Now that he was approaching his sixties, Candler had begun to grow more and more conscious of his own mortality. His father had died young, and Candler feared the same fate. He wanted to devote his final years to charitable works and public service, and that meant getting out of the Coca-Cola Company. The question was how.

In his younger days, Candler had insisted that his sons stay away from the business. Peddling soft drinks, he said, was a pursuit with a “narrow compass.” Candler was especially anxious for his eldest boy, Howard, to attend medical school and become a doctor—the career Asa himself had been forced to abandon.

Gradually, though, Asa's resolve weakened and his attitude changed. He grew ambivalent. Howard seemed determined to work for the company during vacations and breaks, and Asa felt flattered in spite of himself at his son's interest in the business. One summer Asa offered Howard a job at the company and in almost the same breath urged him not to take it: “The employment that I offered you will be around our factory, packing, painting, filling, and such work as requires common labor [and] would not be any benefit to your mind.” Howard took the position anyway and enjoyed the work.

From that point on, perhaps without fully realizing it, Asa began drawing Howard toward a career with the company. When Howard visited Europe in the summer of 1900, after graduating from college, his father gave him careful instructions to make notes on business conditions and assess Coca-Cola's chances: “We must have ice, hot weather, long summers, etc. You will know what to look for.” That fall, when Howard returned to the United States, Asa asked him to begin his medical studies in New York City, where he could also keep tabs on Coca-Cola's sales office. A year later, citing eye strain and overall fatigue, Howard dropped his plans to become a doctor, and his father gave him a full-time job. For the first time, Asa started thinking about the possibility that Howard might succeed him in running the company.

Howard Candler's first permanent assignment for Coca-Cola was to remain in New York and try to bring order to the chaos in the office there. It did not go well. Asa considered New York a “bottomless pit” that chewed up men and money, and he regretted having gone there in the first place. Sidewalk vendors sold flavored soda water for a penny a glass, badly

undercutting Coca-Cola's pricing, and the saloons were reluctant to carry the Southern beverage. It is unlikely Howard could have done much to improve the company's fortunes even if he'd displayed an aptitude for business, but as it was the experience unnerved him. Howard was only twenty-three years old, with a nervous disposition, and he found that he disliked commerce. "I really enjoy the office part of the work," he wrote his father, "but I don't like to distribute tickets and sell goods. More, I don't like to have to be sociable with the trade such as is demanded to a certain extent here. I mean that the salesman for an article has to go in frequently and talk to a proprietor and his help of soda-men and clerks. I don't like that."

The confession was remarkable. In a business that relied almost entirely on salesmanship, the boss's son found it distasteful to talk to the people who bought the product Asa brought his son back to Atlanta and tucked him away from the public aspects of the business, putting him in charge of the syrup factory.

It was the happiest period of Howard's career. Years later, using language suited to a religious experience, Howard described his initiation into what he called the "Holy of Holies," when his father entrusted him with the secret formula. There was no written version. Instead, Asa made his son memorize the contents of the various containers that were carefully stored in a locked room with their labels peeled or scratched off. For days, with his father standing watch over his shoulder, Howard practiced making the ultra secret flavoring compound, Merchandise No. 7X, learning to recognize the pungent fruit and vegetable oils "by sight, smell, and remembering where each was put on the shelf when it came in from the supplier," until finally he knew by heart the proper amounts and the exact order in which to mix them.

Howard Candler had a natural aptitude for chemistry, and he might have been better served if his father had left him to the satisfactions of overseeing the Coca-Cola Company's laboratory and manufacturing plant. Shy and uncertain, physically slight at five foot nine and 135 pounds, Howard seemed to run into trouble whenever he encountered the human element in pursuit of his duties. It was becoming obvious that he lacked his father's drive and gumption.

Obvious, that is, to everyone except Asa Candler. As his weariness grew, Asa began to dream of turning the company's affairs over to his son. "As soon as possible," he wrote Howard in the summer of 1908, "I desire that you take the place I have been filling for 20 years." One night after supper, Asa drew out a sheet of writing paper, dipped his pen, and almost begged his son to take a larger role: "As soon as I can lay this Coca-Cola business on your shoulders I intend to do it. I want you therefor [*sic*] to learn it thoroughly. . . ." Asa promoted Howard to a vice presidency overseeing all of the company's operations and pushed him to take a stronger hand, especially in personnel matters. As the months passed, Asa kept encouraging Howard to think harder about the business, "so that you may thoroughly master its

details & carry it on successfully.” Reading between the lines, it seemed as if Asa sensed his son’s limitations, all the while refusing to admit to himself just how severe they were.

There was another problem. Running the company was one thing, but Asa Candler also *owned* Coca-Cola. He was free to retire and place his son in charge of the company whenever he pleased, no matter what misgivings he might harbor, but that would not resolve the issue of ownership. Asa had four other children. If he left the company to Howard, it would mean disinheriting Asa Jr., Lucy, Walter, and William. That option was unacceptable. But dividing the company into five pieces was a troublesome idea, too. What if the children kept their shares and the company failed? They would be left penniless. What if the children sold their shares? Would strangers come along and gain control? Would they force Howard out of a job?

Candler’s dilemma was not just hypothetical. In 1908, he quietly sounded out one of his acquaintances about buying the company. Samuel Brown was a well-to-do cotton broker and banker from Albany, Georgia. He liked to visit the Capital City Club when he was in Atlanta to play a few hands of euchre, and he also liked to keep an eye on the Coca-Cola Company. His son-in-law, Harold Hirsch, was a bright young partner in John Candler’s law firm. Yes, Brown told Asa Candler, he would be very interested in the possibility of acquiring the company. Brown came from a German-Jewish family (the name was anglicized from Braun) and maintained connections with a bank in Hamburg. He thought he might be able to arrange the financing in Europe.

What Brown had in mind was a fairly simple, two-step plan. He wanted to buy the Coca-Cola Company from Candler and then turn right around and sell shares in it to small investors all across the South. After all, Coca-Cola’s sales were still overwhelmingly concentrated in the region, and the drink was still perceived as a “Southern” product. Brown thought people in the South would have as much enthusiasm about owning part of the company as they did about drinking the product.

The idea suited Asa Candler perfectly. He could be done with the company once and for all. He could take his accumulated profits off the company’s books and use the money for the charitable purposes he now ached to fulfill. And in theory, at least, taking the company public promised to provide a solution to the predicament of succession within his family. The other children would receive enough cash to make them secure for life, while Howard would get to remain with the company and run it. The new owner would not be an individual or group of individuals anxious to put in their own management, but instead the public would own Coca-Cola, and the people of the South would be happy to have a Candler stay in charge. Indeed, they would *insist* on having a Candler at the top. Howard would be protected.

But there was a snag. Before Brown and Candler could negotiate an agreement, they were interrupted.

When Howard Candler returned to work at Coca-Cola headquarters in Atlanta after lunch on the afternoon of October 20, 1909, he was intercepted at the front door by the plant manager.

Two federal officials had arrived unannounced, the manager told Candler excitedly, and were poking around in the basement of the factory. They had refused his request to stop.

Howard Candler raced up the five stone steps into the building, not stopping to remove his hat, and ran down the stairs to the basement. There he found Dr. Kebler perched on the top step of a rickety wooden ladder, peering into one of the giant, 1,500-gallon cypress cooling tanks that hung suspended from the ceiling. A federal inspector, J. L. Lynch, was standing beside the foot of the ladder, scribbling notes.

Candler was familiar with both men. In the two years after the fight over the army ban on Coca-Cola, they had toured the factory several times—but always by appointment and always in the company of a member of the Candler family. Howard had accompanied them himself on a couple of occasions. The exchanges had always been polite, even genial. Kebler had brought his wife along on one visit, as if she were a tourist seeing a local attraction.

This time, however, Kebler and Lynch were snooping around without permission. There were no pleasantries. Candler asked what they wanted. Lynch answered that they required a sample of Merchandise No. 5, the mix of coca and kola extracts. They would be willing to sign a voucher for it. Candler, taken aback, walked uncertainly over to the brick vault that contained the secret ingredients of Coca-Cola, poured out a small sample of No. 5 and gave it to Lynch. Then he went to find his father.

Kebler and Lynch were about to leave the building when Asa Candler rushed in, trembling with anger. He demanded the sample back. Lynch refused. “By God,” Candler roared in his high-pitched voice, “if I had been here you would not have got it!”

But they had.

For two long years, Wiley had been aching to bring charges against Coca-Cola, only to be held in check by his superior, Secretary of Agriculture Wilson. Any time Wiley moved to make a case against the company, Wilson would direct the two other members of the department’s Board of Food and Drug Inspection to vote no. Wiley lost a succession of 2-to-1 decisions inside his own bureaucracy. Finally wearying of the friction, Wilson wrote Wiley a letter demanding plainly that he drop his efforts against Coca-Cola. But contrary to its intended effect, the letter gave Wiley an opening.

As Wiley recounted the episode later, he received a visit one day from Fred Loring Seely, the publisher of the *Atlanta Georgian*, Atlanta’s newest and most crusade-minded newspaper. Seely, who was no friend of the

Candlers, wanted to know why the Bureau of Chemistry had abandoned its prosecution of Coca-Cola. Wiley pulled out Wilson's letter, pushed it across the desk and watched with satisfaction as an "astonished" Seely read the contents. Thus armed, Seely called on Wilson and threatened to disclose the whole affair in an unfavorable light unless the order was withdrawn.*

"It is remarkable," Wiley wrote later with glee, "what the fear of publicity will do!" Wilson struck a compromise. He offered to rescind his letter and allow the prosecution to go forward, but he insisted that the case be brought to trial in a venue close to Atlanta and favorable to Coca-Cola. Chattanooga, Tennessee, was the nearest city involved in interstate commerce with the company, and it happened to be the home of some of Coca-Cola's biggest investors. Wiley wanted to sue in Washington, D.C., but he grudgingly agreed to Wilson's choice of sites. The government seized a railroad shipment of forty barrels and twenty kegs of Coca-Cola syrup in Chattanooga and filed suit in federal court charging the company with criminal fraud.

Preparations for the trial took more than a year.

During the afternoon and evening of Sunday, March 12, 1911, participants from both sides began trooping into Chattanooga, filling up the rooms of the luxurious new Patten Hotel.

Far from being treated as a villain, Wiley was accorded the status of a visiting celebrity. A lifelong bachelor, he had just taken a bride at the ripe age of sixty-six, and he used the Coca-Cola trial as the occasion for his honeymoon. Anna Kelton Wiley, less than half her husband's age, was a handsome, accomplished woman and a well-known suffragette. Arriving by train from Washington, the couple made quite a splash in Chattanooga society, and their activities were faithfully recorded by the local press. (At a Woman's Club meeting in the auditorium of the Unitarian Church, after Miss Emily Watson sang her rendition of "My Wee Bird," the Wileys gave short speeches—hers on suffrage, his on the evils of drugs—and both were applauded enthusiastically before they repaired to an anteroom for a reception.)

When they checked into the Patten, the Wileys were given a room overlooking the Post Office Building, where U.S. District Judge Edward J. Sanford planned to gavel the proceedings to order the next morning.

The government had two main charges against Coca-Cola: It was "misbranded" because its name promised the presence of coca and cola when it contained little if any of either, and it was "adulterated" by the addition of caffeine. It seemed as if Wiley, having failed in his determined efforts to

* It is entirely possible that Wiley *summoned* Seely to Washington, briefed him on the background of the story, and enlisted him as an ally, but if so Wiley was wily enough to leave no evidence of his actions.

discover cocaine in Coca-Cola, now wished to punish the company for not having cocaine and for using caffeine in its place. No matter that people had been drinking tea and coffee for centuries without apparent ill result, it was Wiley's unshaken belief that caffeine—especially synthetic caffeine, unbuffered by natural ingredients such as the tannin found in tea and coffee—was injurious to human health. The outcome of the trial was expected to turn on the testimony of the small armies of leading scientists each side had lined up to provide the latest information about the physiological effects of caffeine.

The first witness to take the stand that Monday morning in 1911 was Lynch, the federal inspector the Candler had found poking around the basement of their syrup factory in Atlanta. A prosecutor asked Lynch to describe the premises. He had inspected the plant several times, Lynch answered, and one visit in particular stood out in his mind. It was in mid-July. The equipment for making the syrup occupied the basement and first floor of the building, and the process began in a large, steam-jacketed copper kettle just inside the front door. Water from the city was piped directly into the kettle, which was surrounded by a wooden platform that held numerous barrels of sugar. A Negro put the sugar into the kettle.

The prosecutor told Lynch to speak louder, and then asked, "This Negro cook that was on the platform and dumping the ingredients into the kettle, could you state how he was dressed?"

"Well," Lynch answered, "very scantily. A dirty undershirt, his shoes were badly broken, the bare feet were sticking out through them in parts, and he had on an old, dirty pair of trousers."

"State whether or not he was perspiring."

"Yes, freely."

"Could you state whether or not he was chewing tobacco?"

"Yes, sir."

"Did he expectorate from time to time, and if so, where?"

"Whenever he happens to want to, just wherever it fell, on the platform and on the floor."

At the defense table, John Candler and the company's other lawyers listened in amazement.

Dr. Harvey Wiley, the most prominent advocate of nutritional reform in the country, the head of the federal agency responsible for safeguarding the purity of the nation's food and drugs, a leader of the Progressive movement, a man of science, a man who was raised in an abolitionist household, who married a champion of women's rights, who was arguably the most liberal and enlightened public official in the United States government—this man was opening his landmark case against the Coca-Cola Company with the revelation that a black worker, doing hard physical labor next to a steaming hot kettle in a factory in the Deep South in the middle of July, was *sweating*.

One of the company's attorneys, J. B. Sizer, approached the bench. "They seemed to dwell on the fact that we had a colored cook there," he complained. "I want to show that we are not guilty of any undue negligence." Sizer launched a tough cross-examination, and a "somewhat flustered" Lynch admitted he had not seen the black employee spitting tobacco into the kettle. Otherwise, though, he stuck to his story.

As the government continued putting on its case, the strategy became obvious. The caffeine question was taking a back seat as the prosecution paraded a string of witnesses whose testimony was designed to horrify the jury and alarm the public at large. One of Wiley's chemists, Dr. H. C. Fuller, said he analyzed a sample of the syrup seized in the forty barrels and twenty kegs, and found that it contained bits of hay, straw, dust and dirt, an insect leg, and "part of a bumblebee." From the defense table, one of the company's lawyers announced gamely in a loud stage whisper, audible to the reporters in the courtroom, "Even the bumblebees love Coca-Cola!"

Dr. Henry H. Rusby, a professor of *materia medica* at the New York College of Pharmacy, gave a vivid account of his experiments on rabbits—Coca-Cola killed them, he said—only to admit under cross-examination that he wasn't feeding them any caffeine at all, but instead mammoth doses of Merchandise No. 5, the coca and cola extract.

When the first day's testimony ended at about two o'clock in the afternoon, Wiley and his wife set off cheerfully to do a little shopping (as she confided in her diary) and then took a tour up Lookout Mountain's famous funicular. The next day, they planned to visit the hallowed grounds of the Chickamauga battlefield.

But 110 miles to the south, in the general offices of the Coca-Cola Company, the mood was not so festive. Asa Candler, who was staying away from Chattanooga on the advice of his brother John and the other lawyers, heard about the government's opening salvo and felt his worst fears confirmed. "I anticipated a mean-nasty case in this," he wrote his son, and he was getting one. Candler was especially inflamed by Lynch's testimony—not only about the sweating workman, but also an allegation that Candler had cursed when he discovered Lynch and Kebler in the basement of the factory. "That *liar*," Candler fumed, "should be prosecuted for perjury."

The next few days did little to soothe Candler's rage. Dr. Kebler, Wiley's deputy, took the stand and seconded Lynch's testimony that the Coca-Cola factory was dirty and that the black laborers were sweating and chewing tobacco. What's more, Kebler said, they were giving off germs.

Finally the prosecution turned to the main issue, caffeine. Starting with Kebler, the government put up more than a dozen Department of Agriculture scientists and outside experts who testified that caffeine masked ordinary, natural fatigue and thus drove users to overextend themselves, leading to exhaustion, overworking of the organs, addiction, nervous collapse, and occasionally even death. Kebler, for his part, said caffeine was a poison that

made one patient's heart so hard it couldn't be cut with a knife. The scientists described various experiments with frogs, rabbits, mice, and guinea pigs, all of which they said demonstrated the dangers of caffeine to humans.

To the defense, at least, the government's witnesses were not terribly persuasive. The company had its own experts, of course, and they were allowed to remain in the courtroom, seated in rows behind the defense table, during the presentation of the government's case. At one point their response to the evidence was an outburst of snickering and sarcastic remarks so clearly audible that Judge Sanford had to admonish them to stay silent. Asa Candler, monitoring the trial from afar, had a similar reaction. As the trial entered its second week and the government's case wound down, Candler sent a wire to his nephews in the Philadelphia office reporting drily: "Conditions at Chattanooga are about as last week. U.S. has about exhausted its rat, rabbit, and frog evidence." Courthouse regulars agreed that the prosecution's case was weak. But there was a final piece of evidence yet to come.

The key to the government's case was the need to demonstrate that Coca-Cola did, in fact, produce addiction and dangerous side effects. Testimony from expert witnesses theorizing about the soft drink's potential for harm was well and good, but there was no substitute for a genuine Coca-Cola "fiend."

Edwin H. Corry was a thirty-seven-year-old streetcar conductor from Philadelphia. In 1910, he was committed to the Philadelphia Hospital for the Insane, and it was the government's contention that he was driven mad by drinking Coca-Cola. Corry's testimony was taken by deposition since he could not safely be released from his ward and brought to court. It was his habit, Corry swore, to drink as many as a dozen Coca-Colas a day. He found that on several occasions when he went to bed and was about to fall asleep, "the bed would move. I had that sensation. Sometimes the head part of the bed would raise up, and sometimes the hind part."

The company's lawyers were suspicious. They wanted to know more about Corry, so they did some investigating in Philadelphia. Corry, it turned out, had been arrested on a warrant sworn out by his own brother for sexually molesting the brother's minor son. Yes, said Dr. Sherman Clouting, who examined him at the time, Corry was insane. "He said he saw faces of people around him at night, that he heard distant music in his ears," the doctor recounted. "He said he got very melancholy at times and had suicidal ideas, and when I asked him if he saw other visions, he said yes, he had seen the devil once or twice and the devil had touched him once." But it had nothing to do with Coca-Cola. Poor Corry, the doctor said, had been born mad. Another doctor who examined Corry was asked if caffeine could have triggered the condition. "No, sir," the doctor replied. "I do not think that any external thing brought about his mental state." It was congenital.

There were other doctors from Philadelphia prepared to confirm the diagnosis, Coca-Cola's lawyer said, but Judge Sanford had heard enough.

"This case," he said, "is not going to depend on this man's testimony." Yet in a way it did. The government concluded its case without presenting a single victim who could illustrate the underlying idea that Coca-Cola was hazardous to the nation's health. It was a prosecution without a victim. Dr. Wiley's celebrated "poison squad," the dozen men who had made human guinea pigs of themselves ingesting caffeine, were never heard from.

In the middle of the trial's second week, the Coca-Cola Company began putting on its own experts, and they made a convincing chorus in rebuttal. Coca-Cola, they testified, contained 1.2 grains of caffeine per serving, or a little less than the average cup of tea or coffee, and had about the same mild effect.

The government scored a few effective blows against the company. Several of Coca-Cola's experts found themselves impeached by their own previous writings that criticized caffeine, and they learned to fear it when the prosecutor would begin his cross-examination by asking, "Have you ever written a book, or are you the author of any work?" When one doctor said with obvious relief that he had never written anything, he provoked a belly laugh in the courtroom. On a more serious note, the company had a tough time denying that children drank Coke, and most of the experts agreed that caffeine wasn't good for youngsters.

Still, it was clear by the end of the trial's second week that Coca-Cola was getting the better end of things. The company even produced the black laborer whose work habits had been described so dramatically when the proceedings started. James "Jeems" Gaston acquitted himself well, testifying earnestly that in twelve years working for Asa Candler he had never chewed tobacco, and that he did not work in broken, open-toed shoes, "cause the hot licker might burn my feet." The *Chattanooga Times* reported that the government's optimism was "dwindling" and the prosecutors were hoping at best for a hung jury.

The most emphatic signal of shifting fortunes came with the departure of Dr. Wiley. He did not take the stand himself, and two weeks into the trial he abruptly announced that his presence was required in New York at Cornell University for a series of lectures on sanitation. He left with the same flair that marked his arrival. For one of his last dinners, he asked Houstoun Harper, the Patten Hotel's assistant manager, for some "old-style" Southern cuisine: johnnycake, corn pone, and other staples of "black mammy's cooking." Harper dutifully arranged the services of a black cook, who sent a traditional meal to the hotel. "The head chemist of the government 'set to,'" the *Chattanooga Sunday Times* reported, "just as though he had been accustomed to such things all his life. After he had concluded the ceremonies, even to the last crumb, he pushed back his chair, demanded the recipe, and said he was 'feeling first rate.'" And then he was gone.

Sensing victory, the Coca-Cola Company pressed its advantage through a third week of testimony, putting on the remainder of its eighteen expert witnesses. As the end of the trial drew near, the company's lawyers faced a

choice. They could leave the outcome in the hands of the jury and hope, as seemed likely, that a verdict would be reached in Coca-Cola's favor. Or they could first ask Judge Sanford to *direct* a verdict—to rule that the government's case was so feeble that even if the facts it alleged were true, no violation of the law had taken place. There was little evident risk in asking for a directed verdict. If the motion failed, Judge Sanford would simply send the case onward to the jury, and Coca-Cola would still have an excellent chance of winning. Only one member of the defense team, Harold Hirsch, raised a warning voice. The danger, he said, was not in losing a motion for a directed verdict. It was in winning. But Hirsch was a junior partner. He was overruled.

The senior lawyers went into court and argued that as a matter of law, the Coca-Cola Company could not be guilty of adulterating its syrup with caffeine, because *caffeine had always been part of the formula*. To violate the Pure Food and Drugs Act, they argued, an ingredient had to be “added,” and as an original ingredient caffeine could not legally be considered “added” to Coca-Cola. It was a tricky point to grasp. As John Candler anticipated, Judge Sanford quickly seized on it, but other participants—on both sides—had to strain to follow the reasoning. Sanford called J. B. Cox, one of the prosecutors, to approach the bench. “If you cannot have Coca-Cola without caffeine,” the judge asked, “how can you adulterate it by adding caffeine to it? That’s the trouble I have.” Cox was utterly befuddled and unable to answer.

Sanford patiently spelled out his thinking. In theory, coca or kola could be adulterated with caffeine or any other substance. But the government was not charging that Coca-Cola was a compound made of coca and kola. On the contrary, the government said Coca-Cola was “misbranded” because it contained too little of either. But if Coca-Cola was not a compound made of coca and kola, what was it? It was, Sanford continued, the name of a soft drink with certain familiar characteristics the public had come to expect, including the presence of caffeine.

The judge directed a verdict in favor of the company. There was no mistaking that Coca-Cola had won. “CASE IS PRACTICALLY THROWN OUT OF COURT” trumpeted a headline in the *Chattanooga Times*. But as Harold Hirsch feared, the victory was flawed. Part of the problem was a matter of publicity. It appeared that Coca-Cola had escaped on a technicality. After all the sensational testimony, the jury never got a chance to decide if Coca-Cola really was harmful. The facts remained in dispute. There was no sense of finality, no mark of vindication, no banner of innocence for the company to wave.

The directed verdict left Dr. Wiley free to fight another day. A jury's finding that caffeine was a mild, harmless stimulant might have closed the subject once and for all. Now there was nothing to certify how badly Wiley had failed to prove his case. A food industry journal, applauding the outcome, dismissed Wiley as an “irresponsible faddist,” but nothing had

occurred to persuade the general public to share that view. Within weeks, he was agitating again as vigorously as ever against the evils of caffeine and Coca-Cola.

Worst of all, there was a legal problem. The government intended to appeal the directed verdict because it threatened to limit the scope of the Pure Food and Drugs Act.

The damaging side effects of the verdict became obvious in August 1911, four months after the trial ended, when Candler and Sam Brown renewed their efforts to negotiate the sale of the company. After several weeks of dickering, they agreed on a price: \$8 million. Brown got an option from Candler and set about trying to find backers to raise the money. But he got a rude awakening. His son-in-law, Hirsch, had been absolutely right about the directed verdict. With the appeal pending, investors were reluctant to make a commitment.

In March 1912, Wiley resigned from the Bureau of Chemistry and accepted a job in the private sector as editor of *Good Housekeeping*. There was rejoicing in Atlanta. The news, Hirsch exulted, was “almost too good to be true.” Yet there was still no chance for a settlement. The lawyers in the Department of Agriculture and the Justice Department cared very little about the caffeine in Coca-Cola, but they flatly refused to accept the limitations that the verdict placed on other prosecutions under the Pure Food and Drugs Act. If necessary, they planned to fight the case all the way to the United States Supreme Court.

In 1913, after more than a year searching fruitlessly for a buyer, Brown gave up. Investors everywhere saw the Coca-Cola Company just the way John Candler had once seen it, as a big balloon. Punch a hole in it, and it was gone. The threat of the appeal was like a sharp, shiny pin, and until it was resolved there would be no sale. The company was having its best year ever, on the way to record revenues of \$8.8 million, more than the asking price, yet no one would buy. The true bottom line was that the physical assets of the company—the land, buildings, and inventory—were worth far less. As always, the genuine value was in the popularity of the trademark. An investor could pay \$8 million for the company and lose almost all of it overnight if a higher court ruled the wrong way and Coca-Cola lost its name.

Candler grew morose. His nerves were frazzled and his dyspepsia was worse than ever. The vindication he craved for himself and his product eluded him. In the aftermath of the trial, D. W. Griffith, the pioneer filmmaker who later gained notoriety for *The Birth of a Nation*, made a short movie that vividly portrayed the ruination of a man named Campbell who produced a soft drink called Dopokoke. The silent film, entitled *For His Son: The Awful Result of Criminal Selfishness*, depicted a man who gains riches by callously lacing his beverage with cocaine, only to come to terrible justice when his own son falls prey to addiction and dies.

The company published a booklet with the patriotic title “Truth, Justice and Coca-Cola” that insisted plaintively, “There is not one indivisible atom

of cocaine in a whole ocean of Coca-Cola. This is absolute and final.” Yet the notion persisted. Hirsch, paying a visit to Washington early in 1912, nearly a year after the trial, was surprised to find the capital “pretty thoroughly saturated with the idea that Coca-Cola contained cocaine.”

In the summer of 1913, Howard and the other children finally succeeded in packing their parents off to Europe for a grand tour. It brought Asa little joy. “I have forgotten the books I used to read,” he wrote home wistfully. “I have lost my knowledge of history in my search for wealth till I can’t now understand as I want to the wonderful sights that I see.” In a remarkable and disturbing turn of phrase, he described himself as “weary, surfeited as a hog, who is penned up to eat and be made fat for slaughter.”

At the age of sixty-one, Candler turned his thoughts to a higher plane. “My days on earth are now too few to be wasted . . .” he wrote. “I am from this time to the close of my life going to give myself to trying to make some contributions to the world’s betterment.”

He was still the owner of the Coca-Cola Company. But he no longer wanted it, and he tried to put it out of his mind.

Three

DOBBS

Samuel Candler Dobbs was near death. In the summer of 1950, his family checked him out of Emory University Hospital in Atlanta and put him in an ambulance for the three-hour drive to his lodge, The Lichens, in the cool, forested foothills near Lakemont in north Georgia.

At eighty-one, Dobbs was suffering the same dreadful ailment that seemed to haunt many of the men in the Candler family. He'd had a severe stroke, which was keeping his brain from getting enough blood and oxygen. Lying on his sickbed, he kept slipping in and out of delirium.

At times he grew terribly agitated. "He has to get back to Atlanta," his attending nurse explained, describing the recurrent hallucination that drew Dobbs backward into the distant past: "Howard Candler has just been made president of Coca-Cola and he simply can't let the work of years be thrown away in such a manner." The nurse, Eleise Wrenne, would try to calm Dobbs. That was a long time ago, she'd say. The company survived. "He says, 'No, they have just had a special meeting that elected Howard president . . . Howard is not capable of leading such an enterprise up the road as it should go.'"

Again and again, the vivid, fearful memory visited Dobbs, so real that he strained to rise and leave his bed. His first cousin, Howard Candler, had been made president of the Coca-Cola Company. It was a tremendous blunder. Dobbs had to do something before it was too late.

From the very first moment he discovered Coca-Cola, Sam Dobbs was in a fever. There really was no other way to put it. As a green, gangly seventeen-year-old fresh from the farm, he arrived in Atlanta to work for his uncle, Asa Candler, in 1886, the same year the drink was invented. Dobbs tried Coca-Cola for the first time at a soda fountain in the bakery next door and was smitten.

When Candler acquired the rights to Coca-Cola, it was Dobbs who drove the one-horse dray clattering down Marietta Street to Doc Pemberton's old headquarters, loaded up the kettles, percolators, inventory, and handmade advertising signs and delivered them to their new home. He was thrilled. The boys in Candler's laboratory "rejoiced," Dobbs recalled years later, because now "we could get all the Coca-Cola we wanted." And in Dobbs's case, that was a lot: He liked to drink at least a dozen Cokes a day, sometimes as many as fifteen.

Dobbs's excitement was more than just that of a consumer finding a ready supply of his favorite refreshment. Even as a teenager, he had an intuitive feel for the whole business. He wanted to sell Coca-Cola, and he was bursting with ideas how it should be done.

Dobbs was rough around the edges. The son of one of Asa Candler's older sisters, he'd grown up poor in a one-room shack in Carroll County, Georgia, near the Alabama line, during the rock-hard days of Reconstruction. "Sam-mie" Dobbs, as the Candler family called their country cousin, had finished only six months of formal schooling, and his grammar occasionally grated on the ear. Making a meager salary of \$6 a week, sleeping on a cot in the back room, and wielding a broom, he was not expected to volunteer suggestions to his Uncle Asa about the best way to run the company. Yet he did.

There was the matter of bottling, for instance. During one of his visits to Doc Pemberton's ramshackle headquarters, Dobbs spotted the primitive bottling operation under the coal shed out in the backyard, and he was fascinated. The Matthews machine was little more than a wooden table with tubes connected to a generator and a pair of crude metal cylinders. It had hand and foot levers that were used to lower a valve, squirt syrup and carbonated water into a bottle, and secure an internal rubber disk and wire contraption known as a Hutchinson stopper as a seal. The carbonation was provided by the old-fashioned, malodorous method of mixing sulfuric acid and marble dust, and then forcing the escaping gas into water held under pressure in one of the cylinders. The process was "typically unsanitary, dirty, and antique," Dobbs had to admit, yet in the wink of an eye he could see the vast potential of selling Coke in bottles.

After Candler assumed control of Coca-Cola, he sent Dobbs out on the road to sell the new soft drink to soda fountain operators in Georgia, South Carolina, and the rest of the South. Dobbs did as he was told, calling on druggists in towns and small cities all across the region, but he also went his uncle one better and sold syrup to merchants who had back-alley bottling setups similar to Pemberton's. When Dobbs got home, Candler confronted him and told him to stop. Bottling was a primitive, unwholesome craft, in Candler's view. "There are too many folks who are not responsible," he explained, "who care nothing about the reputation of what they put up, and I am afraid the name [of Coca-Cola] will be injured." Bottles with Hutchinson stoppers were notoriously hard to clean and sanitize, and few of the early bottlers even bothered to try. It was not unusual for a bottling machine to be placed in the stable, conveniently near the wagons, on a floor covered with straw and horse manure. Candler told Dobbs to confine himself to selling the syrup solely for use at soda fountains.

As he recounted the episode years later, Dobbs remembered standing up to his uncle and arguing for what he believed: There simply weren't enough soda fountains. The smart move would be to sell Coca-Cola wherever they could, any way they could. A glass, of Coke could be sold only at the fountain, but a *bottle* of Coke could be shipped anywhere, sold anywhere, con-

sumed anywhere. It was the future of the business, and it was limitless. Perhaps young Dobbs, still in his teens, was not quite as bold with his uncle as he enjoyed recalling. Not many men had the gumption to talk back to Asa Candler. Yet there is no question Dobbs was an advocate of bottling Coca-Cola long before others joined him in pushing the same idea. In the popular 1934 movie *Imitation of Life*, starring Claudette Colbert, a character repeats the widespread myth that Asa Candler once paid \$50,000 for a two-word piece of advice about Coca-Cola—"Bottle it!"—but the truth of the matter was that Candler got the advice free from his own nephew and simply chose to ignore it for more than a decade.

During the first two full seasons of the Candler era, the summers of 1889 and 1890, Dobbs traveled the South by rail and buggy, ranging as far west as the Mississippi River and as far north as North Carolina. He bragged later (with justification) that he did more than any other individual to introduce Coca-Cola in the region. Then, graduating quickly from life on the road, Dobbs was assigned a desk in Atlanta and took charge of the company's shipping department. It was a job that required a certain degree of precision, since his Uncle Asa would dock his pay if he made a mistake and sent a shipment to Oxford, North Carolina, say, instead of Oxford, Mississippi. But Dobbs handled his chores well. As he grew into manhood in the 1890s, Dobbs completed his apprenticeship. Working side by side with Frank Robinson, he learned every step of the business, from buying the ingredients and making the syrup to keeping the books and packing advertising materials for the other salesmen.

At night, with Bishop Warren Candler as his tutor, Dobbs studied hard and tried to make up for his lack of schooling. In time, he gained polish and a bit of sophistication to go along with his innate sense of self-confidence. The country bumpkin was turning into quite a formidable adult, but the one part of Dobbs's personality that never seemed to mellow, the one rough edge that was never sanded smooth, was his ambition. In a photograph from that period, the striking thing about Dobbs was the look in his eyes: luminous, intense, knowing, needy, somehow almost feral.

The Coca-Cola Company of the Gay Nineties was a business of deceptive simplicity. As late as the turn of the century, when production exceeded a quarter of a million gallons and sales were recorded in every state of the union, the corporate headquarters in Atlanta employed only twenty people. When the new factory was opened in 1898—the factory Asa Candler believed would meet Coca-Cola's needs "for all time to come"—the entire workforce could fit on the front steps to pose for a picture.

While the flow of syrup swelled dramatically with each passing year, the process of making it remained basically unchanged. Water, sugar, caffeine, and caramel were cooked in a kettle, preservatives and flavorings were added in the cooling tanks, and the final product was drawn into jars, kegs, and barrels for shipment by dray and rail. The real challenge and excite-

ment, then as now, lay in selling and advertising, and it was in that direction Dobbs felt himself tugged.

Asa Candler deployed a tiny platoon of salesmen across the American countryside, trying to get dealers to carry Coca-Cola. The efforts were not always successful. One nephew, Dan Candler, delighted in telling the story of a call he made on a druggist in a small town in Oklahoma. The man had never heard of the new soft drink, and when young Candler tried to sell him a fifty-gallon barrel of syrup he laughed out loud. Candler suggested a smaller ten-gallon keg. Still no deal. Finally, a bit exasperated, Candler said, "Well, how about buying a one-gallon jug? Anybody can sell a gallon of Coca-Cola." And the druggist replied evenly, "Well, Mister, you ain't done it yet."

Frank Robinson and Sam Dobbs were working on ways to make those sales easier. In addition to the sampling campaign that deluged soda fountain operators with hundreds of thousands of free tickets good for a Coke "for you and a friend," Robinson and Dobbs concocted a series of promotions designed to make the soft drink familiar and accessible. They got Ed Grant, an independent sign painter in Atlanta, to design an oilcloth banner that could be pinned around the flap of the awnings that adorned most drugstores. The trademark, in red lettering on a white background (with the slogan "Delicious and Refreshing" in blue), reminded people they wanted a Coca-Cola and told them where they could get one. In 1894, an artist named Jim Couden painted Coca-Cola's name on the side of a drugstore operated by Will Young and Evans Mays in Cartersville, Georgia; it was the first of twenty thousand Coca-Cola wall signs that eventually punctuated the American landscape. One year Robinson and Dobbs made it their goal to have "Coca-Cola" painted on every barn in the Midwest. Asa Candler once said he realized his product had gained a national reputation when he saw a Coca-Cola sign in the background of a photograph of President McKinley's funeral cortege as it moved from New York to Ohio in 1901.

For the insides of stores, Robinson and Dobbs commissioned articles known as "dealer helps": keepsakes, posters, trays, and other items that carried the name "Coca-Cola" and were meant to jog a consumer's memory and close a sale before he escaped. The company bought the rights to a photograph of the popular actress Lillian Russell, for example, painted a glass of Coca-Cola near her hand, and printed up five thousand poster-size copies to be displayed at soda fountains. Long before the phrase "impulse buying" became part of the advertising vernacular, Robinson and Dobbs understood instinctively that they had a chance to sell Coca-Cola to people who hadn't planned to drink one when they first walked into the store. To trigger that impulse, the company sent out thousands of ceramic syrup urns, clocks, metal signs, posters, trays, and decals—all to ensure that no matter which way a customer turned, the name "Coca-Cola" would pop up in his or her line of vision.

In time, store owners came to appreciate Coca-Cola because they found it attracted customers who would spend their money on other goods as well.

The company took its promotions out into the streets, too, as the salesmen gave away thousands of blotters, paperweights, calendars, and other novelties to anyone who would take them. The leading item was Coca-Cola's famous Japanese fan. Unfolding to reveal a pretty picture on one side and the Coca-Cola logo on the other, the fans created a subliminal, stroboscopic message whenever a hot, thirsty customer fluttered one in front of her face.

Passing out the fans became something of a rite of passage in the Candler family. When he was working as a salesman during summer vacation one year, Howard Candler recalled being ordered to distribute a hundred boxes of the fans in offices, restaurants, barber shops, and hotel lobbies around Kansas City. He made a practice of stringing the fans on pieces of rope, hitching a string over each shoulder, trudging up to the top floor of every building in town and making his way down, office by office, giving away the fans. (It is perhaps an indication of Howard's intellectual limitations that he did not think to begin the distributions on the ground level and work his way *up* the floors, thereby lightening his load as he went, but in any case he carried out his instructions and "got rid of a tremendous amount of bulk advertising material, as well as practically all of my energy. . . .")

As the 1890s progressed, Dobbs gradually took over the job of sales manager. Though Robinson kept the title, Dobbs eased him aside and assumed the duties of training the salesmen, arranging their trips, filling their orders, and packing their advertising supplies in the metal-bound trunks that were shipped ahead to the railroad stations along their routes. Asa Candler's other nephews watched Dobbs's rise with a mix of trepidation and grudging admiration. In part it was a matter of personality. In dealing with underlings, Robinson was known for his gentle, forgiving tone. If a secretary or a stenographer made a mistake, Robinson typically apologized and said it was his own fault for not making his instructions clear. Like a doting parent, Robinson worried about the health and welfare of his salesmen out in the field and urged them to take care of themselves.

Dobbs had a much harder edge. He was demanding, and he got more out of the men. Among other things, Dobbs expected his salesmen to show soda fountain operators how to prepare Coca-Cola properly, a job that often entailed ducking down and crawling through the dank cobwebs and grit underneath the counter to check the ice chamber and cooling coils, making sure the carbonated water was cold enough. A warm Coca-Cola was a sin.

Following the example set by Asa Candler, Dobbs saw to it that the company recruited men of high personal standards. Bill Trebilcock, the Chicago manager, made a habit of attending Women's Christian Temper-

ance Union meetings to look for candidates for his sales staff. With his flowing, fiery, red moustache, Trebilcock was an arresting sight, but many of the salesmen found the most memorable thing about him the fact that he didn't smoke, chew, drink, or curse—or hire other men who did. In an era when traveling salesmen (“drummers” in the parlance of the day) earned a reputation for card-playing and carousing, Coca-Cola's representatives stood out as exceptions.

In return for their hard work, Dobbs fought for his salesmen's interests at the home office in Atlanta. With the horse-and-buggy era drawing to a close, the men wanted to drive company cars, yet Asa Candler seemed wedded to the old ways and balked at the extravagance. Dobbs spent years breaking down his uncle's resistance and finally arranged the purchase of a small fleet of Locomobiles for the salesmen in New York City. He turned over his own car, a two-seat, Belgian-made Metalurgique, to the men in Chicago.

Along with affection, Dobbs commanded respect and fidelity. Coca-Cola salesmen earned a modest but regular salary of \$12.50 a week, plus expenses, and Dobbs made sure they knew he was the one who controlled their livelihoods. (It was the expense allowance that made a job with Coca-Cola especially coveted, since the company paid for three restaurant meals a day, lodging in good hotels, and first-class rail travel whenever a salesman was on the road.) Over time, Dobbs made himself “the only contact point with the home office that the sales force knew,” and the salesmen repaid him with their loyalty. One of them later described Dobbs as a natural leader, “an immensely attractive man—a dynamic personality and a brilliant speaker.”

Dobbs took up other causes as well. One of a salesman's toughest chores was keeping the merchants from buying cheap, substitute syrup and passing it off as the real thing. The tremendous profit margins built into each level of the Coca-Cola business were supposed to keep everyone happy. It cost the Candlers less than \$1 to manufacture a gallon of syrup, which they then sold to a jobber (typically a grocery or drug wholesaler) for \$1.50, yielding a return of 50 percent. The jobber sold the gallon of syrup to a retailer for \$2, making a quick turnaround profit of one-third. The retailer did best of all, serving about 100 drinks from each gallon at a nickel apiece, pulling in \$5 on his \$2 investment. But an even handsomer return was available to a retailer if he could buy syrup for less than \$2, and as Coca-Cola's popularity rose, so did the number of small-time operators peddling dark, watery imitations that could be passed off as Coca-Cola syrup.

With his keen, high-pitched sense of proper business ethics, Asa Candler railed against the “unscrupulous pirates” and “scoundrels” who were undercutting Coca-Cola's reputation and profits, yet he had only the most rudimentary strategy for fending them off: Candler expected his salesmen to protect the company's interests with their fists. John H. Power, one of the early salesmen hired by Dobbs, recalled that his colleagues would give

a soda fountain operator one warning, and “on the next trip if they found the man still substituting, they would. . .take him out the front door on the sidewalk and ‘biff’ him one. That actually happened.” A grocer in Virginia complained to Power that one of the other salesmen routinely took him outside in front of the store “and hit me in the eye.” Power, who was physically slight, tried to rely on persuasion instead.

Dobbs found the idea of fisticuffs hopelessly outmoded. As he looked around the company, Dobbs suffered a growing sense of frustration. He saw the need to modernize nearly every facet of Coca-Cola’s operations, yet everywhere he turned he found inertia and an instinct to continue doing things in the tried-and-true ways that had served the company well enough so far. The solution to the substitution problem, he believed, wasn’t out in the street, brawling, but in the courtroom using the swiftly evolving body of law that provided manufacturers with protection against unfair competition.

The salesmen weren’t the only ones who needed legal help. In 1899, ten years after Dobbs first prodded him to do so, Asa Candler finally relented and agreed to let independent operators begin bottling and selling Coca-Cola. All across the country, small businessmen were scraping together money and investing in bottling operations, only to find themselves undercut by competitors mimicking Coca-Cola’s name.

Dozens and eventually hundreds of imitators flooded the market with sound-alike soft drinks, among them Afri-Cola, Ameri-Cola, Ala-Cola, Bolama-Cola, Cafe-de-Ola, Carbo-Cola, Candy-Kola, Capa-Cola, Chero-Cola, Christo-Cola, Coke-Ola, Coo-EE-Cola, Curo-Cola, Grap-O-Cola, Its-A-Cola, Kaffir-Kola, Kaw-Kola, Kiss-Kola, Ko-Ca-Ama, Koca-Nola, Ko-Co-Lem-A, Kokola, Klu Ko Kolo, Loco Cola, Luna Cola, Mitch-O-Cola, Mo-Cola, My Cola, Roco-Cola, Toca-Cola, Taka-Cola, Qua-Kola, Uneeda-Cola, Zero-Cola, and Zippi-Cola. In New Bern, North Carolina, a pharmacist named Caleb Bradham was making a drink he called Pepsi-Cola.

The brazenness of the counterfeiters was remarkable (it could almost be said that they showed inventiveness in their plagiarism), but Dobbs found nothing at all amusing about their activities. He yearned to sue them, and in private he complained that his uncles, Asa and John, were content “to allow infringements—some of them most flagrant—to go on undisturbed.” While the older Clanders were devoting most of their legal and political energies to the unfolding fight against Dr. Wiley and the government, Dobbs worried that the imitators were infiltrating the market and siphoning off Coca-Cola’s sales.

Dobbs was also growing restless over the company’s marketing. Advertising was his passion, and as the years went by he became increasingly envious of Robinson’s control over the creative end of the business. Like a gifted student surpassing his professor, Dobbs learned from Robinson and then began to want to move faster and try newer ideas and spend more money.

At the turn of the century, Robinson was fifty-four years old and Dobbs thirty-one. A new era was opening—the company placed a \$10,000 order for its first magazine ads in 1902, in *Munsey's* monthly—and Dobbs longed to take charge. Robinson and Dobbs started bickering about the size and scope of the company's advertising, and their arguments grew increasingly ugly. Dobbs had been given a directorship of the company, and he began carrying his disputes with Robinson to the board, making Asa Candler arbitrate. At first, Robinson won most of the skirmishes, but then the tide turned.

The incident that sparked Dobbs's final break with Robinson was the employment in 1902 of an outside advertising agency. St. Elmo Massengale, an old friend of Robinson's who ran a one-man shop in Atlanta, was signed up to help design the company's ads. Bringing an innovative touch to the job, Massengale inaugurated the use of endorsements of Coke by sports figures of the age. In 1903, for instance, the champion bicyclist Jack Prince advocated Coke in a newspaper ad. Massengale wrote copy in which the athletes seemed to be speaking directly to the reader. "The other players can drink all the whisky, beer and wine they want," said the baseball star Nap Lajoie, "but none of that for me . . ." Lajoie preferred Coca-Cola.

Massengale created slice-of-life scenes and tried to make Coca-Cola an integral part of the activity. Unlike the earlier, static ads featuring stiff, corseted actresses, Massengale's work showed theatergoers—actual consumers—lining up for a Coca-Cola during intermission. His ads illustrated thirst and fatigue in social settings and showed people using the product. Massengale also recognized the opportunities inherent in the advent of the automobile age. One of his pioneering ads showed a party of motorists stopping at a roadside restaurant, where a white-coated waiter came out and presented a tray full of glasses of Coca-Cola "to refresh the parched throat, to invigorate the fatigued body, and quicken the tired brain." If Massengale had a failing, it was his inclination to depict Coca-Cola drinkers as aristocrats of "discriminating" taste (his men typically wore high hats and his women favored ornate bonnets) when the company's target was people from all social levels.

Dobbs had no quarrel with the switch away from the tone and techniques of old-fashioned advertising. His criticism of Robinson and Massengale was that they didn't go far enough. In Dobbs's view, Coca-Cola advertising ought to "attract the eye with something appealing, in the way of an illustration that in itself tells a story, and then impress that story on the reader with good, catchy phrases [*sic*], giving a reason why they should spend their money with us." Coca-Cola was a beverage, Dobbs conceded, "but isn't it something more than a beverage?"

Marketing differences, however, were not the real issue. The clash between Robinson and Dobbs over advertising came at the same time Asa Candler was beginning to withdraw more and more from the daily opera-

tions of the company. By taking a hands-off role and acting as “chief policy maker,” Candler was creating a power vacuum in the executive suite, and it became apparent that Robinson and Dobbs were actually competing to see who would run the Coca-Cola Company in the years ahead. Gaining authority over advertising was the key to gaining control of the whole business.

It was possible to be blinded by Dobbs’s ambition. Lacking the grace to conceal his longing for power, Dobbs made the mistake of letting everyone in the company and the Candler family know just how badly he wanted to make it to the top. Most of them were repelled. Among his relatives, Dobbs was still known disparagingly as “Sammie,” in reference to his humble beginnings in the country. They found something unseemly about his willingness to climb over a man as gentle and loyal as Frank Robinson, and of course they found something fearful in his eagerness to climb over them. His cousins saw Dobbs’s assault on St. Elmo Massengale as nothing more than a matter of office politics and naked jealousy: Dobbs was after Massengale’s hide because Massengale worked for Robinson, and Robinson was in the way.

Thus it came as a considerable surprise throughout the company when Asa Candler resolved the struggle, in 1906, by making Dobbs the director of Coca-Cola’s advertising. The point everyone seemed to miss was that Dobbs, whatever his social shortcomings, had a brilliant mind for the business and a track record to prove it. Candler decided to give Dobbs a chance to show what he could accomplish with the company’s ad budget, and Dobbs quickly made the most of his opportunity. He had his selfish reasons for pushing Massengale aside, true, but in picking a replacement Dobbs succeeded in discovering one of the great rising talents of the advertising world, Bill D’Arcy, who would spend the next half-century making history with his work on behalf of Coca-Cola.

William Cheever D’Arcy was working for an agency in St. Louis, selling space for advertising cards on streetcars, when Dobbs first encountered him during a trip through the Midwest in the early 1900s. The two were introduced by the Coca-Cola salesman in St. Louis, Willard Cox, and quickly formed a friendship, discovering they shared a passion for baseball. D’Arcy was anxious to go into business on his own, and Dobbs gave him encouragement.

At the St. Louis World’s Fair in 1904, D’Arcy attracted considerable attention with a display he created for George A. Dickel & Company, the Nashville distiller. Piping water up from the Mississippi River, D’Arcy built an eye-catching artificial waterfall to promote Cascade Whiskey, and Dickel agreed to become his first client. Coca-Cola was his second. In the late summer of 1906, in a small suite he rented for \$5 a month, D’Arcy opened his own office in downtown St. Louis. Dobbs gave the fledgling D’Arcy Advertising Company a total of \$4,602 in billings that first year,

including \$1,500 for newspaper ads in St. Louis and Kansas City. Then, pleased with the results, Dobbs hiked D'Arcy's budget up to \$25,000 the next year, and kept giving him more and more of the company's business.

A native of St. Louis born to parents of Irish ancestry, D'Arcy was a strikingly handsome man who bore himself with immense dignity. He wore starched collars and a pince-nez, and as he walked to his office at the corner of Pine and Sixth streets he resembled a banker or a minister more than a promoter. He was reserved by nature and took a serious approach to his work. He believed in an intimate relationship between agent and client—like a doctor and patient—and formed a close personal and professional bond with Dobbs.

For all his chilliness, Bill D'Arcy was a natural salesman. He shared Dobbs's view that Coca-Cola advertising should create scenes that drew people in and made them part of the pleasant interludes of everyday life. In an ad he placed in the St. Louis classified phone directory, D'Arcy proclaimed, "All classes, ages and sexes drink Coca-Cola," and the sentiment could have served as a manifesto for his approach to the company's advertising. Like Massengale, D'Arcy believed in slice-of-life illustrations, but D'Arcy also had a knack for writing text that reached the common man and brought the illustrations alive. In one of his first newspaper ads for Coca-Cola, D'Arcy showed a picture of the baseball star Ty Cobb at bat, and wrote:

Something's bound to happen. Everybody on edge—nerves-a-tingle—head whizzing. Crack!! Good boy Ty!! Safe!! And then you shout yourself hoarse. When it's all over you're hot, thirsty and limp. A cold, snappy drink of Coca-Cola will put you back in the game—relieve the thirst and cool you off.

D'Arcy gave a story line to his ads (and a sense of excitement) that outpaced all earlier efforts. His ads had a universal appeal and connected on a simple, emotional level. D'Arcy understood human nature. One of the legendary stories about him involved an ad campaign the agency undertook on behalf of a hosiery company. A staff artist worked up a design for a billboard featuring a breathtaking young woman with long, shapely legs. The account executives who brought the mock-up to D'Arcy's office were nervous about the presentation, thinking they probably had gone a little too far, but to their surprise D'Arcy looked over the drawing and nodded his approval. "Gentlemen," he said solemnly, "I want that artwork finished so that a man walking or riding down the street and passing this poster will desire that woman."

Before D'Arcy took over, the women depicted in Coca-Cola's ads tended to look either girlishly innocent, or, in the case of the professional actresses who endorsed the soft drink, stiff and Victorian. There was a sense of innocence about them that reflected Asa Candler's primness. One of Asa's

nephews, Sam Willard, recalled that in the early days, when illustrations arrived from the lithographer, everyone in the Atlanta headquarters would gather around for a close inspection: "If a particularly beautiful portrait was shown, a lovely and discreetly gowned model, Mr. Robinson would say, 'I think Mr. Asa will like this one.' That always called for a general twinkling of eyes." After D'Arcy came on the scene, the models remained fresh and wholesome, but there was a new, unmistakably flirtatious air about them. The company's calendar girls became more accessible, somehow, as if the girl-next-door not only happened to be a smashing beauty but had a coquettish, come-hither personality to boot. D'Arcy introduced the bathing beauty to Coca-Cola's advertising, and with her the idea that a soft drink could have a role in romance.

As he demonstrated with his artificial waterfall, D'Arcy loved innovations and dramatic flourishes. In 1908, he created an animated billboard alongside the Pennsylvania Railroad, and travelers from Philadelphia to New York City were treated to the sight of a white-capped clerk serving what appeared to be genuine Coca-Cola (it was actually water pumped through a two-inch pipe from a nearby city main) from a giant ceramic urn. A year later, D'Arcy hired a dirigible that cruised slowly over Washington, D.C., carrying giant Coca-Cola signs on either side.

The advent of the general circulation magazines, with their high quality paper and four-color presses, gave D'Arcy his greatest chance to shine. He could reach a mass audience with good popular art, and by 1910 the company was giving him \$225,000 a year to buy full pages in the *Saturday Evening Post*, *Collier's*, and *Good Housekeeping*. Poor Massengale saw his role diminish—he was relegated to placing ads in religious publications—until he lost the Coca-Cola account entirely.

Although Dobbs's coup left him in charge of sales and advertising, he quickly turned his attention to the company's other operations as well. In January 1906, Harold Hirsch joined John Candler's law firm as a partner, and he instantly allied himself with Dobbs in the view that the company should be seeking protection in the courts from the onslaught of substitutions and trademark infringement. Just as Dobbs and D'Arcy formed an effective partnership overseeing Coca-Cola's advertising, Dobbs and Hirsch became a force for change in the direction of the company's legal policies. Hirsch was a brilliant and combative lawyer, eager to track down Coca-Cola's enemies and sue them out of existence.

Born into a prominent Jewish family in Atlanta, Hirsch first displayed his competitive streak as a young man, playing center and fullback for the University of Georgia football team and graduating with high honors in 1901. Spurning his family's clothing business, Hirsch earned his law degree at Columbia University in 1904 and came to the attention of John Candler, who was then serving as a justice on the Georgia Supreme Court. Candler sensed the need for new energy and scholarship in his practice and made

Hirsch a senior partner (at the tender age of twenty-four) in the firm of Candler, Thomson & Hirsch.

Hirsch, a stocky, powerful man who wore his Phi Beta Kappa key prominently displayed on his vest, brought a renewed spirit of aggressiveness to the defense of Coca-Cola's trademark. As part of the Progressive movement, Congress passed the Trade-Mark Act of 1905 in an effort to bring a measure of reason and logic to the chaotic mix of common law, individual state statutes, and federal case histories that governed the use of proper names and distinctive marks for manufactured products. For the first time, federal trademark law was specifically applied to interstate commerce, giving the company an opportunity to sue infringers in U.S. district court. The older Candler viewed the new law with uncertainty, worrying that it might be years before the courts finished interpreting it, with no guarantee that the company's exclusive right to use "Coca-Cola" as a trademark would ultimately be upheld. But with Dobbs urging him on, Hirsch brushed aside the misgivings of the older generation and went on the attack.

Discovering a pair of bottlers in South Carolina who were manufacturing an inferior product and labeling it "Coca-Cola," Hirsch sued in federal court and secured his first injunction in the spring of 1906. It hardly mattered that the two bottlers had pocketed only a meager \$125 peddling their bogus syrup; Hirsch's point was to send a message that the company no longer intended to tolerate substitutions and infringement. Hirsch won judgments in Pennsylvania against the manufacturers of Toca-Coca, in Louisiana against Ko-Kola, and in Illinois against Kos-Kola. Dobbs backed up the new legal strategy with an advertising campaign that urged consumers to insist on "genuine" Coca-Cola.

As the first decade of the twentieth century unfolded, Dobbs continued to cement his role as Asa Candler's top lieutenant. When the company's troubles with Dr. Wiley began in 1907, for instance, Dobbs took charge of lining up political support from the nation's thousands of soda fountain operators. At a convention of druggists in Chicago, Dobbs headed a team of twenty Coca-Cola men who provided transportation, nonstop entertainment, and gentle arm-twisting for the three thousand conventioners in attendance. He also saw to it that Coca-Cola's Japanese fans were passed out at the final banquet in the First Regiment Armory, where it was so hot the keynote speaker busily waved his fan the whole time he was giving his address. "I saw the President of the Association as he was leaving the hotel," Dobbs reported home, "and, taking hold of my hands, he remarked: 'Dobbs, you and the boys are alright; they did themselves proud this week, and we are all for Coca-Cola.'"

As John Candler and Harold Hirsch prepared the company for its showdown with Wiley in the courtroom, Dobbs emerged as Coca-Cola's most effective spokesman in the equally crucial arena of public opinion. Battling to rid Coca-Cola of the last vestiges of its patent medicine origins, Dobbs maneuvered in 1909 to become president of the Associated Adver-

tising Clubs of America, where he helped launch the “Truth in Advertising” movement. During his two-year term heading the league, Dobbs estimated he traveled 45,000 miles around the country preaching the doctrine of “clean, truthful, honest publicity” (and concurrently associating the Coca-Cola Company with those virtues).^{*} The local committees Dobbs helped organize later evolved into the national system of Better Business Bureaus. Thanks in large measure to Sam Dobbs, a company that had brazenly exaggerated the benefits of its product just a few short years earlier was now busily trying to transform itself into a model citizen.

Dobbs’s rise to the top echelon of the Coca-Cola Company was remarkable, considering the lowliness of his starting position, and it was made even more dramatic when measured against the failure of Asa Candler’s own children to keep pace. While Dobbs was showing his facility for a variety of executive tasks, Candler’s eldest son, Howard, was doing just the opposite. Aside from his enthusiasm for the physical process of making Coca-Cola syrup, Howard proved to be inept at every other chore he was asked to perform.

An episode from 1908 was particularly telling. As the company prepared for battle with Dr. Wiley, Asa assigned Howard the job of traveling to New Jersey to inspect the Schaefer laboratory and make sure that the Merchandise No. 5 manufactured there was free from cocaine and otherwise in compliance with the Pure Food and Drugs Act. Having been surprised before by unexpected and embarrassing test results, Asa was anxious to avoid a repeat performance. When Howard called on Schaefer’s agents and asked for an appointment to tour the facilities, however, they told him he was unwelcome. Howard reported back to his father that he was unable to make the inspection. Asa related the news to Sam Dobbs, who expressed amazement at his cousin Howard’s timidity. The contract for Merchandise No. 5 was worth tens of thousands of dollars, Dobbs pointed out, and Dr. Schaefer was in no position to refuse a visit from anyone with the Coca-Cola Company, let alone the son of the proprietor. Howard had no need to ask permission to visit the laboratory. He just had to show up, knock on the door, and waltz in. Asa wrote to Howard that night and sent him back to try again.

Given Howard’s feebleness, and the lack of aptitude Asa’s four younger children displayed for the business (William, the baby of the family, was the only other child on the payroll, and he was an accountant), perhaps it is no surprise that Dobbs came to believe he was destined to succeed his

^{*} On the twenty-fifth anniversary of the founding of the movement, in a nice piece of hyperbole (and extended metaphor), the Advertising Federation of America saluted Dobbs for his leadership, saying, “He launched a crusade—at first it seemed almost a lone and personal battle—to drive the infidel Fraud out of the sacred land of advertising. At the end of two years the torch which he carried until it flamed high along the paths of paid publicity passed to other able bearers, to burn undimmed through a generation.”

uncle and run the company. In private, Dobbs began referring to Coca-Cola as “our baby” and “my child,” and he developed a protective attitude that eventually convinced him he was the only one who could shepherd the enterprise into the next generation. With sales and advertising already tucked in his portfolio, and with more and more control over other operations dropping into his hands every day, Dobbs became a sort of *de facto* president of the company, lacking only the title (which Asa retained) to complete his authority.

Dobbs was making a salary of \$8,000 a year—modest, perhaps, but more than Howard’s \$6,000 and more than the \$5,200 Asa paid himself. It was the top pay in the company. After starting out as a country cousin, Dobbs saw himself as a full-fledged member of the family, worthy of carrying on its purposes. Dobbs had named his son Samuel Candler Dobbs, Jr., which was hardly unusual, but there seemed to be a point in the fact that he called the boy by his middle name.

Dobbs had no way of knowing about the ambitions that Asa Candler harbored deep in his heart on behalf of his own son, Howard. Asa had been urging Howard to broaden his understanding of the business and prepare himself to take over, but those entreaties were passed along in the private conversations and correspondence of a father and his son, not in the open air of the office or in family councils. As Dobbs saw it, he was the company’s top executive, and he believed he could count on others to see it that way, too.

For all Dobbs or anyone else knew, Asa shared the widespread view that his eldest son was, as one of the company’s salesmen tactfully put it, a “quiet, kind, and friendly man,” one who might be dedicated to Coca-Cola but plainly lacked the talent to run the company. Despite sharing those apprehensions, though, Asa was gradually persuading himself that Howard should be his successor.

In a confidential letter to his brother, Warren, Asa disclosed his intention to retire completely from the Coca-Cola Company in December 1913, when he turned sixty-two. “Now this is for you and you only to know,” Asa added, but his plan was to make Howard the new president. There is nothing in the record to explain in detail why Asa planned to spurn Dobbs in favor of Howard. No doubt the thickness of the blood tie was the decisive factor. Howard wanted the job, and few fathers are capable of inflicting the sort of crushing disappointment on a son that Howard would have suffered in losing the job to his cousin. But there was another element playing a part in Asa’s thinking: the matter of temperament.

William Landers was an auditor in the company’s Atlanta headquarters, and in his unpublished memoirs he recalled an episode from about 1913, when Dobbs

was making a pep speech to the employees. As we had had an unusually good year, Mr. Dobbs stated with great gusto

that we had now reached a point where we do not have to take off our hats to anybody. I noticed Mr. Candler nervously twiddling his thumbs, as he always did when he did not like something that was being said. He followed Mr. Dobbs with a speech of his own in which he said: "Mr. Sammy Dobbs, in his speech, made the statement that now we do not have to take off our hats to anybody, but I say unto you ladies and gentlemen that I go with my hat in my hand."

Dobbs was headed for a painful awakening. His lifelong goal of becoming president of the company was about to be snatched out of his hands. It was one thing to lose the prize because of an accident of birth, but an even greater cruelty was at work in Dobbs's case. His finest successes on behalf of the company, his triumphs in advertising and marketing, his help in guiding the company through its sternest legal and political challenges, his satisfaction at seeing Coca-Cola making more money than it ever had before—all of these things now seemed to be rubbing Asa Candler the wrong way. Dobbs had groomed himself perfectly for the job of running Coca-Cola, only to find that Asa Candler no longer cared about the qualities that enabled a man to do well in business, or at least disapproved of those qualities if they were not subordinated to a deep sense of humility and selflessness. Weary, nervous, preoccupied with his own mortality, Asa Candler took off for his tour of Europe in the summer of 1913 sounding very much as if he had lost his belief in capitalism itself. "I do not want to make money," the richest man in Atlanta wrote. He wanted to make the world a better place.

As 1913 passed, and then 1914 and 1915, Candler kept postponing his retirement and delaying the moment when Howard would assume the presidency. The old man was growing more and more discouraged about the company's prospects. His hope of selling the company was placed on indefinite hold as Judge Sanford's verdict in the Chattanooga case made its way slowly up the appellate ladder to the United States Supreme Court, where Candler feared he might very well lose. New tax laws were forcing him to distribute the surplus profits he'd grown accustomed to leaving on the company's books. Though the millions of dollars that flowed into his pockets helped pay for his philanthropy, Candler nonetheless worried that the company would not have the capital it needed to grow in the years to come. In the meantime, Candler had witnessed the gathering momentum toward war during his visit to Europe, and he believed the worldwide conflict would eventually reach the United States and wreck business conditions.

The First World War did have a devastating impact on the economy of the American South, as the closing of European markets nearly destroyed the region's cotton farmers. The collapse of cotton prices in the autumn of

1914 gave Candler a chance to demonstrate his new dedication to humanitarianism with a spectacular gesture, as he staked his personal fortune on a \$30 million loan guarantee and agreed to purchase the year's cotton crop for the whole state of Georgia. The war "has almost scared the life out of business in this part of the world," Candler wrote one of his nephews, and he meant to relieve that fear and cushion the suffering of his fellow Southerners—single-handedly if necessary.

Thanks to the good financial health of the Coca-Cola Company, Asa Candler was able to give a \$1 million cash gift in 1914 to his brother's school, Emory University, to move its main campus from the countryside to Atlanta; a year later he underwrote an entire \$3 million bond issue for the state of Georgia, the first time since the Civil War that an offering was covered completely by home-grown capital.

Candler kept the Coca-Cola Company in a state of limbo until January 21, 1916, when he announced tersely at the annual meeting that his son Howard was succeeding him as president. In a book he wrote about his father years later, Howard speculated that the changing of the guard was attributable to a combination of factors, starting with Asa's bitter vexation over the new federal tax laws.* "He felt," Howard wrote of Asa, "that he could no longer conduct his business in the way he believed it should be conducted to assure its best progress and to realize its potential greatness." Howard described his father as extremely discouraged over Coca-Cola's prospects, and he thought perhaps his father was also depressed because he missed Frank Robinson, who retired in 1914 in poor health. The portrait Howard painted of his father's state of mind is noteworthy for the attitude of surrender and hopelessness it depicts. If Asa Candler had any faith that his son was equipped to lead Coca-Cola, or any optimism that the future held promise, certainly he failed utterly to convey it to Howard. Asa seems to have handed his son the reins of an enterprise he believed to be on the brink of decline, possibly disaster.

It appears, in fact, that Candler's abrupt disengagement from the company alarmed some of Coca-Cola's employees and created anxiety in Atlanta's business community. Two weeks afterward, on February 1, 1916, Candler took the uncommon step of issuing a signed public notice that he would remain interested in the company and serve as its chairman. The same statement, apparently designed to provide reassurances about the future of the business, announced that Sam Dobbs would take the title of vice president and manager of sales and advertising, in effect becoming Howard's chief deputy.

* In his president's report in 1914, Candler complained that taxes "grow as Hagar's gourd vine and are to us, who must pay them, as offensive as gourd vines in wheat fields," a lament that sounds vaguely biblical but in fact is nowhere to be found in either Old or New Testament, and whose origin remains an unsolved mystery in the Coca-Cola Company's corporate minutes.

Publicly, Dobbs played the good soldier and continued his duties on behalf of the company. But in a clear sign of his private discontent, he began spending as much time as he could away from Atlanta; within a few weeks after Howard's accession, Dobbs notified his Coca-Cola colleagues that henceforth he would be taking his mail at the company's New York office. And he began searching for a way to reverse his fortunes.

So long as Asa Candler owned the Coca-Cola Company, Dobbs had no recourse. At the time Howard became president, Asa held 391 of the 500 outstanding shares and thus maintained absolute, one-man control of what amounted to a closely held family corporation. In the years since Candler chartered the company in 1892, only a handful of outsiders had ever owned stock (mostly jobbers, who distributed Coke in various territories and took a few shares in lieu of cash commissions) and by 1916 Candler had bought all of them out. The remaining 109 shares of the company were owned in small lots by various members of Candler's family and Frank Robinson's. Dobbs held 23 shares, for instance, and Asa's five children, including Howard, owned five shares apiece. Company lore had it that Candler enjoyed dousing the occasional family disagreement by saying, "I vote my shares against that."

Candler's plan to sell the company had remained in a deep freeze for several years, and there is no telling how much longer he might have been content to allow the situation to continue, with his son in charge and the company's affairs flowing along in a gentle, nicely profitable drift, had not events overtaken him. But at long last the day of legal reckoning arrived, and on May 22, 1916, the United States Supreme Court handed down its decision in the Chattanooga case. It reversed Judge Sanford on all counts.

In a withering opinion, one of the last he wrote before resigning from the court to become the Republican nominee for president, Justice Charles Evans Hughes heaped ridicule on the directed verdict from the lower court, just as Harold Hirsch had feared. The government's lawyers had proven implacable in their determination to make sure that the key provisions of the Pure Food and Drugs Act were upheld. The Coca-Cola Company had argued cleverly that caffeine could not be an illegally "added" ingredient since it had always been part of the formula for the soft drink, and Judge Sanford had agreed. Justice Hughes did not. "If this were so," he wrote acidly, "the statute would be reduced to an absurdity. Manufacturers would be free, for example, to put arsenic or strychnine or other poisonous or deleterious ingredients. . . into compound articles of food, provided the compound were made according to formula and sold under some fanciful name."

Hughes was even more scathing in rejecting Judge Sanford's decision on a second vital point, the question of misbranding. Sanford had ruled that the company had a right to call its product Coca-Cola, even though it contained little if any coca or kola, because the two names together were simply a fanciful trademark. (As the company's lawyers liked to point out, Grape-

Nuts cereal had won protection in the courts even though it contained neither grapes nor nuts.) But the Supreme Court spurned this reasoning as well: “To take the illustration suggested in argument,” Hughes wrote, “it would permit a manufacturer, who could not use the name chocolate to describe that which was not chocolate, or vanilla to describe that which was not vanilla, to designate the mixture as ‘Chocolate-Vanilla,’ although it was destitute of either or both. . . .” Judge Sanford had plainly overstepped his authority, the high court ruled. The case should have gone to the jury. The government was entitled to a retrial.

In Atlanta, Howard Candler recalled in his book, the reaction to the Supreme Court’s action was “utter amazement, bordering on consternation.” Actually, given Harold Hirsch’s warnings, the outcome cannot have been as surprising as Howard Candler remembered, but there is no question the decision triggered a renewed urgency on Asa Candler’s part in negotiating the sale of the company. The case was headed back to Chattanooga, and Candler had no stomach for a repeat, of the scrap he went through in 1911. Not long after Justice Hughes handed down his decision, Candler reluctantly agreed to run for mayor of Atlanta on a reform ticket (he won), and the last thing he wanted was another legal circus full of sensational accusations against the soft drink he considered virtually synonymous with his good name.

The worst had come to pass, yet oddly enough Candler’s asking price for the company went up. It tripled, in fact, reflecting the company’s unbroken string of setting new records for sales, revenues, and profits every year since its founding. Candler instructed Harold Hirsch to notify Sam Brown, his father-in-law, that the Candler family would entertain an offer of \$25 million for the company. In turn, Brown and Hirsch wired their investors that Coca-Cola was back in play.

The thing that made Candler’s proposal so intriguing (and reflected his anxiety) was the unusual nature of the terms he was suggesting: His family would take \$15 million of common stock in the reorganized company, but Candler wanted to sell the other \$10 million of stock to the underwriters for \$5 million in cash. In effect, Candler was offering to *give away* \$5 million. He planned to award a fifth of the value of his business, an uncommonly high figure, to the middlemen who handled the transaction. In a way, it was as if Candler had posted a reward offer, the payment of a \$5 million bounty to anyone able to settle—or fix—the Chattanooga case.

And as it happened, one of the more savvy operators in national financial circles came to the conclusion that fixing the case was a genuine possibility.

During the sale negotiations that took place from 1911 to 1913, Hirsch and Brown had enlisted the help of Max Pam, a Chicago lawyer who specialized in corporate consolidations, to lobby on Coca-Cola’s behalf in Washington. Pam befriended the top chemists and lawyers in the Department of Agriculture and concluded that they did not share Dr. Wiley’s adamant opposition to caffeine. There had been no way to keep the govern-

ment's lawyers from pursuing the Chattanooga case to the Supreme Court, Pam recognized, because they were committed to striking down the precedent it threatened to set. But he thought avoiding an actual retrial might be relatively easy. With Wiley gone, no one seemed hell-bent on putting Coca-Cola out of business. The company might reach a compromise by cutting the amount of caffeine it put in the syrup.

As Pam saw it, the company's prospects were not nearly so dire as some of the Candlers seemed to think. When Asa Candler reopened negotiations in 1916, Pam quickly lined up the backing of Kuhn, Loeb & Company, the New York investment house, and agreed to terms, including the price tag of \$25 million.

The sale never took place.

After eight long years of maneuvering to rid himself of the company, with an attractive offer now sitting on the table, Asa Candler suddenly balked. On two separate occasions in 1916, his family met behind closed doors and rejected Max Pam's deal.

Candler failed to leave behind a single word of explanation, but there are several clues that suggest what happened. For nearly a quarter-century, Candler had treated the Coca-Cola Company as a sort of personal corporation; it owned all of his real estate in addition to the soft drink business. Candler's second son, Asa Jr., known to the family as "Buddie," was a wildly eccentric young man who had no interest whatever in Coca-Cola but wanted very much to inherit his father's office buildings, including the handsome skyscrapers in Atlanta and New York that bore the family name. Buddie was a source of constant exasperation to his father: "He is such a child!" Asa Sr. once wrote, when his son complained that his travel plans had been interrupted by the severe medical difficulties his wife suffered during the birth of their daughter. Asa Jr. borrowed money from his father and rarely paid it back; at one point his debt reached \$100,000. The young man did have a certain knack for acquiring valuable land, and Candler tried to assuage Buddie's ambitions, first by buying him a 300-acre plot of land for an automobile speedway (land that today forms the nucleus of Atlanta's Hartsfield International Airport) and later by making him a vice president of Coca-Cola in charge of the company's properties.

But Buddie wanted more. Where Howard Candler was a man of gentle disposition and passive ways, Asa Candler, Jr., was full of flair and audacity (and often, it was said, of whiskey). In his later years, he collected rare birds and wild animals, which he housed in specially built cages on the grounds of his twenty-two-room mansion on Briarcliff Road in one of the city's more fashionable neighborhoods. His menagerie eventually included four fully grown adult elephants, which he named Coca, Cola, Pause, and Refreshes, and which he used in harness on one occasion to plow the ground for his kitchen garden. When the neighbors finally succeeded in forcing him to get rid of his personal zoo—one of the many lawsuits he faced was filed by

a neighbor who was bitten by a fugitive baboon—he gave the entire collection to the city, thereby founding the Atlanta Zoo. Later still, he opened a dry-cleaning business in the back of the mansion, and when it was gutted by a fire that destroyed the clothes of several prominent citizens, he turned to his final project, the acquisition of Westview Cemetery, where he created turmoil by proposing to raze all the tombstones in favor of a sleek, mowable lawn. His last office was in a windowless building in the middle of the cemetery.

Asa Jr.'s exploits became the stuff of legend in Atlanta in the 1930s and 1940s. He was thought of, not without affection, as the dotty relative who lent color to an otherwise distinguished and even stuffy family. In 1916, however, when he was thirty-five, his idiosyncrasies had yet to reach full flower and his family took his ambitions seriously. He insisted on excluding the Candler's real estate holdings from the sale of the soft drink business, and his father tried to accommodate him. The minutes of the old Coca-Cola Company are sketchy, but it appears that Asa Candler, Sr., arranged for the other shareholders to set a nominal price and "sell" him the company's real estate, which he then removed from the books of the Coca-Cola Company and placed into a separate corporation run by Asa Jr.

Carving away the real estate effectively scuttled the family's agreement with Max Pam. One reason Pam and his backers were willing to put \$5 million of their own cash into the deal was their belief that even if Coca-Cola went into a complete collapse, the company's real estate would still be worth roughly that much and they would have a chance to recoup some or all of their investment. Candler tried to revive the negotiations, but with the most valuable pieces of property off the table, Pam withdrew and the deal was dead.

At first, the consequences of Asa Jr.'s actions did not appear terribly serious. There were others who had reached Pam's conclusion that the Chattanooga case could be settled, and they made it clear to the Candler's that they would be happy to handle the job for a lot less than \$5 million. In fact, it seemed the matter could be handled virtually within the family: Sam Brown's son Edward was a member in a New York law firm whose senior partner, Bainbridge Colby, enjoyed the same kind of clout Pam did. Colby, who went on to serve as secretary of state during the last year of Woodrow Wilson's presidency (and who afterward gave the ailing Wilson a sinecure as a partner in the firm), went on several pilgrimages to Washington trying to work out a solution to the company's legal predicament. He, too, was confident that the difficulties could be resolved. On January 15, 1917, Asa Candler and the other stockholders signed a private agreement giving Colby and Ed Brown the job of reorganizing and selling off the company. Their bonus—set at \$1 million—looked like a bargain.

But the Candler's soon reneged again, abruptly calling off the deal with Colby and Brown. As before, no explanation was given, only that an unnamed family member triggered the default by refusing to surrender his

stock. Furious, Colby was threatening to bring a breach of contract suit for the \$1 million fee he'd been promised. There was a risk of bad publicity.

Still, all of these machinations might have been of little lasting importance, except for one thing. They created delay. Instead of becoming a publicly owned corporation with Howard Candler tucked more or less safely into the job of president, the Coca-Cola Company now entered a period of uncertainty. A symbolic turning point was reached when Coca-Cola's corporate offices were moved out of the redbrick factory by the railroad tracks and up to the seventeenth-floor penthouse suite of the Candler Building, the tallest skyscraper in Atlanta. The family seemed to be trading the known for the unknown, giving up its familiar physical labors in favor of the thinner air of commerce and high finance.

Candler noticed that his youngest son, William, who had risen from accountant to replace Frank Robinson as Coca-Cola's corporate secretary, rarely ventured to the plant anymore. "I suggested to William that he ought to go occasionally to see what was being done at the factory," Asa wrote drily in a letter to Howard. "I always found that watching by owners was good policy." But the owners weren't watching.

Sam Dobbs was handed the one indispensable tool he needed if he hoped to change his unhappy fate: time.

Before a new deal could be completed, the company found itself drawn into the hardships of war, and for more than a year the legal and financial entanglements took a back seat to a concern over simply surviving.

Even before the United States declared war on Germany in April 1917, the government instituted rationing for a variety of foodstuffs, notably sugar, and later it imposed a special tax on syrup sales—a pair of actions that put a vise-like squeeze on the company. "We are finding it exceedingly difficult to secure sufficient amounts of sugar and other material to keep our plants running," Dobbs wrote one of his salesmen in the spring of 1917, "and even where we are able to obtain raw materials, it is at such prices that practically eliminate all profits."

Asa Candler took a fatalistic attitude. "Don't let lack of material worry you," he advised Howard. "I have become resigned to 'no profits' till after the war is over. If you make any the [government] will confiscate it—then why make it?" But Howard *was* worried. The goal of making money might be temporarily suspended, but the company had millions of faithful customers whose demand for their favorite soft drink continued, war or no war, and Howard scrambled to maintain production. In a touch of irony, the company that had fought so hard defending its use of caffeine now faced a shortage, and Howard had to travel to New York and pay "enormous prices" on the open market for tea waste from the Far East.

Another shortage provided an important early lesson about consumer attitudes. Confronted with a scarcity of caramel, the burnt corn sugar that gave Coca-Cola its distinctive dark color, Howard experimented with a

caramel-free syrup and made up an otherwise ordinary one-gallon batch of Coca-Cola—it was straw-colored—to try out in taste tests. With blindfolds on, he reported, people found the flavor to be identical with regular Coca-Cola and perfectly acceptable, but “when the testers tried it with eyes open, the assertion was made that the uncolored product tasted different.” It was a parallel discovery to the one company officials made with New Coke nearly seven decades later. Colorless Coke was scrapped.

Dobbs threw himself wholeheartedly into the campaign to keep the company alive. During most of 1917, thanks to repeated visits he and Hirsch made to Washington, the company was awarded sugar allotments equal to the levels it used the year before. Sales actually rose slightly. But late autumn was the canning season in households all across the country, and in anticipation of a heightened demand for sugar, the government’s Food Administrator, Herbert Hoover, decreed that syrup manufacturers would be limited to a half quota for the final two months of 1917. The company tried to make up part of the shortfall with beet sugar, glucose, and other substitutes, but its stockpile lasted only ten days, and it became clear by the middle of November that production would have to be severely curtailed. Bowing to the inevitable, Dobbs and D’Arcy collaborated on a brilliant magazine ad, “Making a Soldier of Sugar,” in which the company promised with a patriotic flourish to abide by the government’s regulations. Dobbs and D’Arcy took the train to Washington to call on Hoover on the day the ad first ran, and D’Arcy recalled later that “Mr. Hoover had a clipping of the advertisement on his desk when we knocked at his door. He opened up completely—conversationally and by his attitude. It was, frankly, a refreshing experience, and when we left his office we felt that we had done well by all.”

The episode was a foreshadowing of the strategy that would serve Coca-Cola so well during World War II: Lobby furiously behind the scenes, give in gracefully when the cause is lost, and be sure to associate the product with the highest national interest. It was a “privilege,” D’Arcy wrote, for the company to sacrifice its sugar to the American fighting man.

In the spring of 1918, Hoover relaxed the sugar quota and Coca-Cola was allowed to make 80 percent as much syrup as it had the year before. The company’s sales dipped from 12 million gallons in 1917 to 10 million gallons in 1918, and profits were as narrow as Asa Candler predicted, but the important point was that Coca-Cola survived. In 1919, after the last restrictions were lifted, the company was able to satisfy a soaring demand that had accumulated during the war years, and sales almost doubled to nearly 19 million gallons, or about two and a half billion servings, enough to provide an average of thirty Cokes a year for every man, woman, and child in the United States. As D’Arcy put it in a triumphant ad, “Victory’s Reward Means Volume Restored.”

On the surface, at least, it appeared that the Coca-Cola Company had

weathered its storms and could look forward to a period of tranquility and renewed profits. An especially encouraging moment occurred on November 12, 1918, one day after the Armistice, when Harold Hirsch finally arranged a settlement of the Chattanooga case. The Department of Agriculture proved willing to accept a face-saving compromise. The company privately agreed to cut the amount of caffeine in Coca-Cola by half, to six-tenths of a grain per serving, and the government responded by dropping all charges. Neither side wanted publicity, and Judge Sanford closed the proceedings with a terse order noting simply that the company had adopted “certain modifications” in its manufacturing process. The company paid court costs, and the government returned the forty barrels and twenty kegs of syrup it had seized nine and a half years earlier. The only objection was raised by Dr. Wiley, who complained bitterly for the rest of his life that the government had abandoned his cause.*

By all outward appearances, life at the Coca-Cola Company went on as it had before. Early in 1919, the Candlers arranged the purchase of a parcel of land at the corner of North Avenue and Plum Street, alongside the railroad tracks a few miles northwest of downtown Atlanta, for the construction of a new factory and office complex. It was to be the ninth home of Coca-Cola, the largest yet by far, reflecting the postwar boom in sales and the apparent good health of the company.

Behind the scenes, however, the Candler family’s affairs had grown dangerously complicated. There seemed to be no way of disposing of the Coca-Cola Company that would satisfy everyone in the family, and so on Christmas Day 1917, Candler divided his stock and gave it to his wife and five children, keeping only seven shares for himself. At Coca-Cola’s annual stockholders’ meeting on February 14, 1918, the new stakes were entered onto the minutes. Candler’s wife, Lizzie, had 64 shares. Howard, Asa Jr., Lucy, Walter, and William now owned 69 shares apiece and controlled the company.

Sam Dobbs got nothing. Aside from the 23 shares he already owned—a third of the portion that now belonged to each of his cousins—he did not inherit any of the wealth he had done so much to create.

At the same meeting, the Candlers decided that they did not need outside help in reorganizing the company after all. They simply agreed to rewrite the original corporate charter and exchange their old, cumbersome shares for new, liquid “ownership certificates.” The transaction was handled in-house a few weeks later by Central Bank and Trust, the Candler family bank, which issued \$25 million of the new paper and divided it on a pro

* Using his column in *Good Housekeeping* as a forum, Wiley continued to attack the company for several years to come. In May 1922, he wrote in “Dr. Wiley’s Question-Box” that drinking three or four Coca-Colas a day over a period of years would have “very serious” health consequences. “In the case of a growing child,” he added, “it would probably ruin his health for life.”

rata basis among the family members. The ownership of Coca-Cola was “corralled,” as Asa put it, and held by his children. They were free to do whatever they wished with it.

With his legacy distributed, Asa Candler now withdrew even further from the business affairs of the company. He announced that at the end of his mayoral term, on January 1, 1919, he would retire to private life. Along with his many other preoccupations, he had to attend to his wife, who was gravely ill with cancer and had only a few weeks left to live.

Had Asa Candler not been distracted by his grief and weariness, he might have paid more attention to the string of events that unfolded next. At the regular Coca-Cola directors’ meeting in May 1919, Sam Dobbs ventured the suggestion that the company consider having its books audited. It might be a good idea, he explained, to let a tax expert make sure the company was paying the proper amount to the federal government. The proposal sounded sensible, and the Candlers readily agreed. Dobbs was authorized to proceed, and he hired the accounting firm of Haskins & Sells to carry out the job.

No one had any way of knowing the real purpose behind the audit, but the truth of the matter was that it had nothing to do with taxes. Dobbs was negotiating his own private deal to sell the Coca-Cola Company, and he needed the audit to verify the financial status of the business. It was vital to Dobbs that his intentions remain secret, because the buyer he had found was a man Asa Candler detested, Ernest Woodruff.

“E. Woodruff,” as he signed himself in a thin, economical hand, was the president of Trust Company of Georgia. A hard man, squat and powerfully built, with a bristling moustache and jutting, undershot jaw, Woodruff resembled a bulldog. He looked on the world with small, cold eyes, and he had a reputation around Atlanta as a shrewd and often ruthless trader.

Trust Company’s main activity was making deals. It provided the usual financial services for its customers, but by today’s standards it more nearly resembled an investment banking house than a commercial bank. Its charter, written by the Georgia General Assembly, gave Trust Company “the right to do almost anything in the world,” as one officer cheerfully put it, and Woodruff enjoyed seeing how far he could push the limits. His specialty was the acquisition and consolidation of small businesses, and he used the bank’s resources—as if they were his own, some critics said—to put together monopolies in several small industries then emerging in the South. Starting in 1902, Woodruff began buying up companies that delivered ice and coal, and in 1910 Trust Company formed the Atlantic Ice and Coal Company with operations in Georgia, Tennessee, Virginia, and the Carolinas.

Woodruff was known as a man who believed in doing whatever was necessary to protect his interests. Needing land to build a new plant for Atlantic Ice and Coal, for instance, he had the bank buy a row of houses

and lots in the red-light district south of the railroad tracks along Atlanta's notorious Collins Street, and then he personally evicted the madams and their girls and spent several nights sitting in a rocker on the front porch of the biggest house, cradling a double-barrel shotgun and shooing off the angry customers. (His partner in the adventure was a young lawyer who handled some of Trust Company's legal business, Robert P. Jones, the father of the celebrated golfer Bobby Jones.)

Woodruff's approach to business was typified by the way he handled the Atlanta Steel Company affair. Founded at the turn of the century to make bands for cotton bales and hoops for turpentine barrels, Atlanta Steel nearly went under during the Panic of 1907, until Woodruff stepped forward and provided \$850,000 in new capital from Trust Company. That he did so without bothering to obtain permission from the directors of either concern was a mark of his strong suit, a sense of unflinching self-assuredness. "Suppose the steel company turns you down," one of Woodruff's lieutenants recalled asking him nervously, "or the Trust Company directors won't confirm your purchase?" But Woodruff was undaunted. He believed he could persuade both sides it was a smart move, and he was right. He took control of Atlanta Steel, changed its name to Atlantic Steel, ousted its old management and put his own man in charge. The company began making money again.

Operating from a huge Rand & Leopold rolltop desk in his office on the second floor of the Equitable Building, Woodruff became known as the most aggressive financier in town, the nearest thing Atlanta had to a Wall Street baron. He seemed to like capitalism just for the sport of it, as if besting other men and taking their money were a kind of rugged game, and made no pretense of believing in any higher purpose. He made a bad deal for Trust Company once when he bought a paper mill from a man named Moultrie Sessions in Marietta, Georgia, and later he confided to a friend, "I don't mind losing the money so much as I do having that man beat me in a trade." He liked to haggle and didn't care if he insulted other men by rudely questioning the figures in their financial statements. The directors of Trust Company, some of Atlanta's most respected businessmen, watched in nervous awe as Woodruff made them rich. Yet what set Woodruff apart from the rest of the Atlanta business community was not just his fiercely competitive attitude—for he was hardly unique in that regard—but rather the suspicion he created among his fellow businessmen that he didn't always play by the rules.

One episode in particular put a stain on Woodruff's name, and it helps explain why so many Atlantans distrusted him. Woodruff moved to Atlanta from Columbus, Georgia, in 1893, after his brother-in-law, Joel Hurt, recruited him to help in the family's business enterprises. Hurt was one of Atlanta's busiest early developers, a railroad surveyor by training who settled in the city after the Civil War and threw himself into the task of rebuilding atop the ruins. Among the many activities that earned him the

nickname “the Ringmaster,” Hurt chartered a mortgage association and an insurance company, built an eight-story skyscraper and helped organize Trust Company of Georgia. He also developed Atlanta’s first suburb, Inman Park. Hurt’s grandest scheme was a decade-long struggle to gain control of the city’s streetcar lines and convert them from mule-power to electricity. He brought in Woodruff, his wife’s younger brother, to take charge of day-to-day strategy and maneuvers.

Dubbed the “Second Battle of Atlanta,” the streetcar fight pitted Hurt and Woodruff against an alliance of northern investors and local businessmen in a series of skirmishes over franchises, condemnation rights, pricing, and other issues, with the ultimate goal being the establishment of a monopoly on electric power in the city. War was waged in the courts, the city council, the state railroad commission, and also in the Atlanta newspapers, where each side churned out propaganda against the other. Thanks to several bare-knuckle stunts, including the night Hurt and Woodruff had workmen rip up the rails along Capitol Avenue under cover of darkness rather than pay the city’s assessment for paving, they got the worst of the publicity and saw their standing in the community plummet.

The most damaging smear came when a lawyer for the other side claimed to have found one of Woodruff’s monogrammed cufflinks wedged in the bottom of a file in a drawer in his desk. The suggestion that Woodruff had rifled another man’s office was devastating, especially since the lawyer in question was Jack Spalding, the founding partner of one of the most respected firms in town, King & Spalding. The accusation was never made public (nor is there any existing documentation to prove it), but it made the rounds of Atlanta’s business community via the rumor mill, and the story was still familiar to the law firm’s senior partners nearly a hundred years later. Hurt and Woodruff eventually surrendered and sold out to the other side, which evolved into the Georgia Power Company, the state’s largest electric utility.

Woodruff’s next gambit tarnished his reputation even further. In 1904, two years after the streetcar fight, Hurt fell ill and his doctor, mistakenly diagnosing pneumonia, confined him to his home. Believing that he would never return to active management, Trust Company’s directors removed him as president at their next meeting and gave the job to Woodruff, who kept the position even though Hurt recovered fully within a few weeks. Moving quickly to make his mark (while practicing thrift at the same time), Woodruff blacked out Hurt’s name on the letterhead of the bank’s stationery and used a rubber stamp to put his own imprint, E. Woodruff, just below it. Hurt never forgave Woodruff for what he believed was a palace coup, and relations between the brothers-in-law were strained from then on. Around town, businessmen marveled at Woodruff’s brilliance and toughness, but they also whispered that he was not, as one of them put it, “altogether on the up and up.”

Asa Candler shared the community’s widespread feeling of distaste

toward Woodruff, and Woodruff knew it. At one point in 1912, Woodruff told an associate he was interested in acquiring Candler's bank and merging it into Trust Company, and the associate warned him that Candler would never do business with him. So it was understandable that later, when Woodruff's eye turned to the Coca-Cola Company, he decided to keep his involvement a secret "I knew it would not do for me to approach him, or any of his family," Woodruff explained afterward, "... and I undertook to do it through other people."

In 1919, Sam Dobbs was a respected member of Atlanta's business elite. He was elected president of the Chamber of Commerce and gave a well-received, wide-ranging talk at the Woman's Club in which he advocated improvement of the public schools, decency in women's fashion, and strict reliance on references in hiring domestic help.

He also counted himself a close friend of Ernest Woodruff, having invested heavily in several of Trust Company's ventures. Dobbs served as a director of the steel company and Atlantic Ice and Coal, and in 1916 he went on the board of the bank itself. When Woodruff asked him about the possibility of buying the Coca-Cola Company, Dobbs recalled later, "I told him I thought probably it could [be done], that I would be willing to sell out—that I would like very much to sell out."

Dobbs agreed with Woodruff that it

would be best to keep Woodruff's name out of the deal. To guard against inadvertent disclosure, they decided to hold their meetings in private at the Waldorf Hotel in New York City, where they quickly reached agreement on the major details of the transaction. The information Dobbs provided about the company's financial status, backed up by the findings of the audit, convinced Woodruff that the asking price of \$25 million was justified, provided the buy-out could be structured to his satisfaction.

It was not a trade Trust Company could swing on its own. The bank's net worth at the time was a modest \$2 million, and it was clear that Woodruff would have to find backers on Wall Street. Relying on partners represented an unhappy complication for the freewheeling Woodruff, but he found a silver lining: The partners could be cloaked with the appearance of being the actual buyers, thereby concealing Woodruff's role. The first order of business was to lock down the right to make the purchase, and to do that Woodruff had to get Candler's offspring to sign options on the ownership certificates they held in the old corporation. They would not sign in defiance of their father, and their father would not sell to Woodruff, so it was vital to suggest to the Candlers that someone else was acquiring the company. Woodruff had just the man in mind.

Eugene Stetson was a native of Hawkinsville, Georgia, who had pursued a banking career in the North, rising to become vice president of the powerful Guaranty Trust Company. Stetson helped Woodruff round up a syndicate of New York investors willing to underwrite the major portion of

the purchase, and he also agreed to handle the negotiations with the Candler family. There is no proof that Stetson openly misrepresented himself, but he did leave the Candler family with the plain impression that he was the head of the group of investors who wanted to buy the company, and that his bank, Guaranty Trust, was the lead institution.

Dobbs did nothing to hide his own role in the transaction. On the contrary, he enlisted Harold Hirsch as an ally (Hirsch was also a director of Trust Company), and together they worked to persuade the members of the Candler family that the deal was good for them and also in the best interest of the future of the company.

In late July 1919, an Atlanta lawyer named Robert C. Alston made the rounds and obtained the signatures of Asa Candler's five children on a single sheet of paper—a blank option for the purchase of their stock. There is no easy explanation for the inattention the Candler family paid to the details of the transaction, unless it was their comfort with the understanding that Stetson and his bank were going to receive the option. Howard Candler testified later that he was unsure what interests Alston represented, and it may be that all of the Candler family were weary to the point of indifference after the difficult, fruitless negotiations that had been grinding on for the past several years. What is indisputable, however, is that Alston was not representing Stetson but instead was acting on behalf of his friend and fellow Trust Company director, Ernest Woodruff, and delivered the option to him at the bank. When Asa Candler learned that his children had given Woodruff control of the company, Howard wrote later, “he was profoundly shocked and was particularly chagrined that this had been done without any of them having even consulted him, taken him into their confidence, or sought his advice in determining the details and terms of the proposal.”*

On August 2, 1919, Woodruff called a special meeting of the bank's board of directors and dazed them with the news that they were going to buy the Coca-Cola Company. With the option in hand, Woodruff was halfway home, but he soon realized he had a lot more hard work to do. Even among a group of men well accustomed to his wheeling and dealing, Woodruff's latest coup was frightening in its scope and ambition. He was proposing that the bank risk all of its resources trying to swallow a com-

* Candler's only public utterance about the sale, in an interview he granted to the *Kansas City Times* a year and a half afterward, contributed to the aura of confusion that surrounded the transaction. “I have four fine boys,” he told the newspaper, “but they are just boys. When I gave them the business it was theirs. They sold out a big share for a fancy price. I wouldn't have done that, but they did, and from a sale standpoint drove a pretty keen bargain.” Actually, Candler could not have objected to the sale of the company, since it was a goal he had long contemplated, nor could the price have disturbed him, since he had set it himself during earlier negotiations. His own words notwithstanding, the source of Candler's disappointment could only have been the identity of the buyer.

pany more than ten times its own size. The symbolism was daunting: Trust Company occupied Joel Hurt's old eight-story building; from its top floor the directors could look a block and a half north and see the seventeen-story Candler Building towering over them.

There were immediate objections to Woodruff's plan, chief among them a renewed concern over Coca-Cola's legal status. In February 1919, just three months after the Chattanooga case was finally settled, the United States Circuit Court of Appeals in San Francisco ruled in a civil case (brought by Coca-Cola against an outfit called the Koke Company of America) that the company had no right to protect its trademark from infringement by imitators. Unless the U.S. Supreme Court reversed the decision, hundreds of sound-alike beverages would flood the market and very likely leave Coca-Cola to drown.

Woodruff reassured his colleagues that he had consulted Hirsch and other lawyers, who were confident the company would prevail in the high court, but the board still balked. After a lengthy argument the directors nervously agreed to participate in the purchase, but only upon the unanimous agreement of lawyers representing Trust Company and all of the other partners in the deal that Hirsch was right. And there was another catch. The directors refused to go ahead unless at least half of Trust Company's investment in the syndicate could be secured by "solvent persons, firms, or corporations"—that is, by someone else's cash.

For Woodruff, the board's recalcitrance introduced a new problem into the equation: the element of time. His option on the Candlers' stock was good only until August 28, and that gave him less than a month to arrange the financing, exercise the options, and close the sale. With the Trust Company situation still in limbo, Woodruff sped back to New York by train to continue negotiations with Stetson and his Wall Street partners, a loosely organized group of officers and stockholders in Guaranty Trust and the Chase Securities Company.

The first part of the deal involved the payout to the Candler family, which was fairly simple: The Candlers had agreed to accept \$15 million in cash and \$10 million in preferred stock that paid 7 percent a year. As Woodruff and the New York bankers saw it, the real bottom line was the immediate requirement of raising the \$15 million in cash. In their hard-eyed view, the preferred stock was mere paper, a long-term obligation that could be carried indefinitely (for \$700,000 a year) by the company's revenues. The cash was all that mattered. The partners settled on the broad outlines of a plan to form a brand-new, Delaware-based Coca-Cola Company and sell shares to the public. In nice round numbers, they penciled in the figures of 500,000 shares of common stock at a price of \$40 a share, calculating that if they sold all the shares at the asking price, they would raise \$20 million and net themselves a tidy profit of \$5 million.

But Woodruff and his partners made a fateful decision. Instead of turning a quick profit and walking away, they wanted to keep a stake in the

company. Woodruff believed Coca-Cola had a promising future, and he was positive he could find ways to squeeze higher revenues—much higher revenues—out of its operations. Meeting day after day in New York with Stetson and the other bankers, Woodruff and his assistants worked out a complicated (and highly secretive) plan that would allow them to keep as much stock as they could while raising the cash needed to pay off the Candler. Specifically, the group calculated that if they sold exactly 417,000 shares of the common stock, clearing \$35 per share (after subtracting \$5 in handling fees and the cut for the brokers), they could afford to “sell” the remaining 83,000 shares to themselves for a nominal price of \$5 per share. They would own a large chunk of the company virtually for nothing.

The arrangement was perfectly legal, but it was essential that it not be made public for the simple reason that it would create immense resentment on the part of the people who were about to pay \$40 per share—people who in many instances would be friends and neighbors of Woodruff and the other deal-makers, and who would never understand why they were paying eight times more money for their investment in Coca-Cola than the organizers of the transaction.

Having settled on the figure of 83,000 shares as their stake in the deal, Woodruff and his New York partners next began thrashing out the division of the spoils. Woodruff found himself handcuffed by the restrictions imposed by his board of directors back in Atlanta, and at one point he rattled off a telegram to Trust Company’s executive committee complaining, “Impossible to undertake to continue an exchange of views at this long range.” He demanded—and received—nearly complete autonomy in negotiating the fine points of the deal, but the board was adamant in holding Trust Company’s overall participation in the sale to \$4.5 million, or a little more than twice its net worth. And the board stuck to its stipulation that half the bank’s participation had to be underwritten by liquid assets. As a result, Woodruff somehow had to scrape together more than \$2 million in cash, and he had a deadline that was quickly approaching.

What happened next provided the basis for some of the great family fortunes in Atlanta, but at the time the mood was one of haste and uncertainty. Woodruff and the board decided to raise the \$2 million through a subscription among Trust Company’s stockholders. On August 19, 1919, just nine days before the option was due to expire, a letter marked “Strictly Confidential” was mailed to each Trust Company stockholder, asking him to put up \$195 for every share he held of the bank’s stock. The bank planned to pool the money and hold it as a reserve during the Coca-Cola offering. Afterward—assuming all went well—the stockholder would be repaid and participate in an otherwise unspecified “distribution” of Trust Company’s proceeds from the transaction.

It is difficult to imagine what the bank’s shareholders must have thought when the letter was delivered. For one thing, it was the first many of them

had heard of the impending sale of the Coca-Cola Company, the town's most important commercial enterprise, and the news undoubtedly came as a shock. Then, too, the letter had a breathless tone to it—which was hardly surprising since Woodruff had drafted it off the top of his head.

"This is a large transaction, involving a large sum of money, and we have made a large commitment in connection with the financing of the enterprise," the letter said, leaving no doubt that it was a large deal indeed. Most of all, perhaps, the recipients would have been excited and confused. They were told virtually nothing about the terms of the transaction, only that "it will be necessary to make the financial arrangement immediately and before the details can be worked out." They had five days to respond.

Meanwhile an unexpected problem erupted in New York. Woodruff discovered that the men in Atlanta were not the only ones suffering from a sudden attack of unsteady nerves. Stetson and his colleagues now wanted to put the deal on hold, and Woodruff was in a rage. If the deadline slipped by, it was highly unlikely the sale could ever be revived. The Candler's were now fully aware he was a principal in the deal, and that knowledge alone probably was enough to scuttle any chance of future negotiations. If Woodruff did not exercise his option by August 28, he was finished. As they headed off one morning for a meeting with the New Yorkers, Woodruff's top assistant, a Trust Company vice president named William Wardlaw, noticed a familiar look on his boss's face, one that could freeze other men in their tracks. He called it Woodruff's "stop, look, and listen" expression. Twenty years later, Wardlaw remembered the scene vividly. He and Woodruff

met with the representatives of the Chase and Guaranty groups and they were rather insistent on delay. [Woodruff] said, "Gentlemen, don't forget this is my deal and it is going to be handled my way. We will be back here at 12 o'clock, and in the meantime you can decide whether you will go along or whether you count yourselves out of the business." We went back at 12 o'clock and the deal went through as he planned it. To see those bankers who were accustomed to telling others to lie down, roll over and play dead, when someone else started putting on the show, was most interesting.

Woodruff left the meeting, Wardlaw recalled, with a tight smile of satisfaction on his face. At the same time, Trust Company's shareholders in Atlanta were answering Woodruff's call with a remarkable show of support. Whatever their apprehensions, they seemed to be swept along by the appeal of becoming part owners of the fabled Coca-Cola Company. Joining the undertaking in huge numbers, they raised nearly \$2 million, and they raised it quickly. Just forty-eight hours after the letter of solicitation was mailed, Trust Company's board expressed satisfaction with the level of the response and voted to exercise the Candler options. Making Woodruff's

triumph complete, his most cautious colleague, J. Carroll Payne, offered the motion.

At last events began flowing smoothly. The Atlanta newspapers reported the sale of the Coca-Cola Company to the Trust Company syndicate under banner headlines, and Woodruff and his partners settled back to see how the public offering of common stock in the new company would go. On August 26, 1919, they opened their books for a one-day subscription by brokers and banks around the country and were rewarded by a stampede. By three o'clock in the afternoon, all 417,000 shares had been reserved, and there were additional orders for another 140,000 shares. Once all the paperwork was completed in a few weeks, the brokers would be turning around and offering the shares to the public, and there was every reason to anticipate the same high level of enthusiasm. People were going to buy the stock of the new Coca-Cola Company, and they were going to pay \$40 a share, maybe a little more. The deal was going to work.

In all the hoopla, it was easy to miss some of the fine print. In the prospectus Trust Company put out there was a reassuring section that said, "The present management [of Coca-Cola], which is responsible for the remarkable growth and successful operation of the Company, will continue and will also be interested through the ownership of a substantial amount of the stock of the Company." To the unpracticed eye, the statement sounded very much like a commitment that the Candler would still be running things.

But that was not exactly the case. Howard Candler was being brushed upstairs to serve as chairman of the new Coca-Cola Company's board of directors. The board, however, would not have final authority over the company's affairs. In fact it would have very little authority at all because the syndicate, in the interest of assuring "continuity," had quietly vested all the rights of ownership in a Voting Trust. The three members of the Voting Trust would hold what amounted to a proxy for all 500,000 shares of Coca-Cola's common stock, giving them complete power within the company. Two of the trustees were Ernest Woodruff and Gene Stetson.

The third was Coca-Cola's new president, Sam Dobbs. For the second time in his life, thirty-one years after carting its inventory across town in a dray, Dobbs was responsible for delivering the Coca-Cola Company.

Four

BOTTLED-UP ANGER

The new Coca-Cola Company began life in a conference room at a law office on lower Broadway in New York City.

Howard Candler had been blissfully unaware of the urgent scheming that led up to the sale of his father's business, but now his cooperation was vital. If he raised a ruckus, if he so much as whispered a quiet word suggesting foul play, he would create panic among investors and disrupt the public offering of common shares of Coca-Cola. He could ruin everything.

There was no question he was upset. He was the president of the company, yet he had been told nothing about the transaction, nothing about the Voting Trust, nothing about the men who were behind the deal, and nothing, of course, about losing his job to his cousin Sam Dobbs. "I had nothing to do with the syndicate," he recalled later. "I didn't know it existed until the thing was all closed up. I was told about it."

In late August and early September of 1919, after Ernest Woodruff and the directors of Trust Company exercised their option to buy the Candler family's stock, a campaign was begun to win back Howard's trust and convince him to join the new team and play along. One source of reassurance was the placement of his brother-in-law, Thomas K. Glenn, on the board of the new company. Howard's wife, Flora, was Tom Glenn's sister, and Glenn was one of Ernest Woodruff's closest associates. Glenn was an open, jovial man with the kind of round, ruddy face that invited confidence, and he worked to persuade Howard that in spite of his reputation Woodruff was not really a bad fellow at all.

There were also powerful financial inducements to keep Howard from making trouble. His share of the \$15 million purchase price (after various expenses and other obligations were subtracted) came to \$1.85 million in cash, and he also got \$1.38 million in preferred stock whose value was tied directly to the company's continuing good performance. His sister and three brothers each had the same stake. Rocking the boat could jeopardize their fortunes. And it was not Howard's nature to act boldly or cause a disruption or stand up to another man in a test of wills. In the end, though, what finally secured Howard's cooperation was the simple promise that he was still needed and would still have a job to do.

The directors who gathered at 61 Broadway on the morning of September 16, 1919, represented a mix of investors from Atlanta and Wall Street,

an uneasy alliance of strong-willed men who were just beginning to feel each other out. The Wall Street contingent was led by Gene Stetson and E. V. R. Thayer, the president of Chase National Bank, while Woodruff headed a group that included Dobbs and Glenn, Harold Hirsch, and one of the biggest individual investors from Georgia, an old friend of Woodruff's from Columbus named W. C. Bradley. One of the company's main sugar suppliers, Robert W. Atkins, joined the board, and so did Bill D'Arcy. Given the wide variety of interests in the room, a clash over the direction of the company was possible—actually it was inevitable—but the first order of business, the one goal that overrode all others, was taking care of Howard Candler.

The directors quickly elected him chairman, which had been the plan all along, and then took the unusual step of formally amending their brand-new by-laws to stipulate that Candler's authority would be "co-extensive" with that of the new president, Dobbs, that his salary would be the same as Dobbs's—\$25,000—and that he would remain in direct charge of the company's manufacturing operations.

Candler tested his strength immediately, interrupting the meeting to question some of the interim decisions Woodruff and Dobbs had made during the four weeks since the option was exercised. Trust Company had bought a chemical laboratory, for instance, and Candler argued that most of its assets were unneeded. He made a motion to sell off the greater part of the lab's equipment, and the board agreed. Then he made a motion to move the materials that remained, and the board agreed again. The board agreed with everything Candler had to say that morning, and they did so with the utmost courtesy. Whatever he wanted was fine, at least for a few more days.

The first step in the public offering of Coca-Cola stock, the subscription by brokers, had gone flawlessly, with all the shares reserved in a single day. Now the second step was under way, and the brokers were reselling the stock to individual investors. If people would buy the shares at the asking price of \$40, Woodruff and his partners stood to make a great deal of money.

In fact, Woodruff stood to make money in so many different ways it was hard to keep track. First, there was his bank. As manager of the syndicate, Trust Company was paid a custodial fee for transferring the 417,000 shares of common stock that were sold through brokerage houses. In addition, Trust Company's board authorized more than \$3.4 million in loans to brokers and individuals who bought those shares, and the bank also acted as a commercial brokerage itself, taking 50,000 shares to sell directly to the public. Finally, and most important, Trust Company kept 24,900 of the little-known \$5 shares as its portion of the syndicate's profit. Federal law no longer allows a bank to play so many roles in the same transaction, but at the time it was all perfectly legal: Trust Company was buyer, seller, lender, and middleman, making money on each step.

Woodruff had a personal stake in the transaction, too. He got 2,000 of the \$5 shares to tuck away as a permanent investment, and the bank's directors rewarded him for masterminding the whole deal by allotting him 20,000 shares of Coca-Cola common to put on the market himself.

If the numbers were confusing, Woodruff's behavior made the point with absolute clarity: He wanted, *needed* to sell shares in the new Coca-Cola Company to as many people as he could at the highest price possible. Acting like a merchant with a new shipment of goods, he hawked his wares on the corner of Edgewood Avenue and Pryor Street under the stone archway that formed the entrance to the bank, personally pulling dozens of Atlanta's citizens inside and selling them stock. "He would meet 'em walking up and down the street," a retired Atlanta banker recalled, and he'd "take 'em to the loan discount window and say, 'Lend this fellow \$10,000'—or \$20,000 or whatever he decided to put this fellow in for—and the teller just lent it to him. The bank officers and the Finance Committee, they didn't even know about it 'til the next day. They'd say, 'Who the hell put this note through?' And [then] they'd say, 'Oh! Well, that's fine!'"

Price Gilbert, Sr., a justice of the Georgia Supreme Court, remembered Woodruff calling him on the phone and asking him to come by the bank. When Gilbert arrived, Woodruff greeted him with the paperwork for a \$50,000 loan already completed. "Price," Woodruff said, "sign this note. I'm going to buy you some Coca-Cola stock." Gilbert, whose wealth came from his wife's family, said he would have to talk it over at home. His wife was nervous about the proposition, but the next day he returned to the bank and agreed to go in for \$25,000.

The same story was repeated dozens of times. At Woodruff's urging, several of his closest associates made huge investments in Coca-Cola stock. William Clark Bradley—"Uncle Will" to his friends—was the wealthiest businessman in Columbus, Georgia, with interests in cotton production, banking, steamships, and other enterprises along the Chattahoochee River. He staked a large part of his fortune on Coca-Cola even though he had never so much as tasted a sip of the soft drink. (He found it "very palatable," he said later.) James H. Nunnally, the candy-maker whose landmark soda fountain in downtown Atlanta sold Coca-Cola by the gallons, also bought thousands of shares. So did the coal mining heir, John Bulow Campbell. And it was not just the well-to-do who jumped into the game. Employees of Trust Company and the Coca-Cola Company took part of their salary in Coca-Cola stock. Hundreds of smaller investors scraped together their savings or borrowed money and bought as many shares as they could afford.

When Ernest Woodruff and the other principals closed the books on the offering, every share had been sold at the asking price of \$40 or slightly higher. Nearly half the sales were in the Atlanta area, where an estimated 1,500 individuals participated, and the rest were scattered among the customers of dozens of brokerage houses on Wall Street and around the country. The undertaking was counted a phenomenal success. Coca-Cola com-

mon stock was listed on the New York Stock Exchange as “KO” and the designation seemed entirely appropriate. It was a knockout.

No one had the faintest idea that the Coca-Cola Company was on the brink of ruin.

The problem was sugar.

Coca-Cola syrup was half sugar, and by 1919 the company had become the largest consumer of granulated cane sugar in the world, using nearly 100 million pounds a year.

For two decades, the company had taken the availability of cheap sugar for granted, rarely paying more than four or five cents a pound. Even during World War I, when sugar was rationed, the government had fixed the price at an affordable 9 cents a pound. But price controls were due to be lifted on December 1, 1919, and in the weeks after the sale of the company the cost of sugar futures began to rise, slowly at first and then with alarming speed. Speculators were cornering huge segments of the world’s sugar supply, driving prices higher and higher. Sugar jumped to 16 cents a pound and then to 20 cents, and it kept going up. There was no telling how expensive it might become.

The company was caught. The cost of manufacturing syrup more than doubled in a matter of weeks. Sugar purchases began eating up all of the company’s revenues. Yet public demand for Coca-Cola was at an all-time high and had to be met, no matter what. There could be no cutback in production.

Ernest Woodruff had not planned to give Howard Candler or Sam Dobbs much authority in the new company. As soon as the public stock offering was safely concluded, Woodruff convened another meeting of the Coca-Cola board of directors and set up a powerful executive committee with final control over corporate decision-making. It was the way Woodruff liked to operate. He had no desire to oversee the day-to-day operations of any of the companies he acquired (and rarely set foot inside them), but he insisted on having the last word in matters that were likely to cost him money. In the case of Coca-Cola, he installed W. C. Bradley as president of the committee, which then took charge of the company’s legal and financial affairs.

When it came to making syrup, however, Woodruff and his fellow directors still relied on Howard Candler. Candler had been in charge of production for more than a decade, and it was the one area of the Coca-Cola Company’s activities in which his expertise was thought to be unassailable. As the price of sugar began soaring, Candler was given a green light to corner as much of the supply as he could.

Woodruff and his partners felt they had no choice. They adopted a policy of maintaining at least a sixty-day supply of sugar in inventory, even though it meant going deep into debt. The new owners arranged a \$1 million line of credit with Gene Stetson’s bank, Guaranty Trust—giving the

only existing copy of the top-secret Coca-Cola formula as collateral. The most celebrated trade secret in American business history was placed in an ordinary envelope, sealed, and locked away in a vault in New York City.

As Woodruff saw it, the company's one possible salvation was to spread the misfortune down the line to its independent bottlers. Bottling now accounted for 40 percent of the company's syrup sales, and Woodruff believed the bottlers could afford to pick up the slack. He intended to make them do it.

The company's arrangement with its bottlers was highly unusual.

In 1899, two young lawyers from Chattanooga, Benjamin Franklin Thomas and Joseph Brown Whitehead, arranged an introduction to Asa Candler, traveled to Atlanta, and made a pitch for the rights to put the soft drink in bottles.

At first Candler was unenthusiastic. Bottling was still a back-alley business, in his view, and there was a danger that Coca-Cola's reputation might suffer if he allowed them to go ahead. Still, Candler told his visitors, he had no interest in keeping the bottling rights for himself and his company. "Gentlemen," he recalled telling the two Chattanoogaans, only half in jest, "we have neither the money, nor brains, nor time to embark in the bottling business." Investing in bottling equipment—the machinery, conveyors, bottles, boxes, dray teams, and real estate—was more than he cared to handle.

After mulling it over, Candler asked Thomas and Whitehead to consider a deal in which they would guarantee the quality of the product, with the Coca-Cola Company retaining the right to cancel the contract if the quality proved to be poor. In exchange, Candler said, he would sell them syrup and give them the nationwide rights to bottle Coca-Cola—free. The only exceptions were the six New England states, where Candler's fountain wholesaler held a dormant bottling option. (The states of Mississippi and Texas were held out temporarily, but later included as part of the transaction.) Astounded at the offer, Thomas and Whitehead quickly accepted. Thomas hastened back to his room at the Piedmont Hotel in Atlanta and drew up a six-hundred-word contract, which Candler duly signed on July 21, 1899. Candler did not send his partners off with much of an endorsement. "If you boys fail in this undertaking," Whitehead recalled Candler admonishing them, "don't come back to cry on my shoulder, because I have very little confidence in this bottling business."

For a time it seemed Candler's dour assessment might prove prophetic. Thomas and Whitehead had a magnificent opportunity—a "stunner," Candler called it—yet they had very little money. Thomas scraped together several hundred dollars and opened a bottling plant in Chattanooga within a few weeks, but it was "crude in the extreme," as one worker later recalled. Fitted into a narrow space on the ground floor of an abandoned pool hall in one of the city's poor neighborhoods, the plant had a jury-rigged "con-

trivance” that lifted a ten-gallon keg overhead, allowing gravity to feed syrup down a rubber tube to a small, foot-powered bottle filler. One day a pulley broke, sending the keg crashing to the floor and showering the plant manager, Billy Hardin, with sweet, sticky syrup. And that was not the only hazard. The bottles occasionally exploded under the pressure of carbonation; early workers learned to wear narrow-mesh wire face masks that made them look as if they were outfitted to go fencing.

Customers faced a different sort of danger: spoilage. The Hutchinson bottle was sealed by a rubber gasket held in place by a long, looping wire. Soda pop got its nickname from the “pop” that resulted when the wire and stopper were pushed down into the bottle. Because the mechanism was internal, the bottles were difficult to clean and impossible to sterilize, and Thomas and Whitehead soon discovered that in hot weather their product had a shelf life of only ten days or two weeks before it turned rancid.

As they looked ahead to 1900 and the challenge of fulfilling their contract, Thomas and Whitehead realized there was no way they could afford the time and money it would take to open plants across the country one by one by themselves. Their only hope, they concluded, was to become “parent” bottlers, recruiting other men and giving them franchises to build the actual facilities and sell Coca-Cola in the surrounding territories.

Thomas, slightly older and better established than Whitehead, was ready to get started. But Whitehead was broke. One of his immediate obligations under the contract with Candler was to open a bottling plant in Atlanta, and he couldn’t afford to do it. With a wife and two infant sons to feed, Whitehead decided he had to find a new partner with pockets deep enough to carry him through the early years. He and Thomas agreed to split up—literally. They drew a line across a map of the United States and divided the country in two. Thomas took the Northeast, Atlantic states, and West Coast, and Whitehead picked the South.

In the spring of 1900, Whitehead formed a partnership with J. T. (for John Thomas) Lupton, a crusty veteran of the patent medicine era who enjoyed bragging about the small fortune he’d made during the 1890s selling Black Draught and other concoctions for the Chattanooga Medicine Company. In exchange for a half-share in Whitehead’s region of the country, Lupton put up \$2,500, and Whitehead moved to Atlanta and used the money to open the first Coca-Cola bottling plant in the soft drink’s home town.

The two “parents” began working their separate sides of the national street, searching for prospects willing to, become Coca-Cola bottlers. Response during the first couple of years was slow, and the Coca-Cola bottling enterprise might very well have died in its infancy, little more than a handful of grubby, unprofitable plants scattered here and there across the country, had it not been for a remarkable breakthrough in technology. A mechanical engineer in Baltimore named William Painter perfected and

patented a new kind of closure—the bottle cap—that made the Hutchinson bottle obsolete and allowed for striking advances in mechanized washing and sterilization.

The use of crown caps led to an immediate improvement in the quality of bottled Coca-Cola, and sales rose dramatically. The Coca-Cola bottler in Athens, Georgia, ran into Asa Candler one day and showed him his figures. “What are you doing with all that syrup?” Candler asked in amazement. “Pouring it into the Oconee River?”

After their discouraging start, Thomas, Whitehead, and Lupton found themselves assembling a national network of Coca-Cola bottlers with gathering speed. In 1902 alone, the Whitehead-Lupton parent company opened plants in nearly two dozen Southern cities from Savannah, Georgia, to Meridian, Mississippi, while the Thomas company dotted the rest of the country with plants from Buffalo to Kansas City to Los Angeles. The parent bottlers opened 32 plants in 1903, 47 in 1904, and a record 80 in 1905. They took on new partners, divided the country into smaller regions, and hastened to fill in the grid with a bottler in every city and town.

Bottled Coca-Cola went on sale in markets across most of the country. In the choking, sticky heat of the textile mills of the Deep South, vendors would roll a “dope wagon” with an ice-water tank through the aisles past the looms and slubbers, and the sweating, lint-covered workers would pay their nickels and steal a minute to gulp down a cold Coke. In New York City, where Coca-Cola was slow to catch on, the local bottler was surprised at the robust sales he enjoyed in the Italian neighborhood around Mott and Mulberry streets—until he learned that his customers, a vegetable store, barber shop, undertaker, and harness maker, all had secret card-rooms in back where the men liked to mix Coke with chianti and stay up late gambling. In New Orleans, the bottler used a low-slung river bark, the *Josephine*, to deliver Cokes in the bayou country.

The bottling venture was proving to be a huge success, but the hard work took its toll. Whitehead’s constant travel exhausted him, and in 1906 he developed a severe cold he couldn’t seem to shake. He set off for a rest in his wife’s home town of Thaxton, Virginia, but developed pneumonia and died there at the age of forty-two. Ben Thomas had a short life as well. He suffered a stroke in 1914 and died soon afterward while trying to recuperate in Atlantic City. He was fifty-two.

The Coca-Cola bottling system passed to a new generation. Whitehead’s widow, Lettie, and his partner, Lupton, turned over responsibility for the day-to-day operations of their parent company in Atlanta to a twenty-four-year-old bookkeeper named Veazey Rainwater. Thomas, who died childless, left control of his company in the hands of a twenty-seven-year-old nephew, George Hunter, in Chattanooga.

The two younger men came into power at the parent companies at a time when it was far from clear exactly what they were expected to do. The origi-

nal goal of the parent bottlers was to recruit actual bottlers to do the work, yet for the most part that job was finished.

By 1909, there were 397 Coca-Cola bottling plants in the United States, enough to inspire a convention. Gathering at the Aragon Hotel in Atlanta, a hundred Coca-Cola bottlers compared notes, posed in white sailor caps for a group photo, listened to speeches from Asa Candler and other luminaries, and held a smoker (complete with a “Joke Contest”) before leaving town. They even had their own monthly magazine, *The Coca-Cola Bottler*, published by Candler’s nephew Joe Willard, full of professional tips and social tidbits. The business had matured in the short space of a decade.

In most cities, a franchise to bottle Coca-Cola was now considered a license to make money. (Expressing the point explicitly, the bottler in San Antonio printed up a letterhead that depicted a Coke bottle spurting dollar signs, over the slogan, “There is money in it.”) Many bottlers found demand so heavy they divided their territories and assigned their rights to a new genus of *sub*-bottlers who built smaller, more efficient plants. There was no need to recruit new bottlers, because applicants were beating down the company’s door and begging for the opportunity.

The parent companies were left without a clearly defined role. Syrup was shipped from the Coca-Cola Company’s factories directly to the actual bottlers, so the parents were not even acting as genuine middlemen. They simply sat back and took a royalty on every gallon, even though they never handled a drop. The parents paid the Coca-Cola Company 92 cents a gallon for syrup, then turned around and “resold” it to the actual bottlers at a generous markup, usually \$1.20 a gallon. It was all done on paper.

Supervising the operations of the actual bottlers required some effort, but frankly not that much. Not long before he died, Thomas received a worried letter from his bottler in Jackson, Tennessee, wondering why sales had taken a dramatic downturn in the middle of a warm snap in August. “WATERMELONS, YOU DUMBELL!” Thomas wired back. By the eve of World War I, the combined royalty payments to the parent companies were approaching \$1 million a year, yet the organizations had few serious responsibilities.

Not surprisingly, perhaps, the growing wealth of the parent companies kindled a fair degree of resentment at the Coca-Cola Company’s headquarters in Atlanta. Sam Dobbs, for instance, considered Lupton a venal old meddler whose “entire business life has been spent in getting all that he could put his hands on.” (When the first bottlers’ convention was proposed to Lupton, his wary response was, “Who’s going to pay for it?”) Hunter was judged to be a slow mover, while Whitehead’s two sons, growing up in Atlanta, developed reputations around town for heavy drinking and skirt-chasing and showed no inclination to follow their father into the business.

Over the years it has become an article of faith at the Coca-Cola Company that Asa Candler’s seemingly mindless giveaway of his bottling rights was actually an act of genius, since it spurred a quick profusion of plants

that otherwise might have taken decades to develop. But the truth is, Candler really *did* throw away something of tremendous value. He and his family could easily have acted as parent bottlers themselves, recruiting the actual bottlers and providing them with financing. Or they could have built plants on their own, skipping the parent stage entirely. Candler had more money than Thomas, Whitehead, and Lupton put together. He simply didn't believe in bottling. Some of his associates—Frank Robinson, Dobbs, Harold Hirsch—ached to get into the bottling business and pleaded for the chance, but Candler refused to let them, leaving them to watch sullenly as others grew rich. The problem was not just that the parents were making more money on bottled Coca-Cola than the Coca-Cola Company itself, but that they were doing so without having to lift a finger.

The exception was Veazey Rainwater, the new chief of the Southern parent company. A wiry man with small, bright eyes and jug ears, Rainwater invented a fresh job for himself as a hardworking liaison between the actual bottlers and the Coca-Cola Company. He could see that the business was changing, and he believed the greatest challenges in the future would be legal and political. The company and its bottlers would have to join forces and present a united front if they hoped to survive—but Rainwater could see it was not going to be easy. His bottlers were a stubborn, independent lot, and many of them regarded the company with deep suspicion, almost as an enemy. Asa Candler's diffidence toward bottling had rubbed them the wrong way from the beginning, and over the years they had accumulated a set of petty grievances. They thought the company's advertising favored Coca-Cola at soda fountains over Coca-Cola in bottles. They complained that the company didn't do enough to police its fountain wholesalers and stop them from selling syrup to pirate bottlers.

Part of the trouble was a difference in values. One year at the bottlers' convention, Bill D'Arcy was describing his latest advertising campaign and giving a pep talk. Hoping to make a vivid point, he took a twenty-dollar bill out of his wallet, tore it up and threw the pieces on the floor. Sitting out in the audience, Arthur Montgomery, the surly old bottler who ran the Atlanta plant, flew into a rage. He had never seen anything so stupid in his life, he declared, and from that day on he refused to buy any of D'Arcy's advertising materials from the company. Even in his later years, when he was nearly blind, Montgomery would run his hands over the company's annual advertising contract and make his assistants swear that there was no commission in it for D'Arcy. All of the bottlers had substantial amounts of capital tied up in their equipment—the cost of a top-of-the-line plant in a big city had risen to more than \$100,000—and they tended to view Dobbs and the younger Candler as a clan who had made their money and could afford to fiddle around. If the Coca-Cola business came to an overnight halt—if the bubble burst, as John Candler had put it—the Candler would still be rich. The bottlers would be ruined.

But the way Rainwater saw it, all the friction was a minor matter com-

pared to the threat the bottlers and the company faced together from outside forces. State legislatures were forever taking up bills aimed at taxing soft drinks or outlawing various ingredients, and Rainwater organized his bottlers into a potent lobbying battalion that fought back, most of the time successfully. He and Hunter, his counterpart in Chattanooga, formed a close alliance with Harold Hirsch and agreed to split the expenses of these statehouse skirmishes. Correspondence from the period contains a variety of enigmatic invoices from Coca-Cola's cashier: a bill for \$500 in 1911, for instance, for Rainwater's share of the \$2,000 it had cost Hirsch to resolve "some trouble" with the Texas legislature. Similar charges were forwarded for lobbying efforts in Virginia, Louisiana, and Mississippi.

The grandest campaign, of course, was the company's long struggle with the federal government. When Dr. Wiley first filed his charges against Coca-Cola in 1909, one of the company's bottlers, Crawford Johnson of Birmingham, Alabama, took Hirsch aside. "Harold," he asked worriedly, "can you keep us going for three years?" Yes, Hirsch replied, he thought he could. A decade later, when Hirsch finally settled the case in Coca-Cola's favor, the parent bottlers gratefully paid their half of a legal bill that had reached \$250,000.

The bottlers came to rely on Hirsch as their champion in the courtroom. One of the biggest headaches they confronted was a spate of lawsuits by people claiming to have found "strange elements" in bottles of Coca-Cola. Many of the allegations were plainly fraudulent—two bottlers discovered they had paid hush-money to the same woman, who claimed she'd found a frog in a bottle—and in 1914 a group of bottlers met in Hirsch's office in Atlanta and formed the Coca-Cola Bottlers' Association to pool their resources and fight the cases in court. Hirsch oversaw the defense efforts. On those occasions in which a startled consumer really did find a bug in a bottle of Coca-Cola, Hirsch would arrange for the services of expert witnesses. (In later years, the company used a museum curator from Atlanta named Perry Wilbur Fattig, who was famous for demonstrating the harmlessness of insects by eating them in front of the jury.)

Rainwater earned the company's gratitude, meanwhile, by working to improve the standards of his bottlers. A stickler for quality control, he sent teams of inspectors around to check sanitary conditions in the plants in his region, and if a bottler was making an inferior product he would threaten to shut him down unless he made improvements. Some of the bottlers bridled at the interference, but Rainwater was smart enough to ally himself with the most successful operators in his region, and they backed him up.

The growing sense of unity between the company and the bottlers culminated with the success of a project Rainwater and Hirsch spearheaded for the design of a distinctive Coca-Cola bottle. At most retail outlets of the period, bottled soft drinks were sold in large tubs filled with ice water. Coca-Cola's bottlers used the same ordinary, straight-sided bottles everyone else used, and thirsty customers had to roll up a sleeve and fish

around in the murky depths without any way of knowing what brand they were grabbing. Even when they pulled a bottle up into the daylight, the confusion continued, because the labels typically came unglued and slid down to the bottom of the tub. Putting Coca-Cola in a specially shaped bottle would help tremendously with marketing. It would also give Hirsch another tool—a trademarked package—to use in fighting the competition in court. And if the new bottle should be a little *smaller* than normal, if it were 6 or 6½ ounces, say, instead of the usual 8 ounces, that would mean higher profits. At Hirsch's urging, Rainwater chaired a committee of bottlers charged with picking a model.

The choice they made resulted from a felicitous mistake. In Terre Haute, Indiana, in the late summer of 1913, a heat wave shut down operations at the Root Glass Company, one of Coca-Cola's bottle suppliers. Taking advantage of his free time, plant manager Alex Samuelson began playing around with ideas for the new bottle and was struck by an inspiration. He sent one of his employees, an auditor named Clyde Edwards, off to the city library to look up information on coca leaves and kola nuts. It was Samuelson's thought that a bottle shaped like one of the original ingredients in Doc Pemberton's formula would be unique, which was true enough, but somewhere along the line he and Edwards got crossed up. Perhaps the difficulty was Samuelson's poor command of English—he was a native Swede—or it might have been Edwards's fault, but in any case they ended up on the wrong page of the *Encyclopedia Britannica*. They designed a bottle whose vertical striations and curved, bulging middle bore no resemblance whatsoever to the coca leaf or kola nut, but instead was a dead ringer for the totally unrelated seed pod of the *cacao* tree, the source of chocolate. Thus was born one of the most familiar shapes in product history.

Rainwater, cheerfully ignorant of the error that inspired it, loved the new design. He arranged for a prototype to be tested in secret at several Coca-Cola bottling plants, and after a few technical modifications he got the bottlers' committee to adopt it for exclusive use at all of the company's plants. He also won a protracted dispute with Hunter over the color of glass to use, prevailing with light green over brown. The new bottle was an immediate hit. Hirsch proposed giving C. J. Root, who held the patent, a royalty of 25 cents per gross on all the bottles his company and others manufactured. Root generously demurred, asking for only a nickel a gross—and ended up the wealthiest man in Indiana anyway.

By the time the Candler's sold Coca-Cola in 1919, Veazey Rainwater and his bottlers were accustomed to doing business with the company on a handshake. They trusted Hirsch—so much so that they had him serve as their lawyer at the same time he was the company's general counsel. They saw no conflict of interest.

When the sale went through, Rainwater gladly accepted Hirsch's reassurances that the old management would remain in place, and that the new

owners would bring new capital to the table and build the business to new heights. Hunter, a more cautious soul who kept a wary eye on the company's doings from his perch up the road in Chattanooga, wired Hirsch during the negotiations, asking plaintively, "I wish you would take a few minutes and write me what is actually going on." Hirsch responded soothingly, "Powerful interests are taking this proposition over and will make a big go of it, but the bottlers' rights will be absolutely protected. . . ."

The matter had never been addressed in any formal way, but Rainwater and Hunter both believed that their contract with the company, the old document signed by Asa Candler twenty years earlier, was perpetual and unbreakable. As they saw it, the company was legally obliged to sell them syrup at 92 cents a gallon, which they were then free to sell to their actual bottlers at whatever price they could command. They believed Hirsch concurred in their interpretation.

In November 1919, when the price of sugar began soaring, Rainwater and Hunter received a panicky letter from Sam Dobbs asking their permission for the company to begin buying as much sugar as it could in the newly uncertain marketplace. Howard Candler would handle the emergency purchases, Dobbs wrote, and the company and the bottlers could sort out the finances later. Anxious to help ease the pressure, and secure in the ultimate strength of their position, the two parents readily gave their assent. Rainwater and Hunter had agreed to two minor, temporary increases in syrup price during the war, when the government fixed sugar prices at 9 cents a pound, and they were willing to help out again. Only this time they were dealing with Ernest Woodruff.

On December 15, 1919, when the company's newly formed executive committee met in New York, W. C. Bradley opened a letter from Hirsch proposing a compromise in which the company and the parents would share the burden of the higher costs. Woodruff objected. He saw no reason to approach the parent bottlers on bended knee. His lawyers had looked over the original contract, he announced, and in their view the company could cancel it at will. Perhaps something could be worked out with the parents, he said, but it would be on the company's terms. If the bottlers didn't like it, they would be out of luck. It was a very hard line, one that made Dobbs and Howard Candler extremely uncomfortable, but Woodruff controlled the committee and refused to yield.

Back in Atlanta, Hirsch summoned Rainwater and Hunter to his law office in the Candler Building. "Boys," he said, "I have called you up here to tell you bad news." The directors of the Coca-Cola Company, he said, planned to meet and cancel the contract. Rainwater was, as he put it later, "completely dumbfounded." Surely, he argued, the new owners were not serious. Surely Woodruff was angling for a better position in working out a compromise.

Hirsch seemed unsure himself just what Woodruff had in mind, but he set to work with Rainwater trying to fashion a new proposal that might pass

muster. The days of the parent companies' 28-cent-per-gallon royalty were over, obviously, but perhaps Woodruff would allow them a more modest margin. Hirsch and Rainwater drafted a document spelling out in detail the exact price and proportion of every "merchandise" in the Coca-Cola formula, along with the company's expenses for labor, cooperage, freight, advertising, and overhead. If the company and the parents would agree to a profit of 10 cents each per gallon, they calculated, syrup could be sold to the actual bottlers for \$1.35 per gallon—a big jump from the \$1.20 they were accustomed to paying, but still affordable, especially in light of the ongoing sugar emergency.

Dobbs and Howard Candler favored the settlement, and as president and chairman of the board of the company they expected their judgment to prevail. But they hadn't counted on the iron will of Ernest Woodruff. During a bitter, all-night session in February 1920, Woodruff made it clear once and for all that he was in charge. All decisions would be made by the executive committee, which he controlled. The compromise drawn up by Hirsch and Rainwater was unacceptable. At Woodruff's direction, Candler wrote a letter to the parent companies informing them that their contract would be terminated on May 1, 1920.

Dobbs seemed especially surprised and agitated at discovering this new, harsh side to the man he'd considered his partner. Woodruff, he wrote a friend, obviously intended "to emasculate and supersede" the authority of the board of directors—Dobbs included. Dobbs had been president of the Coca-Cola Company for all of five months, and already his relationship with Woodruff had turned into an ugly battle of nerves, one he was afraid he was losing. Woodruff was guilty of "constant butting-in and interfering" with the company's business, Dobbs complained, and "seems too disposed to tell us all what we ought to do and is very much outraged when we don't agree with him." Dobbs was no particular fan of the parent bottlers, but he believed the smart business move was to reach an accommodation with them. Woodruff grudgingly gave him one last chance.

Dobbs, Candler, and W. C. Bradley convened a negotiating session in Atlanta with Rainwater, Hunter, and Lupton, and laid out the Coca-Cola Company's final offer. The parent companies could have a royalty of 7½ cents a gallon, period, take it or leave it. Rainwater and Lupton reluctantly accepted on behalf of their parent company. But Hunter refused the ultimatum, stormed out of the meeting, and went home to Chattanooga. He asked himself, he said later, what his uncle Ben Thomas would have done, and he believed his uncle would have chosen to fight. A few days later, Hunter called a council of the Thomas company's bottlers, who now numbered nearly six hundred. Most of them came to Chattanooga, and they listened as Hunter, furious, vowed darkly that if he went down he intended to pull the whole Coca-Cola business down with him.

Lupton and Rainwater withdrew their acceptance and prepared for war.

The first thing the parent companies required was a lawyer, and by a stroke of pure coincidence they ended up with one who detested Ernest Woodruff.

A year earlier, the Whitehead family had placed the law firm of King & Spalding on retainer. There was no pressing legal business at stake. It was simply that Joe Whitehead's younger son, Conkey, had turned twenty-one and wanted a lawyer to look after his inheritance while he pursued the life of the playboy around Atlanta. He picked King & Spalding more or less by chance, unaware that the firm's founding partner, Jack Spalding, was the old warhorse who had faced off against Woodruff and Joel Hurt in the bitter streetcar fight back before the turn of the century.

Spalding relished the chance to step back in the ring with his old opponent, but he was sixty-three years old and in poor health, so he picked one of his firm's toughest young litigators to handle the case for him. John A. Sibley had come to the firm a couple of years earlier from Milledgeville, Georgia, where his successes in the courtroom brought him statewide attention. Sibley had a round face and soft country accent that concealed a sharp, competitive nature. He was a dangerous opponent in the courtroom, capable of skinning a witness. It was a mark of Spalding's faith in his abilities that he picked Sibley as lead counsel for the Coca-Cola case over another partner in the firm—his own son, Hughes Spalding.

Sibley joined forces with the lawyers Hunter had retained on behalf of the Thomas parent company, and on April 14, 1920, they filed suit against the Coca-Cola Company in Fulton County Superior Court in Atlanta. Even by the typically belligerent language of lawsuits, the petition was notable for its bristling tone and accusations of betrayal. After years of honorable conduct, it said, the Coca-Cola Company had been taken over by certain "promoters and high financiers" who manipulated the stock and duped the public and pocketed millions of dollars in quick, undeserved profits. Woodruff and his associates, the suit said, were men of "cupidity and avarice and greed." The local newspapers picked up the story and reported the outbreak of hostilities as if the most prominent family in town were engaged in a dirty, no-holds-barred divorce, which in a way was exactly what was happening.

Rainwater believed the outcome of the fight depended as much on public opinion as it did on the law. It was vital to him to maintain the allegiance of the hundreds of Coca-Cola bottlers across the country. If Dobbs and Woodruff could convince the bottlers it was in their best interest to eliminate the middleman and deal directly with the company, the parent bottlers would be in serious trouble. The way to keep that from happening, Rainwater calculated, was to paint Dobbs and Woodruff as sly, dishonest men who would gouge the bottlers and the public with higher prices if they ever got the chance.

Dobbs could see Rainwater's strategy unfolding. The parent bottlers

were “moving heaven and earth to prejudice the actual bottlers against us,” he wrote his friend and fellow director Bill D’Arcy a few days after the suit was filed. “Everything that has been sent out . . . is along the line that the Coca-Cola Company [is] trying to confiscate the bottlers’ property.” Dobbs tried to calm the apprehensions triggered by the lawsuit and the lurid headlines, but he felt overwhelmed. When he gave an interview to the *Atlanta Constitution* claiming the Coca-Cola Company was under the same old management that had been running things for years, Rainwater answered by disclosing the existence of the Voting Trust. The public had been led to believe the Candler family still controlled Coca-Cola, Rainwater said, but all the power actually rested in the hands of Ernest Woodruff—the kind of man, he added archly, who “needs no introduction to this community.”

Hearings in the case began just a week after the suit was filed. A special commissioner took testimony, presiding in a makeshift courtroom that was set up in King & Spalding’s offices in the Empire Building. Dobbs was one of the first witnesses called, and before he knew it he found himself answering embarrassing questions about how he had come to be president of the company. Under the lawyers’ prodding, Dobbs divulged all the details of the transaction that had taken place the previous fall—the clandestine meetings with Woodruff in New York, the blank option that Asa Candler’s children had signed, the Trust Company syndicate, the Voting Trust, even the existence of the \$5 shares.

Harold Hirsch tried—and failed—to stem the damage. At one point during Dobbs’s testimony, Hirsch noticed that a lawyer for the parents, Ben Phillips, had picked up the company’s minutes book and taken it over to his table, where he and Sibley were leafing through its pages, reading about the activities of Coca-Cola’s executive committee in rapt fascination. When Phillips began to recite excerpts of the minutes into the record, Hirsch jumped to his feet, rushed across the room, and tried to grab the heavy leather volume out of Phillips’s hands. Phillips held on desperately and the two men began huffing and heaving in a tug of war. “It is not going in the record,” Hirsch called out, “and I demand the book back. *Give me my book back!*” Phillips answered, breathlessly but with perfect lawyerly formality, “I will have the commissioner report that Mr. Hirsch physically takes the book!” Eventually order was restored and Hirsch recovered the book, but not before everyone in the room got the clear message that the Coca-Cola Company had secrets it wanted to hide.

There were further humiliations inflicted on Hirsch. One of the juiciest morsels that emerged during the hearings was the disclosure that the Candler family had been forced to honor their old contract with Bainbridge Colby and Edward Brown, from the aborted sale of 1917, and had paid the New York lawyers \$1 million in cash from the proceeds of their eventual sale to the Woodruff syndicate. The news had not come out before, and it created quite a stir, especially since Colby was now the U.S. secretary of state.

Mustering all his powers of insinuation, Sibley asked Hirsch to explain how his brother-in-law, Brown, had managed to profit so handsomely from this “manipulation.” Hirsch, who had done nothing improper in connection with the affair, was bound by his obligation of confidentiality to the Candler family. Even though his silence seemed highly incriminating, he refused to answer.

Day after day the testimony continued, as the participants explained the complicated twists and turns of the banking transactions Woodruff had carried out, where the money went, who got it and how much. The details could be numbing, but Veazey Rainwater made a very effective witness when he observed simply that Woodruff and his associates made a bigger profit on the Coca-Cola Company in one day than he and his bottlers had made in twenty years.

The hearings lasted two weeks, and they put a fatal strain on the brittle relationship between Dobbs and Woodruff. Every detail of the company’s business was coming out publicly in the worst possible light, and Woodruff was in a towering rage.

“I had to tell him,” Dobbs reported to D’Arcy, “that the lawyers were trying the case and that I was not going to interfere and he shouldn’t, and if he felt the lawyers were not handling the case properly to call a meeting of the board and I would submit the matter to them.”

Dobbs was becoming increasingly contemptuous of Woodruff—the man was “as busy as a mangy dog with fleas,” he wrote D’Arcy—and he yielded to the dangerous temptation of allowing his contempt to show. He complained to W. C. Bradley that Woodruff was impossible to deal with, and Bradley answered that he simply couldn’t understand why they were having such difficulties, except that his old friend Woodruff was an intensely demanding man. In all the years he had known him, Bradley said, Woodruff had never been satisfied with what he got. Dobbs agreed. Woodruff struck him, Dobbs said, as the sort who expected to get back \$101 when he cashed a check for \$100, and complained if he didn’t get it.

The lawsuit entered a new phase, and for a time it appeared the company’s fortunes might be improving. Once the plaintiffs got through presenting their case, Hirsch had a chance to fight back, and while there was little he could do to repair the damage to the company’s reputation, he did manage to score several sharp points in assailing the parent companies’ legal position. He discovered evidence suggesting that hundreds of bottlers were operating under an “exclusive license” directly with the Coca-Cola Company, and Dobbs observed gleefully that “when this fourteen-inch shell fell into the ranks of Hunter and Rainwater they were certainly panic-stricken.”

Dobbs exaggerated, but it was true that the parent bottlers were growing nervous about the outcome of the trial. In spite of their success in embarrassing the company and winning the allegiance of the actual bot-

tlers, Hunter and Rainwater had no assurance of prevailing on the legal issues. Asa Candler had testified on the company's behalf, swearing that he never intended the bottling contract to be permanent, and his word had clout. Thomas and Whitehead were no longer alive to contradict him.

The judge, John Pendleton, began dropping hints that he planned to rule in favor of the company, which was, after all, the most powerful and influential business in town. (Rainwater and Hunter noticed with some trepidation, too, that the judge's grandson had just signed on with Hirsch's law firm as its newest junior partner.) Rather than wait for a verdict, the parent bottlers decided to stage a strategic retreat. On the last day of May 1920, they abruptly withdrew their suit, pulled out of Georgia, and refiled their petition in federal district court in Delaware—thereby guaranteeing that the dispute would drag on for many more weeks.

The prospect of delay was intensely disheartening to the company. All during the spring of 1920 the sugar problem kept worsening, until finally the price reached a record high of 28 cents a pound in the first week of May, in the midst of the trial. Desperate to ensure a continuing supply, Howard Candler exercised a series of contracts with several large refineries and importers, locking in deliveries of thousands of tons of sugar—a half-year's supply—at exorbitant prices. Candler figured the company was losing nearly \$200,000 a month selling syrup to the bottlers at the old contract price, and the bottlers reluctantly agreed that they couldn't go on indefinitely paying only 92 cents a gallon for syrup that now cost more than \$1.50 a gallon to manufacture. Rainwater and Hunter did not, after all, wish to bankrupt the company.

On June 10, 1920, under the supervision of U.S. District Judge Hugh Morris in Delaware, the two sides agreed to a temporary compromise. For the next five months, which figured to be the period it would take to try the case, the parent bottlers would pay the company \$1.57 a gallon, which Howard Candler certified was the actual cost of manufacture.

The two sides settled into an uneasy truce, and peace was restored to the Coca-Cola family—but only for a moment. Sam Dobbs still had a company to run, and he intended to keep marketing Coca-Cola to a thirsty American public. Dobbs's closest ally on the board of directors continued to be Bill D'Arcy, and the two men shared the view that in spite of the financial pinch it was vital to keep advertising the product.

"If I used my own judgment I would start a vigorous advertising campaign the first of September," Dobbs wrote D'Arcy. Traditionally, the end of the summer season brought a decline in soft drink sales and a corresponding reduction in the advertising budget. But Dobbs meant to keep the demand high year-round, and he proposed spending a generous \$100,000 a month on newspaper ads through the fall.

Dobbs's ambitions brought him into another unpleasant clash with Woodruff. The two men no longer made even a pretense of trying to get

along. At an executive committee meeting in New York in July 1920, Woodruff made it plain that the company's first obligation was to pay dividends to its stockholders. In Dobbs's colorful phrasing, Woodruff and E. V. R. Thayer, the leader of the Wall Street investment group, were "tearing their hair, howling for retrenchment, because they want dividends." Woodruff scuttled the advertising plan, and Dobbs threatened to convene a meeting of the full board of directors to resolve the impasse and decide once and for all who was running the company.

Before that could happen, however, another economic blow shook Coca-Cola. In early August of 1920 the world sugar market collapsed almost overnight. The price plummeted to about 10 cents a pound.

The company found itself in a crisis, committed to spending \$8 million on sugar that was suddenly worth only half that much. Howard Candler had made a costly mistake. In signing the long contracts, he'd gambled that sugar prices would remain high indefinitely. Instead they'd tumbled. Candler told a colleague years later that he actually prayed for a tropical storm to sink one of the steamers, the *Hilton*, which was carrying a 4,100-ton shipment of high-priced sugar from Java. But the ship docked safely at Brunswick, Georgia. All of the company's deliveries came through and had to be honored. "For a considerable period of time," Coca-Cola's auditor said, "it looked like the company might not be able to carry on."

The balance of power shifted decisively away from Sam Dobbs. For the foreseeable future, all the company's efforts would have to be bent toward saving money. Except for D'Arcy, no one on the board had any appetite for an expensive advertising campaign.

Still, Dobbs persisted in forcing a showdown. Among other things, he badly misunderstood the practicalities of stock ownership. "Woodruff and Bradley are very fond of talking about how much stock they own," he wrote D'Arcy. "They, however, seem to overlook the fact that Howard Candler and I represent \$10,000,000 of Preferred Stock, which makes the combined holdings of the executive committee. . . look like thirty cents." Actually, the preferred stock carried no voting power, a harsh fact of life Dobbs ought to have remembered since he helped engineer the deal in the first place. Further weakening his cause, Dobbs counted on support from board members he should have known would remain loyal to Woodruff. For instance, Dobbs counted Tom Glenn in his corner—Tom Glenn who worked for Ernest Woodruff at Trust Company and served him as head of the Atlantic Steel Company. By some woeful miscalculation, Dobbs convinced himself that he could muster a majority of Coca-Cola's directors, when in fact he stood almost alone.

On October 4, 1920, Dobbs returned to Atlanta from a lengthy business trip visiting the company's salesmen in the western states. As he stepped off the train, a messenger greeted him and asked him to go directly to the Candler Building to see Harold Hirsch. When Dobbs emerged from Hirsch's

office, he went to his desk and wrote out his resignation as president of the Coca-Cola Company. His tenure had lasted just one year and two weeks.

In describing the chain of events to his confidant, D'Arcy, Dobbs was guarded in explaining why he quit, "other than to say to you that under present conditions as I found them upon my return here, I could not remain with the company and retain my self-respect." The best guess is that Woodruff had gathered enough support from the board to whittle down Dobbs's authority. During an executive committee meeting in late September, Woodruff and Bradley made a show of counting up the company's advertising and publicity expenses, portraying Dobbs as a big spender, and it appears they planned to take away his control of the budget. Certainly they succeeded in checkmating his plans for an aggressive advertising campaign. In any case, Dobbs made no secret of his feelings. He could retire comfortably, he told D'Arcy, and "I am in a position where it will not be necessary for me to act either as Mr. Bradley's valet or Woodruff's office boy."

In a stroke of wicked irony, the board asked Howard Candler to return as president of the Coca-Cola Company, thus making Dobbs's worst nightmare into a reality for the second time. Bradley stepped in to take Candler's place as chairman of the board. And Woodruff ruled the roost.

As Dobbs packed his bags and loaded his shotguns for an extended hunting trip in western Canada, he left behind a company moving closer and closer to collapse.

Word of Dobbs's resignation and rumors about what might have caused it fluttered through Wall Street, driving the stock to a new low of 27½. The *Atlanta Journal* reported—accurately—that the board was planning to skip the next payment of the quarterly dividend of \$1 a share on common stock.

On November 1, 1920, the temporary agreement between the company and the parent bottlers ran out, and to the amazement of the bottlers (and most investors) the company announced that its cost of manufacturing syrup had gone *up*, all the way to \$1.81 a gallon, despite the drop in sugar prices. It was clear the backlog of high-priced sugar was far higher than previously believed, and that the company's losses would take much longer to pay off—if they could be paid off at all. A week later, Judge Morris in Delaware ruled in favor of the parent companies, holding that the old contract was perpetual. The company planned to appeal, but in the meantime there would be no shifting of the burden of the sugar losses onto the backs of the bottlers. Coca-Cola stock took another nose dive.

And there was another peril looming. On November 18, 1920, the United States Supreme Court began hearing oral arguments in a trademark case that would determine whether Coca-Cola had a right to protect its name.

It was impossible to exaggerate the importance of the Koke case. The

ten-year battle with Dr. Wiley had established that Coca-Cola was legally made and that its name did not constitute a criminal fraud on the public. But trademark infringement was a matter of *civil* law, and the courts had yet to decide once and for all whether Coca-Cola was entitled to sue its imitators and put them out of business.

Hirsch had brought dozens of suits against Coca-Cola copycats in federal district courts across the country, and he had prevailed in almost every instance. But when the Supreme Court reversed the Chattanooga verdict in 1916, an element of confusion was introduced. Even though the company successfully settled the Chattanooga case and got the old charges dismissed, judges were left to wonder anew if Coca-Cola was a legal trademark.

The test case, fittingly enough, involved a nearly forgotten character from Coca-Cola's early days. J. C. Mayfield was Doc Pemberton's last partner, a hard-luck fellow who thought he'd bought the rights to Coca-Cola in 1888 only to learn that Pemberton had already sold them. Mayfield spent a season in Atlanta trying to sell a taste-alike product named "Yum-Yum," but soon went out of business.* Eventually Mayfield wound up manufacturing a soft drink he called Koke, and when he incorporated his operation as the Koke Company of America and tried to register his trademark, Hirsch sued. For the sake of thoroughness (and to harass Mayfield with steep legal expenses), Hirsch brought actions in Washington, D.C., and in four different states where Koke was sold.

The lower courts sided with Hirsch and the Coca-Cola Company. Generally speaking, trademark cases were a matter of common sense. A product could not be made and marketed with the intent of creating and exploiting confusion with another product. Koke syrup was colored to look like Coca-Cola, sold in similar red kegs and barrels, marketed openly as a cheaper substitute, and of course its name was more than just confusingly similar to Coca-Cola, it was a homonym for Coca-Cola's popular nickname "Coke," indistinguishable to the ear. Few infringement cases have ever been as open and shut. "There is no use of mincing words in describing [Mayfield's] plan of operation," one of Coca-Cola's lawyers said. "It is a cheap and common swindle." The courts agreed. But trademark protection could not be given to any product that was itself fraudulently made or marketed, and when the Supreme Court overturned the Chattanooga verdict, Mayfield's lawyers suddenly had a new weapon for their appeals to the higher courts.

One of the cases Koke lost was in Arizona, and the appeal was heard by the Ninth Circuit Court of Appeals in San Francisco. Citing the Supreme

* Mayfield and his wife, Diva, claimed they learned Coca-Cola's secret formula from Pemberton, but there is scant evidence to support their assertion. They later divorced, and Diva Brown, as she was known after she remarried, became a minor celebrity in the South around the turn of the century peddling copies of the "authentic" formula. Although a trade journal labeled her "a humbug and a fake," she had many takers.